V2 Retail (V2RETAIL)

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"V2 Retail Limited Q1 FY -25 Earnings Conference
Call"

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MANAGEMENT : MR. MANSHU TANDON – CEO, V2 RETAIL LIMITED
MR. AKASH AGARWAL – WHOLE -TIME DIRECTOR , V2
RETAIL LIMITED

Moderator : Ladies and gentlemen good day and welcome to V2 Retail Limited Q 1 FY25 Earnings Conference Call .

As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone .

Please note that this conference is being recorded .

Before we begin a brief disclaimer :

The Presentation which V2 Retail Limited has uploaded on the stock exchange and their website including the discussion during this call cont ains or may contain certain forward -looking statements concerning V2 Retail limited business prospects and profit ability which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward -looking statements.

Ladies and gentlemen, I now hand the conference over to Mr. Akash Agarwal – Whole-time Director , V2 R etail. Thank you and over to you sir.

Akash Agarwal : Good afternoon , everyone. A very warm welcome to our Quarter 1 FY25 Earnings Conference Call.

Along with me I have M r. Man shu Tandon – our CEO and Marathon Capital – our investor relations team. I hope everyone has had an opportunity to look at our results. The presentat ion and press release have been uploaded on the stock exchanges and our company's website .

At V2 Retail our ambition is to democratize fashion by offering high quality , trendy apparel at affordable prices to value conscious customers across all tiers of cities. We achieved this through operational excellence , strategic expansion , competitive pricing , a customer centric approach and a strategic use of technology. Our diverse product range , competitive pricing and exceptional shopping experience ensure that we provide significant value to our customers. As we continue to grow and innovate , we remain committed to making fashion accessible to all , uplifting communities and driving sustainable growth. Our business model has increasingly evolved to deliver desirable customer propositions , emphasis on our own designing and credible quality , nimble responsiveness to emerging consumer preferences , coupl ed with relative price stability , contributes to our distinctive market positioning in the value retail apparel space.

Let me start with some key updates :

After a historic FY24 , we are thrilled to start the current Financial Year with highest ever quarte rly sales during Q uarter 1 and a 162% increase in year -on-year P AT. The company opened 10 new stores during the quarter taking out total store count to 127 stores. Our store expansion strategy is focused on penetrating underserved urban and rural markets a nd maintaining a strong presence in Tier-I and Tier-II cities. To reach a very diverse customer base , we aspire to add

between 50 to 60 stores on a net basis through internal accruals in line with the commitment to sustainable growth driven by cash flows i n FY25 . The strong acceptance of our differentiated product offerings at full price is the testimony of our customer centric thinking of providing fresh variety , good quality at best price.
So, the growth across all our stores have been encouraging trans lating into a robust same store sales growth of 37% in Quarter 1. We have been able to consistently deliver high double digit SSG for the last few quarters due to this approach . The volume growth was 55% in the first quarter. The full price sales contribut ed 93% in the first quarter compared to 84% in the corresponding quarter last year. Through efficient supply chain management , streamlined operations and strategic inventory management , we have been able to maintain cost effectiveness without compromising on quality. We b

elieve that our sustainable and scalable business model will help us improve ROCE and R OE going forward.
Now I will hand over the conference to Mr. Manshu Tandon – our CEO to give you an overview of our operational performance during the quarter.
Manshu Tandon: Good afternoon, everyone. I will give you a brief on the consolidated performance highlights for Q1 FY25 :
Revenue from operations stood at 415 crores , registering growth of 57% on YO Y basis. Gross margin stood at 29% for Q1 FY25. EBITDA for the quarter stood at 55.5 crores as compared to 35.6 crores in Q1 FY24 , registering a growth of 56% on Y OY basis. EBITDA margin stood at 13.4% for Q1 FY25 , PAT for the quarter stood at 16.3 crores a s compared to 6.2 crores in Q1 FY24 registering a growth of 162% on Y OY basis. As on June 30th, 2024 the company operates 127 stores with a total retail area of 13.64 lakh square feet. The company opened 10 stores in Q1 FY25.
With this I now leave the flo or open for questions.
Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Ankush Agrawal Surge C apital.

Ankush Agrawal : Firstly, what kind of pre -IndAS EBITDA and PAT margins are we looking for FY25 and for the coming years?
Akash Agarwal : So, if we talk about pre -IndAS numbers , this year we are targeting an EBITDA of 7% to 8%. And going forward we want to target a pre-IndAS EBITDA percentage of 8% to 9%.
Ankush Agrawal : And how much would that translate to net margin on a PAT basis.
Akash Agarwal : I think in FY24 our net margin was about 3.5% , so you can expect this year's P AT margin to be 4.5%. And going forward it should between 4.5 % to 5.5%.
Ankush Agrawal : Secondly can you share the share of our own proprietary labels and own manufacturing for FY24 and how should we see that number going ahead?
Akash Agarwal : Our private label contribution is almost 80% and going forward the target is to make it 100% private label business. So , we are moving in that direction because one year back that percentage used to be 60%. So , in one or two years we want to be a 100% private label bu siness.
Ankush Agrawal : Just a clarification. Till FY23 , based on the annual report revenue share from proprietary labels was 40% in FY23 . This is as per annual report. So , when you say private label and proprietary label , is there a difference in that or that number is moved from 4 0?
Akash Agarwal : You're talking about financial year. I was talking about calendar year. That is why there's that confusion. So , this year when I mean , I mean from January till July the percenta ge is 80%. So , like if you converted to financial year, I think it was 40% then 60% and this financially we close at 80% and in one or two years we plan to take it to 100%.
Ankush Agrawal : The last question is on the gross margins. So , over the last coupl e of quarters , we have seen gross margins taper off a little bit every quarter. On one side you have continued to maintain that you are trying to pass more value to your customers. But on the other hand , what is also true is the share of revenue from propr ietary labels have increased. The share of sales at MRP has also consistently increased. So , which should act to gross margins. So , from all this perspective where do you expect th ese gross margins to settle eventually?
Akash Agarwal : So, we pass on all t he benefits from our own production as well as private labels to the customers. So, we do not get an extra gross margin on our private labels and we are selling more at full price. But now our input margin is strategy is such that we are targeting a gross margin percentage ranging from 27% to 29% because we want to give maximum value to the customer and we want to be the market leader in the value fashion space.

Moderator: The next question is from the line of Palash Kawale from Nu vama Wealth.
Palash Kawale: My question is related to market leader in our category which will be Zudio . So, do you foresee your store metrics going closer to Zu dio in coming years and if yes then what are you planning to do to like take it closer ?
Akash Agarwal : There are tw o major matrix that we look at and we focus on , rather than just per square feet sales or per square feet cost or GP per square feet we focus on EBITDA percentage which is pre -IndAS EBITDA percentage and the ROC E and the ROE of the business. So, going forw ard our aim is to be at par or even better than the best players in this space. So, that is why I said , going forward we want to keep increasing our EBITDA margins pre -IndAS to and move to 9% first and then further.
Palash Kawale: Did I get you correctly that you are planning to add 50 to 60 net stores this year?
Akash Agarwal : 40 to 50. We have already added 10 stores and the plan is to add about 30 to 40 more.
Palash Kawale: My next question is , if everything goes right in like next 2-3 years, what is that opportunity in front of us in terms of store additions , what do you see that room for expansion in next 3 to 4 years for V2 Retail ?
Akash Agarwal : So, it completely depends on the performance and the execution and how the new stores that we are opening are doing. If we continue to see the kind of growth that we are seeing and the kind of product acceptance that the market is showing us , then after th ese 40 to 50 stores this year we might open another 60 to 70 stores next year. So , it all depends how the business is performing because we don't want to chase just growth by compromising on profitability. So , the first target is for the next 3 to 4 years to grow at least 30% to 40% both in terms of revenue and EBITDA.
Palash Kawale: What was our foot fall growth for the quarter?
Akash Agarwal : I will have to check the exact number. But we started tracking footfalls from this year because old technologies wer e not accurate enough to be relied upon. So , we will be able to give the comparison of footfalls from next year onwards because we 've started collecting that data I think about five months back.
Moderator: The next question is from the line of Jag vir Singh from Shade Capital.
Jagvir Singh: What is the current debt position?

Akash Agarwal : I think the current debt on the books is about 78 crores. So , what we have is , it's a CC limit that we have from the banks, and we give a bill discounting feature to all our vendors where they can get an early payment of their bills. So , mostly we use the limit for those purposes.
Jagvir Singh: Second question related to the comp etition. So, Zudio is I think at upper level be cause they start from Rs. 450 or 500. So , is this Vis hal Mega Mart or V-Mart?
Akash Agarwal : So, there are different tiers of competition. So , one would be the local mom and pop stores which is the unorganized retail , one is the national level retailer. So , there is a certain level of overlap because Zudio starts selling their t -shirts for 199 but their ASP is almost 80% higher than ours. So, like there is competition from each space , I would say , whether it's Vishal , V-Mart, Zudio but we try to focus on ourselves. And I think in India the market is big enough to easily accommodate five -six big national players because the shift from unorganized to organized retail is accelerating and that is how the organized retail is going to gro w at a high CAGR for the next few years.
Jagvir Singh: And second question related to the manufacturing. How much is owned manufacturing?
Akash Agarwal : So, about 16% of our sales are owned manufacturing but we don't plan to open any more units. So, as we are opening more stores and as our sales ar

e growing this contribution is going to come down.
Jagvir Singh: In the in the first innings in the Vishal Mega Mart, I think invent ory has the problems. So , what we have learned from them and so what is our str ategy in this new inning?
Akash Agarwal : So, one of the biggest learnings was not chasing growth blindly by compromising on profitability. So , we make a store level EBIT DA every month. We sit down we take decisions on low performing stores, and I think in the history of V2, it's the first time that not even a single store is EBITDA negative on a YTD level with the corporate cost. So , like we try to forecast cash flows , EBIT DAs and we try to keep certain business metrics in check before taking the next leg of expansion. And if you talk about learning there have been 15 -20 learnings as call will go on. But we have learned from those mistakes and implemented a lot of checks and balances in order to not open bad stores. So , there's a lot of checks before finalizing a new store , there's a lot of checks on inventory control. Our old and aging inventory has come down drastically. I think everything points towards very positive outlo ok.
Moderator: The next question is from the line of Abhishek from ABS Capital.

Abhishek: You said that R OE will increase going forward. Can you throw some light as to what R OE number you are targeting internally going forward?
Akash Agarwal : So, the R OE number that we're targeting going forward should be around 20% to 22%.
Abhishek: And going forward how much same store growth do you target internally?
Akash Agarwal : I think 10% is a very good number. So, going forward even if we achieve a 10% SSG I t hink that's very good for the business because it's a fixed cost business where even if you grow your sales by 10% your profitability grows multifold. So, going forward with a higher base I think even if we get 10% , a double digit SSG is a good SSG.
Abhishek: And just one clarification ' in the long term just now you told that revenue growth you are targeting internally is around 30% to 40% year -on-year, right?
Akash Agarwal : Yes.
Moderator: The next question is fro m the line of S hrinjana Mittal from Ratnatra ya Capital.
Shrinjana Mittal: I have three questions. One is on the employee co st. So, this quarter the employee co st is a little bit on the higher side. I wanted to understand that is it because of some increme ntal cycle or is it just new employee addition? Can you just t hrow some light on that?
Akash Agarwal : So, most of it is because of the new store additions. So , a lot of the hirings needs to be done at least a month or couple of months prior to the opening of the store. So , every quarter you know we plan to open 15 to 20 stores. So , if you look at the per square feet basis , there's not much change. But in the absolute numbers as we keep growing the store base ,this number will rise.
Shrinjana Mittal: One question on the same store sales growth. H ow do we calculate our same store sales? Like in the denominator do we include stores which are greater than one year old as of date ?
Akash Agarwal : We include all the stores that existed till 31st of March , 2023.
Shrinjana Mittal: 31st of March , 2023. That is for this year's same store sales growth?
Akash Agarwal : That is for Q uarter 1 SSG because all the stores should have been there for the whole quarter of 2023 as well as 2024. That is the only criteria. So , the stores that open during the first quarter of FY24 , we don't take that. It's only the opening number of stores. Yes.

Shrinjana Mittal: One more question . on the seasonality , can you give some color? So, I understand that Q 3 is a bigger quarter for us but Q2 also relative to Q1 , it's a little bit on the slower side even in terms of margin. So, why is that if you

can just give some color?
Akash Agarwal : So, Q1 and Q 3 are the biggest quarters for us because Q1 is the main wedding season and the summer season and Q 3 is the festive and the winter season and Q 2 has July and monsoons and even Q 4 has January and February which is end of season for winter and pr e-winter. So, that is the seasonality impact in retail. But I think going forward all our quarters will be EBITDA positive.
Mod erator: The next question is from the line of K austubh Pawaskar from Sh arekhan by BNP Paribas.
Kaustubh Pawaskar: My question is on gross margins. So, just want to understand the decline in the gross margins in this quarter. And how do you see this going ahead considering the fact that Q 3 is one of the strongest quarters for us ? So, whether this quarter has some impact of m ix or discounts which impacted the margins which will not be there in the next quarter , so just understanding from your end?
Akash Agarwal : So, in fact there were lesser discounts but still there's a decrease in gross margin percentage because like I said it's the strategy of the company. We are not focusing on gross margin percentage rather than we're focusing on EBITDA percent age. So , if we reduce our gross margin by 10% and that increases our sales by 15 %-16%, so that is ultimately beneficial for the business. So, it's a business strategy and going forward we are targeting a gross margin of 28 %-29%.
Kaustubh Pawaskar: I just w anted to understand how the demand environment is like how it was last year compared to that how the demand environment is in some of the important states where your stores are and how the festive season would be for us where maybe Quarter 3 because last y ear Quarter 3 was much stronger for us ? So, considering that how do we expect this year's festive season?
Akash Agarwal : So, if you talk about the demand scenario, I think the 37% SSG , the number itself says a lot. And we have seen this consistently over the last 4-5 seasons. And now it's very hard to differentiate how much of that is because of our own strengths or the work that we have put or how much of that is the overall market growing. But we have seen an amazing demand. And for Quarter 3 we hopefull y want to continue the momentum and we are working hard towards that. I think this trend should continue because we are getting a very good feedback from our customers , both about the price proposition as well as the product offering. I think this is a tre nd that should continue in the future quarters because we have seen this in July also. So, in July our same store sales growth is actually better than the Q1 numbers.

Moderator: The next question is from the line of Ankit Bab el from S ubhkam Ventures.
Ankit Babel: My first question is on your working capital , what was the inventory and creditor levels at the end of June quarter?
Akash Agarwal : If you look at the standalone basis the inventory days were 81 days and the payable days was 40 days. So , our net working capital and days w ere 42 days.
Ankit Babel: No, I need the absolute numbers at a consolidated level.
Akash Agarwal : The absolute conso lidated level inventory was 439 crores and the payables was 251 crores.
Ankit Babel: Also, a s you said that the aging of your inventory has reduced a lot. So, just f or my understanding what would be the share of inventory which is more than one year old a nd what it was say a couple of years back just to see what kind of improvement is there ?
Akash Agarwal : So, a couple of years back more than one year inventory was almost 23% and now that number is down to 7%. And the idea is to take this number down to ze ro by end of next year.
Ankit Babel: And what are your plans for the upcoming festive season I mean what are your expectations?
Akash Agarwal : We don't share our internal expectations because we are very

bullish because every month the growth and the demand and the customer acceptance is surprising us positively. But like I said we always give a forecast of 30% to 40% revenue and EBITD A growth . I think this year is the same.
Ankit Babel: And just a clarification on your sales promotion expenses. Now j ust wanted to understand for the accounting treatment , do you reduce it from the revenue or show it as a part of your other expenses?
Akash Agarwal : So, it depends on the kind of marketing expense. So , if we are doing for example a newspaper ad or we are spending on ATL and BTL , those are a part of expenses. But most of our marketing spend is in terms of gifts given to customers or special discounts on some items. So, that is all part of the cost of goods sold. So, that is already a part of the gross margi n.
Ankit Babel: No. But you show it by reducing it from the revenue or you show it by adding it to your raw material cost , how you would account it ?
Akash Agarwal : So, it's added to revenue also and it's added to the cost of goods sold also.

Ankit Babel: And last question is , you mentioned that you want to increase the share of private label to almost 100% in the next 2 years. How is it going to benefit you in what terms? I mean either on the profitability or on the churning of the product or how is going to help you?
Akash Agarwal : It’s j ust that the customer starts identifying with the brand. So , each brand will have their own story and each brand will have their own identity and in 2 years each of our brands will have a turnover of almost 200 -300 to 500 crores. So , it becomes a brand in itself and then the customers have size standardization, and they have that trust , so that whatever product they're buying of that brand will be of a certain quality or a certain standard. So, that is the only bene fit that we get.
Moderator: The next question is from the line of Nav een Baid from Nu vama Asset Management.
Naveen Baid: I just wanted some sense on what's going to be the marketing spend ex of the debts that you mentioned with debts clubbed with your COGS and revenue. What is going to be the marketing spend ex of that as a percentage of the top line?
Akash Agarwal : Your voice is not clear. I just understood what's the marketing spend. I didn't understand anything else.
Naveen Baid: That’s correct.
Akash Agarwal : So, it's less than 1% of total sales.
Naveen Baid: Is it going to be around similar levels?
Akash Agarwal : Yes. Because we have understood that the product is the best bra nd ambassador and there's a lot of word -of-mouth marketing that's happening because all this growth is actually we have reduced our marketing spends from previous years. So, that is why the main focus is on improving the product offering and giving it at t he best price possible.
Moderator: The next question is from the line of Himanshu Shah from Dola t Capital.
Himanshu Shah: Couple of questions ; one, the store additions that we are targeting for , will it be in the existing areas of operations or it would be coming from newer geographies , we are trying to tap newer stage ?
Akash Agarwal : So, this 40 to 50 store that we're opening this year like most of it is in the similar clusters or the same state s that we're already present in. But maybe in the next leg of growth we will have to

enter new markets. But currently it's all the same states in the same cluster that we are already present in.
Himanshu Shah: And secondly how much more juice has been lef t from a revenue per square foot? Can you give an idea what top 20% of the stores , what kind of throughput they must be doing on annualized basis?
Akash Agarwal : Like I would not want to share those numbers but I would tell you that we have a lot of store s that are doing above Rs.

1,400-1,500 per square feet monthly sales also. So , there is no potential.
It all depends on the kind of execution and the kind of product assortment that you have in the stores because in terms of capacity it's huge. And it all depends what percentage of the Target market that you're present in or you actually catering to. So , if you have a very strong brand and you know you've been able to stay in touch with the latest trends because with our markdowns and the markups nobody can beat us in price. So , it's all about product assortment. So , I think that problem is not a problem till we reach maybe 2x or 3x of where we are right now in terms of per square feet of sales.
Himanshu Shah: 2x to x you are saying. But right now , some of the stores would be at around 1 ,400-1,500 is what you are highlighting , the top performing stores?
Akash Agarwal : Yes. And even they are growing at almost the same growth as the numbers that we are posting. That is the beauty.
Himanshu Shah: So, on a per square foot basis, you are seeing that at optimal level the number can even double from here on over the longer period?
Akash Agarwal : If we do everything right, of course.
Himanshu Shah: And on rent part how are th e rent cost? What kind of escalations we are seeing over there and is our model more of a variable or it's on a fixed rental basis with our landlords ?
Akash Agarwal : It's completely fixed rental basis and our rental cost are Rs. 54 per square feet and I think it should be at this level just accounting for inflation obviously but it should remain at similar levels. We're not seeing a big change.
Moderator: The next ques tion is from the line of Sameer Gupta from India Infoline.
Sameer Gupta: I have not been part of previous calls for the company. Just wanted to understand this same store sales growth a little bit in detail. So , you've done 31% in FY24 , this quarter is 37 % and you said

July has also been strong. So, firstly , when I look at other companies , especially since FY24 it has been a very tepid consumption environment and especially in the lower income segment. Plus, competition has also intensified in the value fa shion segment across the board. So , this 37% growth has continued for you , what are the drivers here?
Akash Agarwal : I would say the commentary about the whole market situation depends on who you are talking to because I know a few retailers myself were s howing good numbers and showing good growth. So, like I said it's all about the kind of execution that we have done and it's the hard work of the last 3-4 years because were in consolidation phase. As you can see , we didn't open a lot of stores , we shut do wn a lot of loss-making stores , we completely changed the approach to business where it was not a product first approach. So, now we have been focusing on product and I would say this growth has been driven primarily by product development where till 2 years back only about 5% of the goods in our stores were designed in -house whereas now that number has almost reached 30 %-35%. Going forward we are targeting this numb er to reach 80% . And in this 30% to 35% we are seeing at least a 20% higher throughput or per square feet sale you can say than the designs that we get from the vendors. So , if I start listing down the things , it will be like long list. But I would say it' s completely the main driver behind this has been product , the focus on product.
Sameer Gupta: Just a follow up here. So , you're also saying that sales per square feet potential itself is 2x to 3x from current levels. But your SSS growth guidance that you mentioned is 10%. Now that again raises the question that from a 37% why it will go down to 10% if the SPSF juice itself is there to be exploited.
Akash Agarwal : So, when we closed last year at I think 29 % or 31% SSG , even this year we had targ

eted a 15%
SSG because we thought it's a higher base now, even if we grow at 15%. That's why I said we are positively surprised . For this year we are still targeting a higher SSG. But when I said 10% that was from next year onwar ds. So, even if we close this year at 950 to 1000 , even if we are growing 10% then we are growing Rs. 100 per square feet next year. So , we can easily double in like I think 5 years.
Sameer Gupta: Given the way the first quarter has gone by , would you wan t to revise that guidance again?
Akash Agarwal : Again, I would not want to revise the guidance for next year. We have already revised the

guidance for this year , the rest of the nine months. But if you talk about next year onwards, we want a minimum SSG of 10% , any double digit SSG is good enough for us.
Sameer Gupta: And the next nine months you are saying 15%?

Akash Agarwal : Yes, 15% to 20%.
Moderator: The next question is from the line of Mr. Manoj from Kiva h.
Manoj: I wanted to ask , will we do the call now every quarter and also, I wanted to congratulate you for a great performance ?
Akash Agarwal : Yes, now we are going to do the call every quarter .
Manoj: If I'm not wrong we had implemented SAP H ANA way back in 2017.
Akash Agarwal : No, we had implemented SAP but we have implemented H ANA I in 2022.
Manoj: And can you share has that been very helpful , one of the things and are we looking to improve the metric there with the number one player , are we putting more work there? Is that hel ping, is that one of the secret sauces for you in the last few quarters?
Akash Agarwal : No. First can you repeat your question? You spoke about SAP H ANA and then your voice broke .
Manoj: Like has that been one of the secret sauces for us and are we lookin g to benchmark? So , I know the largest player trend. They use SAP H ANA very effectively. Are we trying to you know trying to benchmark with them?
Akash Agarwal : We are not benchmarking with anyone. So , we are directly in touch with SAP and we are benchmarking with the industry best practices and we are spending constantly and I mentioned in my opening statement also that technology is a big part where we want to innovate and create some sort of differen tiation. So , there is a lot of development that is happening. So , we have an SRM , we have a store app. So , there are many projects that are happening and that are being implemented across. I think we will see the benefit of that going forward. But if you t alk about SAP H ANA, it's just a database change that the data has been moved from Oracle to a HANA database. So, obviously the reporting is faster , the extraction of data is faster , so we have better MIS and more efficient DC operations. But only that cann ot be the secret sauce behind this growth.
Manoj: Can you explain that you said 30 %-35% is the in -house design products and private label is 80%. So, what is the difference between the two?
Akash Agarwal : So, the rest are the designs that are developed b y our vendors. So , they give us a presentation and then we order it in our private label in our own in-house brands.

Manoj: If you can just share your thought on a bridge like you said 1 ,400 a square feet monthly sales versus I think 1 ,081 is the average company. So , if you can just share the bridge as I said in 5 years, we should go to like 2x that. So , can you just share some broad thinking if you ’ve not already shared?
Akash Agarwal : So, first target as a company for us is to reach Rs. 1,000 pe r square feet of sales annually. So, that is the target for this year. Then the next target will be 1 ,200, then the next target will be 1,500. So , the timelines again will depend how good we are and how good are we to actually execute our vision because th e vision is there now. It's

all about execution.
Manoj: New stores are starting in the same few months as how long they take and what sales per square feet do they start at?
Akash Agarwal : So, new stores typically start at a 20% lower PSS than old stores and it takes about 12 to 24 months for any new store to mature.
Moderator: The next question is from the line of Ankush Agrawal from S urge Capital.
Ankush Agrawal : The question is relatively similar to what the last participant was asking. So , you said the new stores started 20% lower since the square feet and then they mature over 12 to 24 months , right?
Akash Agarwal : Yes.
Ankush Agrawal : And once that happens typically what kind of growth is there like historically what has been the growth ? Because my understanding of the value detailing as a format is that initial 1-2 years of growth is there. Then there's a lot of a sign of saturation that reaches a particular store versus some of the other retai ling categories when the store starts very low and then scales up over a couple of years.
Akash Agarwal : I'm sorry I did not understand the question because the 37% SS G that we have shown , it has all the old stores as well as the new stores , the stores that had opened till March of 2023.
Ankush A grawal : Yes, obviously. I mean currently the kind of traction that you're getting is incredible. Generally , at a value retailing at the industry level I'm trying to understand the journey of a store. Like what we said makes sense that initially I think in 1-1.5 years you are typically reaching at a steady

mature level. But beyond that 1-1.5 years what's the gro wth part for a typical store? Is it like do you still get 10% efficiency or it's like 5% ?

Akash Agarwal : So, if you look at the consolidated number yes it will be around 10%. That is what we're targeting. But if you take out samples then of course there ar e some stores that do 25% whereas some stores only do 2% to 3%. So, those outliers are always there. But I think there is no I would say directional change or there's no change in the trend of a new store versus a n old store in terms of growth because onc e the store matures it acts pretty much like an old store.

Moderator: The next question is from the line of Madhav Agarwal from SG Investments.

Madhav Agarwal: Could you give a breakup of sales in physical stores versus e -commerce and what do you see trend?

Akash Agarwal : We currently do not have any e -commerce and 100% of the sales are from offline stores.

Madhav Agarwal: And do we plan to enter into e -commerce or online?

Akash Agarwal : Yes, we are evaluating the omnichannel model where we'll use the store inventory and we'll use all the stores as a warehouse and deliver to the same city because that saves a lot on the return and the logistic cost. So , we are evaluating that and we are workin g on it. We will comment on it I think in the next quarter.

Moderator: The next question is from the line of Abhishek from ABS Capital.

Abhishek: Just two questions I wanted to ask. One you are telling that from henceforth we will go more towards contrac t manufacturing , so that will reduce cost , right? Is that the reason why you're doing it?

Akash Agarwal : No. We have our own manufacturing units where we save about 10% to 15% on cost. But we are passing that on to the consumer because all the other goods are done in contract manufacturing only.

Abhishek: No, you have first said henceforth you will increase the contract manufacturing and reduce your own manufacturing , so will it help in margins?

Akash Agarwal : No, it will be a very similar cost. There wi ll be no change in cost because our manufacturing capacity is constant and now , we are increasing sales. So , the contribution of manufacturing will keep going down as we are growing. That's what I said.

Abhishek: Your growth is very nice. So, just wanted to know like how you are competing with the online competition? Like are your customers different from the ones who are doing online shopping , if you are supplying to those people who are like one str ata below , is my understanding correct?

Akash Agarwal : So, you need to understand the economics of online retailing in online. If you're selling at the ASPs that we are selling at that is around Rs. 250-260. Then you need a markup of more than 150%. So , suppose you have a product for Rs. 150, you have to sell online for more than Rs. 350 to actually make any money on it because of additional logistic cost , return cost , COD cost, RTO cost. So , there are a lot of cost s associated with online retailing that doesn't allow people to sell off such low ASP pr oducts. That is why internationally also Primark doesn't sell online and a lot of value retailers don't sell online because it's not economically feasible. So , I wouldn't say that we are in direct competition with any of the online retailers because most o f the products that you're getting at this price is usually two or three seasons old for brands or it's a much -much lower value product than what we sell in our stores.

Moderator: The next question is from the line of Tushar Sarda from Athena Investments.

Tushar Sarda: I have two questions. One is I wanted to know your seasonal distribution of sales and second you mentioned that some stores are doing much higher sales. So , if you can provide some idea on what are your highest selling stores and how many percentage of your total number of stores what would that be?

Akash Agarwal : Can you repeat your first question , please?

Tushar Sarda: Seasonal distribution of sales. How much you did in Q1, Q2, Q3, Q4?

Akash Agarwal : So, because of the Hindu calendar the festivals keep on changing , the dates keep on changing. So, it's very variable. So , if Durga Puja happens later then the percentage of sales in Quarter 3 increa ses. So , talking about the contribution it varies according to the Hindu calendar festivals. But the highest sales are in Quarter 3, then second is Quarter 1, then the lowest sales are usually in Quarter 4. So, that is how the seasonality is impacted. And what was your second question?

Tushar Sarda: I wanted to know your per square feet sales. You mentioned that some stores do very high sales. What is the highest that you do in terms for a full year , for last year , what is the highest per square feet sales achieve d and how many stores would cross the benchmark of Rs. 1,500?

Akash Agarwa l: I will have to check the exact number and we don't share the exact number. But we do have a few stores that do annually more than Rs. 1,500 per square feet of sales.

Moderator: The next question is from the line of Khadija Mantri Capri Global.
Khadija Mantri: My question is on the competitive intensity. So , Reliance has also launched this affordable clothing brand. So , do we compete with them or the average selling price is much higher than those type of stores ?
Akash Agarwal : I haven't personally visited; I think it's called Youthstar. But I think it's in the similar price range of Z udio which is higher than us. But like I said the market is big enough to actually accommodate multiple retailers. So , this is not a cause of concern because more and more people will enter this because this is such an attractive space. So , we are focusing on making ourselves strong enough that we don't have to worry about competition.
Khadija Mantri: But R eliance is kno wn to be a little aggressive when it comes to pricing or capturing the market shares. So , what are your thoughts on that?
Akash Agarwal : I would say like even Z udio opened 200 stores last year and they have opened a lot of stores in the same area where we are pres

ent. But we haven't seen any sort of impact in sales. So, even if Reliance is being aggressive, I think our growth expansion strategy is also pretty aggressive. So , if we focus on doing the things that we've been doing right then again like we're focusing on ourselves.
Moderator: The next question is from the line of Prathamesh Dhiwar from Tiger Assets .
Prathamesh Dhiwar: Just if I missed it earlier couple of questions. As we plan to open 50 to 60 stores , so how much investments is going to be th ere to open th e 50 to 60 stores? And my second question is if we open a store let's say today so how much time it will take to reach the revenue per square feet of Rs. 1,000.
Akash Agarwal : So, answering your first question , we plan to open 40 to 50 stores and the investment required for that is about 110 crores which we will be completely financed through internal accruals. And second question when a new store opens how much time it takes for it to reach 1 ,000, so again it completely depends on the company base. If you spoke to me last year , I would have said the store will take 2 to 3 years. If you talk to me this year , I will tell you that it's 1 to 2 years and maybe next year if we continue this growth then the new stores from the first month itself are doing Rs. 1,000 per square feet. So , it depends on the company base because it's like 15% to 20% lower than the company average.
Prathamesh Dhiwar: And just last question. I think you said we are expecting 30% to 40% revenu e growth and around 4.5% of PAT margins for FY25. If I'm not wrong.

Akash Agarwal : Yes.
Moderator: The next question is from the line of Pre rana Aman na from P NARS P artnership.
Prerana Amanna: I have two questions. First of all, when it comes to manufacturing , what percentage are you getting manufactured in -house and how much are you giving it for like a third -party manufacturer?
Akash Agarwal : 16% of our sales are manufactured in -house and 84% is outsourced.
Prerana Amanna: And this will reduce as your scale of operations increase , right?
Akash Agarwal : Yes.
Prerana Amanna: And the last one is I think in your beginning comments , you told that 80% right now of your sales to your proprietary brand. So , are you telling me that t he rest 20% that is there you're selling other people's brand in your stores?
Akash Agarwal : Yes.
Moderator: The next question is from the line of Virendra Bajaj , individual investor.
Virendra Bajaj: I just had a few questions. What sort of inventory tu rnover in times are we looking at for this year and the next year?
Akash Agarwal : So, the target inventory number is 90 to 100 days that we're looking at. And going forward we would like to reduce it to 80 to 90 days.
Virendra Bajaj: And you said that you have increased your private label sales quite a bit. So , what sort of extra margin are we getting in private label sales versus the third -party brand sales?
Akash Agarwal : We do not get any extra margins because that is our strategy. Whatever benefit and cost we get we pass it on to our consumers.
Virendra Ba jaj: And if I can just understand what sort of revenue per square feet are we getting from new stores like that we open in the current year within less than one year ?
Akash Agarwal : We don't share those exact numbers.

Virendra Bajaj: Also , another questio n I had is that I was looking at your pre -IndAS consol numbers. You have reduced your expenses by almost 3% of revenue. So, just to understand how that was achieved by the company ?
Akash Agarwal : What have we reduced ?
Virendra Bajaj: The other expenses in the pre -IndAS consol numbers for this quarter . Your other expenses have gone down almost by 3% of sales.
Akash Agarwal : So, that's because the sales have gone up. Like I said it's a fixed c

ost business. The rent is always going to be Rs. 54 per square feet even on Rs. 800 per square feet of sale and even on Rs. 1,054 square feet of sale. So , if you look at it the per square fee t of sales have risen almost 33%. So, of course, cost as a percentage will come down.
Virendra Bajaj: And while we expand more so in the current geographies , are we planning to like open more in like cities or more in the smaller towns?
Akash Agarwal : So, like the kind of customers that we cater to , they are present across tiers. We have around three stores in Delhi also and they are also doing reasonably well. So, we are targeting Tier-I, Tier-II, Tier-III, wherever we get a good enough site where we think we can achieve those sales at our cost.
Virendra Bajaj: One last question. What is the sort of payback period that we have for our new store that we are opening now?
Akash Agarwal : It should be around I think 3 years .
Virendra Bajaj: Payback period ?
Akash Agarwal : Yes.
Moderator: The next question is from the line of Naveen B aid from N uvama Asset Management.
Naveen Baid: If I look at your numbers historically your depreciation used to be about 1% to 1.5 % of your top line. Now if you strip off the depreciation on R OE assets , is the depreciation going to be around similar lines which is gone to 1% to 1.5% ?
Akash Agarwal : Yes. It's going to continue to be that in pre -IndAS numbers.

Moderator: The next que stion is from the line of Manoj from Kiva h.
Manoj: If you can share some details on Zudio . As you said Zudio has opened the stores near you. If you can share how near and in case of any research that why has that impact not happened? I think you said the ASP is much higher than ours but as you said that t -shirts start at a lower price , so if you can just share m ore colors ? So, if you can address that concern that it's a totally different market if you can share that. And also , the Rs. 54 would have an escalation clause of 5% a year and the average was 5%.
Akash Agarwal : And there are some Zudios within 1 km radiu s, there are some within 5 km radius. And we do some sort of benchmarking in terms of competitors for all our stores. But what we have found out is our kids -wear contributes almost 26% of sales. So , we have a lot of family customers coming into the stores whereas Zudio kids -wear is almost nonexistent . So, I think one big reason is that and the second reason is like I said it's a completely different target customer with very little overlap. That is why I think we haven't seen much impact on our sales in tho se particular stores.
Manoj: And that low overlap is because of the product fashion trend or the price point or both ?
Akash Agarwal : I would say price point because even in our stores , usually when we study the parking space it's usually two -wheelers and we don't have a lot of four -wheeler owners as customers. Whereas I would say like if we visited Zudio, it has a lot of four-wheeler owners also. So , there's a change in the target customer.
Manoj: If we look at just reading the numbers you're sharing , kind of the R OE is coming much higher than 20 %-22% is probably inching to in the 30s. Also , the payback period is not looking like 3 years , if you just look at what we have. Is that okay? Where am I going wrong here?
Akash Agarwal : We like to un der promise and over deliver. So , we are happy with a 20% R OE also. Like if we get more than that then good enough. But the guidance that we give going forward like even if you're getting an R OE of 20% to 22%, we are happy with those numbers.
Manoj: And s till sh are something 110 crore s for store CAPEX , what was that number?
Akash Agarwal : So, that 110 crores is total investment. Out of that the CAPEX would be about 40 to 50 crores and the rest would be for inventory , working capital.
Manoj: Th

is 110 will be spent over the next over the next ?

Akash Agarwal : Next 9 months.
Moderator: Thank you very much ladies and gentlemen. I would now like to hand t he conference over to Mr. Akash Agarwal for closing comments.
Akash Agarwal : Thank you everyone for joining on the call. We hope we have been able to answer your queries . For any further information , we request you to get in touch with Marathon Capital , our investor relations advisers. Thank you and have a nice day.
Moderator: On behalf of V2 Retail limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

"V2 Retail Limited Q1 FY -25 Earnings Conference
Call"

July 31, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company's website will prevail

MANAGEMENT : MR. MANSHU TANDON – CEO, V2 RETAIL LIMITED
MR. AKASH AGARWAL – WHOLE -TIME DIRECTOR , V2
RETAIL LIMITED

Moderator : Ladies and gentlemen good day and welcome to V2 Retail Limited Q 1 FY25 Earnings Conference Call .

As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone .

Please note that this conference is being recorded .

Before we begin a brief disclaimer :

The Presentation which V2 Retail Limited has uploaded on the stock exchange and their website including the discussion during this call cont ains or may contain certain forward -looking statements concerning V2 Retail limited business prospects and profit ability which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward -looking statements.

Ladies and gentlemen, I now hand the conference over to Mr. Akash Agarwal – Whole-time Director , V2 R etail. Thank you and over to you sir.

Akash Agarwal : Good afternoon , everyone. A very warm welcome to our Quarter 1 FY25 Earnings Conference Call.

Along with me I have M r. Man shu Tandon – our CEO and Marathon Capital – our investor relations team. I hope everyone has had an opportunity to look at our results. The presentat ion and press release have been uploaded on the stock exchanges and our company's website .

At V2 Retail our ambition is to democratize fashion by offering high quality , trendy apparel at affordable prices to value conscious customers across all tiers of cities. We achieved this through operational excellence , strategic expansion , competitive pricing , a customer centric approach and a strategic use of technology. Our diverse product range , competitive pricing and exceptional shopping experience ensure that we provide significant value to our customers. As we continue to grow and innovate , we remain committed to making fashion accessible to all , uplifting communities and driving sustainable growth. Our business model has increasingly evolved to deliver desirable customer propositions , emphasis on our own designing and credible quality , nimble responsiveness to emerging consumer preferences , coupl ed with relative price stability , contributes to our distinctive market positioning in the value retail apparel space.

Let me start with some key updates :

After a historic FY24 , we are thrilled to start the current Financial Year with highest ever quarte rly sales during Q uarter 1 and a 162% increase in year -on-year P AT. The company opened 10 new stores during the quarter taking out total store count to 127 stores. Our store expansion strategy is focused on penetrating underserved urban and rural markets a nd maintaining a strong presence in Tier-I and Tier-II cities. To reach a very diverse customer base , we aspire to add between 50 to 60 stores on a net basis through internal accruals in line with the commitment to sustainable growth driven by cash flows i n FY25 . The strong acceptance of our differentiated product offerings at full price is the testimony of our customer centric thinking of providing fresh variety , good quality at best price.

So, the growth across all our stores have been encouraging trans lating into a robust same store sales growth of 37% in Quarter 1. We have been able to consistently deliver high double digit SSG for the last few quarters due to this approach . The volume growth was 55% in the first quarter. The full price sales contribut ed 93% in the first quarter compared to 84% in the corresponding quarter last year. Through efficient supply chain management , streamlined operations and strategic inventory management , we have been able to maintain cost effectiveness without compromising on quality. We b

elieve that our sustainable and scalable business model will help us improve ROCE and R OE going forward.

Now I will hand over the conference to Mr. Manshu Tandon – our CEO to give you an overview of our operational performance during the quarter.

Manshu Tandon: Good afternoon, everyone. I will give you a brief on the consolidated performance highlights for Q1 FY25 :

Revenue from operations stood at 415 crores , registering growth of 57% on YO Y basis. Gross margin stood at 29% for Q1 FY25. EBITDA for the quarter stood at 55.5 crores as compared to 35.6 crores in Q1 FY24 , registering a growth of 56% on Y OY basis. EBITDA margin stood at 13.4% for Q1 FY25 , PAT for the quarter stood at 16.3 crores a s compared to 6.2 crores in Q1 FY24 registering a growth of 162% on Y OY basis. As on June 30th, 2024 the company operates 127 stores with a total retail area of 13.64 lakh square feet. The company opened 10 stores in Q1 FY25.

With this I now leave the flo or open for questions.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Ankush Agrawal Surge C apital.

Ankush Agrawal : Firstly, what kind of pre -IndAS EBITDA and PAT margins are we looking for FY25 and for the coming years?

Akash Agarwal : So, if we talk about pre -IndAS numbers , this year we are targeting an EBITDA of 7% to 8%. And going forward we want to target a pre-IndAS EBITDA percentage of 8% to 9%.

Ankush Agrawal : And how much would that translate to net margin on a PAT basis.

Akash Agarwal : I think in FY24 our net margin was about 3.5% , so you can expect this year's P AT margin to be 4.5%. And going forward it should between 4.5 % to 5.5%.

Ankush Agrawal : Secondly can you share the share of our own proprietary labels and own manufacturing for FY24 and how should we see that number going ahead?

Akash Agarwal : Our private label contribution is almost 80% and going forward the target is to make it 100% private label business. So , we are moving in that direction because one year back that percentage used to be 60%. So , in one or two years we want to be a 100% private label bu siness.

Ankush Agrawal : Just a clarification. Till FY23 , based on the annual report revenue share from proprietary labels was 40% in FY23 . This is as per annual report. So , when you say private label and proprietary label , is there a difference in that or that number is moved from 4 0?

Akash Agarwal : You're talking about financial year. I was talking about calendar year. That is why there's that confusion. So , this year when I mean , I mean from January till July the percenta ge is 80%. So , like if you converted to financial year, I think it was 40% then 60% and this financially we close at 80% and in one or two years we plan to take it to 100%.

Ankush Agrawal : The last question is on the gross margins. So , over the last coupl e of quarters , we have seen gross margins taper off a little bit every quarter. On one side you have continued to maintain that you are trying to pass more value to your customers. But on the other hand , what is also true is the share of revenue from propr ietary labels have increased. The share of sales at MRP has also consistently increased. So , which should act to gross margins. So , from all this perspective where do you expect th ese gross margins to settle eventually?

Akash Agarwal : So, we pass on all t he benefits from our own production as well as private labels to the customers. So, we do not get an extra gross margin on our private labels and we are selling more at full price. But now our input margin is strategy is such that we are targeting a gross margin percentage ranging from 27% to 29% because we want to give maximum value to the customer and we want to be the market leader in the value fashion space.

Moderator: The next question is from the line of Palash Kawale from Nu vama Wealth.
Palash Kawale: My question is related to market leader in our category which will be Zudio . So, do you foresee your store metrics going closer to Zu dio in coming years and if yes then what are you planning to do to like take it closer ?
Akash Agarwal : There are tw o major matrix that we look at and we focus on , rather than just per square feet sales or per square feet cost or GP per square feet we focus on EBITDA percentage which is pre - IndAS EBITDA percentage and the ROC E and the ROE of the business. So, going forw ard our aim is to be at par or even better than the best players in this space. So, that is why I said , going forward we want to keep increasing our EBITDA margins pre -IndAS to and move to 9% first and then further.
Palash Kawale: Did I get you correctly that you are planning to add 50 to 60 net stores this year?
Akash Agarwal : 40 to 50. We have already added 10 stores and the plan is to add about 30 to 40 more.
Palash Kawale: My next question is , if everything goes right in like next 2-3 years, what is that opportunity in front of us in terms of store additions , what do you see that room for expansion in next 3 to 4 years for V2 Retail ?
Akash Agarwal : So, it completely depends on the performance and the execution and how the new stores that we are opening are doing. If we continue to see the kind of growth that we are seeing and the kind of product acceptance that the market is showing us , then after th ese 40 to 50 stores this year we might open another 60 to 70 stores next year. So , it all depends how the business is performing because we don't want to chase just growth by compromising on profitability. So , the first target is for the next 3 to 4 years to grow at least 30% to 40% both in terms of revenue and EBITDA.
Palash Kawale: What was our foot fall growth for the quarter?
Akash Agarwal : I will have to check the exact number. But we started tracking footfalls from this year because old technologies wer e not accurate enough to be relied upon. So , we will be able to give the comparison of footfalls from next year onwards because we ’ve started collecting that data I think about five months back.
Moderator: The next question is from the line of Jag vir Singh from Shade Capital.
Jagvir Singh: What is the current debt position?

Akash Agarwal : I think the current debt on the books is about 78 crores. So , what we have is , it's a CC limit that we have from the banks, and we give a bill discounting feature to all our vendors where they can get an early payment of their bills. So , mostly we use the limit for those purposes.
Jagvir Singh: Second question related to the comp etition. So, Zudio is I think at upper level be cause they start from Rs. 450 or 500. So , is this Vis hal Mega Mart or V-Mart?
Akash Agarwal : So, there are different tiers of competition. So , one would be the local mom and pop stores which is the unorganized retail , one is the national level retailer. So , there is a certain level of overlap because Zudio starts selling their t -shirts for 199 but their ASP is almost 80% higher than ours. So, like there is competition from each space , I would say , whether it's Vishal , V-Mart, Zudio but we try to focus on ourselves. And I think in India the market is big enough to easily accommodate five -six big national players because the shift from unorganized to organized retail is accelerating and that is how the organized retail is going to gro w at a high CAGR for the next few years.
Jagvir Singh: And second question related to the manufacturing. How much is owned manufacturing?
Akash Agarwal : So, about 16% of our sales are owned manufacturing but we don't plan to open any more units. So, as we are opening more stores and as our sales ar

e growing this contribution is going to come down.
Jagvir Singh: In the in the first innings in the Vishal Mega Mart, I think invent ory has the problems. So , what we have learned from them and so what is our str ategy in this new inning?
Akash Agarwal : So, one of the biggest learnings was not chasing growth blindly by compromising on profitability. So , we make a store level EBIT DA every month. We sit down we take decisions on low performing stores, and I think in the history of V2, it's the first time that not even a single store is EBITDA negative on a YTD level with the corporate cost. So , like we try to forecast cash flows , EBIT DAs and we try to keep certain business metrics in check before taking the next leg of expansion. And if you talk about learning there have been 15 -20 learnings as call will go on. But we have learned from those mistakes and implemented a lot of checks and balances in order to not open bad stores. So , there's a lot of checks before finalizing a new store , there's a lot of checks on inventory control. Our old and aging inventory has come down drastically. I think everything points towards very positive outlo ok.
Moderator: The next question is from the line of Abhishek from ABS Capital.

Abhishek: You said that R OE will increase going forward. Can you throw some light as to what R OE number you are targeting internally going forward?
Akash Agarwal : So, the R OE number that we're targeting going forward should be around 20% to 22%.
Abhishek: And going forward how much same store growth do you target internally?
Akash Agarwal : I think 10% is a very good number. So, going forward even if we achieve a 10% SSG I t hink that's very good for the business because it's a fixed cost business where even if you grow your sales by 10% your profitability grows multifold. So, going forward with a higher base I think even if we get 10% , a double digit SSG is a good SSG.
Abhishek: And just one clarification ' in the long term just now you told that revenue growth you are targeting internally is around 30% to 40% year -on-year, right?
Akash Agarwal : Yes.
Moderator: The next question is fro m the line of S hrinjana Mittal from Ratnatra ya Capital.
Shrinjana Mittal: I have three questions. One is on the employee co st. So, this quarter the employee co st is a little bit on the higher side. I wanted to understand that is it because of some increme ntal cycle or is it just new employee addition? Can you just t hrow some light on that?
Akash Agarwal : So, most of it is because of the new store additions. So , a lot of the hirings needs to be done at least a month or couple of months prior to the opening of the store. So , every quarter you know we plan to open 15 to 20 stores. So , if you look at the per square feet basis , there's not much change. But in the absolute numbers as we keep growing the store base ,this number will rise.
Shrinjana Mittal: One question on the same store sales growth. H ow do we calculate our same store sales? Like in the denominator do we include stores which are greater than one year old as of date ?
Akash Agarwal : We include all the stores that existed till 31st of March , 2023.
Shrinjana Mittal: 31st of March , 2023. That is for this year's same store sales growth?
Akash Agarwal : That is for Q uarter 1 SSG because all the stores should have been there for the whole quarter of 2023 as well as 2024. That is the only criteria. So , the stores that open during the first quarter of FY24 , we don't take that. It's only the opening number of stores. Yes.

Shrinjana Mittal: One more question . on the seasonality , can you give some color? So, I understand that Q 3 is a bigger quarter for us but Q2 also relative to Q1 , it's a little bit on the slower side even in terms of margin. So, why is that if you

can just give some color?
Akash Agarwal : So, Q1 and Q 3 are the biggest quarters for us because Q1 is the main wedding season and the summer season and Q 3 is the festive and the winter season and Q 2 has July and monsoons and even Q 4 has January and February which is end of season for winter and pr e-winter. So, that is the seasonality impact in retail. But I think going forward all our quarters will be EBITDA positive.
Mod erator: The next question is from the line of K austubh Pawaskar from Sh arekhan by BNP Paribas.
Kaustubh Pawaskar: My question is on gross margins. So, just want to understand the decline in the gross margins in this quarter. And how do you see this going ahead considering the fact that Q 3 is one of the strongest quarters for us ? So, whether this quarter has some impact of m ix or discounts which impacted the margins which will not be there in the next quarter , so just understanding from your end?
Akash Agarwal : So, in fact there were lesser discounts but still there's a decrease in gross margin percentage because like I said it's the strategy of the company. We are not focusing on gross margin percentage rather than we're focusing on EBITDA percent age. So , if we reduce our gross margin by 10% and that increases our sales by 15 %-16%, so that is ultimately beneficial for the business. So, it's a business strategy and going forward we are targeting a gross margin of 28 %-29%.
Kaustubh Pawaskar: I just w anted to understand how the demand environment is like how it was last year compared to that how the demand environment is in some of the important states where your stores are and how the festive season would be for us where maybe Quarter 3 because last y ear Quarter 3 was much stronger for us ? So, considering that how do we expect this year's festive season?
Akash Agarwal : So, if you talk about the demand scenario, I think the 37% SSG , the number itself says a lot. And we have seen this consistently over the last 4-5 seasons. And now it's very hard to differentiate how much of that is because of our own strengths or the work that we have put or how much of that is the overall market growing. But we have seen an amazing demand. And for Quarter 3 we hopefull y want to continue the momentum and we are working hard towards that. I think this trend should continue because we are getting a very good feedback from our customers , both about the price proposition as well as the product offering. I think this is a tre nd that should continue in the future quarters because we have seen this in July also. So, in July our same store sales growth is actually better than the Q1 numbers.

Moderator: The next question is from the line of Ankit Bab el from S ubhkam Ventures.
Ankit Babel: My first question is on your working capital , what was the inventory and creditor levels at the end of June quarter?
Akash Agarwal : If you look at the standalone basis the inventory days were 81 days and the payable days was 40 days. So , our net working capital and days w ere 42 days.
Ankit Babel: No, I need the absolute numbers at a consolidated level.
Akash Agarwal : The absolute conso lidated level inventory was 439 crores and the payables was 251 crores.
Ankit Babel: Also, a s you said that the aging of your inventory has reduced a lot. So, just f or my understanding what would be the share of inventory which is more than one year old a nd what it was say a couple of years back just to see what kind of improvement is there ?
Akash Agarwal : So, a couple of years back more than one year inventory was almost 23% and now that number is down to 7%. And the idea is to take this number down to ze ro by end of next year.
Ankit Babel: And what are your plans for the upcoming festive season I mean what are your expectations?
Akash Agarwal : We don't share our internal expectations because we are very

bullish because every month the growth and the demand and the customer acceptance is surprising us positively. But like I said we always give a forecast of 30% to 40% revenue and EBITD A growth . I think this year is the same.
Ankit Babel: And just a clarification on your sales promotion expenses. Now j ust wanted to understand for the accounting treatment , do you reduce it from the revenue or show it as a part of your other expenses?
Akash Agarwal : So, it depends on the kind of marketing expense. So , if we are doing for example a newspaper ad or we are spending on ATL and BTL , those are a part of expenses. But most of our marketing spend is in terms of gifts given to customers or special discounts on some items. So, that is all part of the cost of goods sold. So, that is already a part of the gross margi n.
Ankit Babel: No. But you show it by reducing it from the revenue or you show it by adding it to your raw material cost , how you would account it ?
Akash Agarwal : So, it's added to revenue also and it's added to the cost of goods sold also.

Ankit Babel: And last question is , you mentioned that you want to increase the share of private label to almost 100% in the next 2 years. How is it going to benefit you in what terms? I mean either on the profitability or on the churning of the product or how is going to help you?
Akash Agarwal : It’s j ust that the customer starts identifying with the brand. So , each brand will have their own story and each brand will have their own identity and in 2 years each of our brands will have a turnover of almost 200 -300 to 500 crores. So , it becomes a brand in itself and then the customers have size standardization, and they have that trust , so that whatever product they're buying of that brand will be of a certain quality or a certain standard. So, that is the only bene fit that we get.
Moderator: The next question is from the line of Nav een Baid from Nu vama Asset Management.
Naveen Baid: I just wanted some sense on what's going to be the marketing spend ex of the debts that you mentioned with debts clubbed with your COGS and revenue. What is going to be the marketing spend ex of that as a percentage of the top line?
Akash Agarwal : Your voice is not clear. I just understood what's the marketing spend. I didn't understand anything else.
Naveen Baid: That’s correct.
Akash Agarwal : So, it's less than 1% of total sales.
Naveen Baid: Is it going to be around similar levels?
Akash Agarwal : Yes. Because we have understood that the product is the best bra nd ambassador and there's a lot of word -of-mouth marketing that's happening because all this growth is actually we have reduced our marketing spends from previous years. So, that is why the main focus is on improving the product offering and giving it at t he best price possible.
Moderator: The next question is from the line of Himanshu Shah from Dola t Capital.
Himanshu Shah: Couple of questions ; one, the store additions that we are targeting for , will it be in the existing areas of operations or it would be coming from newer geographies , we are trying to tap newer stage ?
Akash Agarwal : So, this 40 to 50 store that we're opening this year like most of it is in the similar clusters or the same state s that we're already present in. But maybe in the next leg of growth we will have to

enter new markets. But currently it's all the same states in the same cluster that we are already present in.
Himanshu Shah: And secondly how much more juice has been lef t from a revenue per square foot? Can you give an idea what top 20% of the stores , what kind of throughput they must be doing on annualized basis?
Akash Agarwal : Like I would not want to share those numbers but I would tell you that we have a lot of store s that are doing above Rs.

1,400-1,500 per square feet monthly sales also. So , there is no potential.
It all depends on the kind of execution and the kind of product assortment that you have in the stores because in terms of capacity it's huge. And it all depends what percentage of the Target market that you're present in or you actually catering to. So , if you have a very strong brand and you know you've been able to stay in touch with the latest trends because with our markdowns and the markups nobody can beat us in price. So , it's all about product assortment. So , I think that problem is not a problem till we reach maybe 2x or 3x of where we are right now in terms of per square feet of sales.
Himanshu Shah: 2x to x you are saying. But right now , some of the stores would be at around 1 ,400-1,500 is what you are highlighting , the top performing stores?
Akash Agarwal : Yes. And even they are growing at almost the same growth as the numbers that we are posting. That is the beauty.
Himanshu Shah: So, on a per square foot basis, you are seeing that at optimal level the number can even double from here on over the longer period?
Akash Agarwal : If we do everything right, of course.
Himanshu Shah: And on rent part how are th e rent cost? What kind of escalations we are seeing over there and is our model more of a variable or it's on a fixed rental basis with our landlords ?
Akash Agarwal : It's completely fixed rental basis and our rental cost are Rs. 54 per square feet and I think it should be at this level just accounting for inflation obviously but it should remain at similar levels. We're not seeing a big change.
Moderator: The next ques tion is from the line of Sameer Gupta from India Infoline.
Sameer Gupta: I have not been part of previous calls for the company. Just wanted to understand this same store sales growth a little bit in detail. So , you've done 31% in FY24 , this quarter is 37 % and you said

July has also been strong. So, firstly , when I look at other companies , especially since FY24 it has been a very tepid consumption environment and especially in the lower income segment. Plus, competition has also intensified in the value fa shion segment across the board. So , this 37% growth has continued for you , what are the drivers here?
Akash Agarwal : I would say the commentary about the whole market situation depends on who you are talking to because I know a few retailers myself were s howing good numbers and showing good growth. So, like I said it's all about the kind of execution that we have done and it's the hard work of the last 3-4 years because were in consolidation phase. As you can see , we didn't open a lot of stores , we shut do wn a lot of loss-making stores , we completely changed the approach to business where it was not a product first approach. So, now we have been focusing on product and I would say this growth has been driven primarily by product development where till 2 years back only about 5% of the goods in our stores were designed in -house whereas now that number has almost reached 30 %-35%. Going forward we are targeting this numb er to reach 80% . And in this 30% to 35% we are seeing at least a 20% higher throughput or per square feet sale you can say than the designs that we get from the vendors. So , if I start listing down the things , it will be like long list. But I would say it' s completely the main driver behind this has been product , the focus on product.
Sameer Gupta: Just a follow up here. So , you're also saying that sales per square feet potential itself is 2x to 3x from current levels. But your SSS growth guidance that you mentioned is 10%. Now that again raises the question that from a 37% why it will go down to 10% if the SPSF juice itself is there to be exploited.
Akash Agarwal : So, when we closed last year at I think 29 % or 31% SSG , even this year we had targ

eted a 15%
SSG because we thought it's a higher base now, even if we grow at 15%. That's why I said we are positively surprised . For this year we are still targeting a higher SSG. But when I said 10% that was from next year onwar ds. So, even if we close this year at 950 to 1000 , even if we are growing 10% then we are growing Rs. 100 per square feet next year. So , we can easily double in like I think 5 years.
Sameer Gupta: Given the way the first quarter has gone by , would you wan t to revise that guidance again?
Akash Agarwal : Again, I would not want to revise the guidance for next year. We have already revised the

guidance for this year , the rest of the nine months. But if you talk about next year onwards, we want a minimum SSG of 10% , any double digit SSG is good enough for us.
Sameer Gupta: And the next nine months you are saying 15%?

Akash Agarwal : Yes, 15% to 20%.
Moderator: The next question is from the line of Mr. Manoj from Kiva h.
Manoj: I wanted to ask , will we do the call now every quarter and also, I wanted to congratulate you for a great performance ?
Akash Agarwal : Yes, now we are going to do the call every quarter .
Manoj: If I'm not wrong we had implemented SAP H ANA way back in 2017.
Akash Agarwal : No, we had implemented SAP but we have implemented H ANA I in 2022.
Manoj: And can you share has that been very helpful , one of the things and are we looking to improve the metric there with the number one player , are we putting more work there? Is that hel ping, is that one of the secret sauces for you in the last few quarters?
Akash Agarwal : No. First can you repeat your question? You spoke about SAP H ANA and then your voice broke .
Manoj: Like has that been one of the secret sauces for us and are we lookin g to benchmark? So , I know the largest player trend. They use SAP H ANA very effectively. Are we trying to you know trying to benchmark with them?
Akash Agarwal : We are not benchmarking with anyone. So , we are directly in touch with SAP and we are benchmarking with the industry best practices and we are spending constantly and I mentioned in my opening statement also that technology is a big part where we want to innovate and create some sort of differen tiation. So , there is a lot of development that is happening. So , we have an SRM , we have a store app. So , there are many projects that are happening and that are being implemented across. I think we will see the benefit of that going forward. But if you t alk about SAP H ANA, it's just a database change that the data has been moved from Oracle to a HANA database. So, obviously the reporting is faster , the extraction of data is faster , so we have better MIS and more efficient DC operations. But only that cann ot be the secret sauce behind this growth.
Manoj: Can you explain that you said 30 %-35% is the in -house design products and private label is 80%. So, what is the difference between the two?
Akash Agarwal : So, the rest are the designs that are developed b y our vendors. So , they give us a presentation and then we order it in our private label in our own in-house brands.

Manoj: If you can just share your thought on a bridge like you said 1 ,400 a square feet monthly sales versus I think 1 ,081 is the average company. So , if you can just share the bridge as I said in 5 years, we should go to like 2x that. So , can you just share some broad thinking if you ’ve not already shared?
Akash Agarwal : So, first target as a company for us is to reach Rs. 1,000 pe r square feet of sales annually. So, that is the target for this year. Then the next target will be 1 ,200, then the next target will be 1,500. So , the timelines again will depend how good we are and how good are we to actually execute our vision because th e vision is there now. It's

all about execution.
Manoj: New stores are starting in the same few months as how long they take and what sales per square feet do they start at?
Akash Agarwal : So, new stores typically start at a 20% lower PSS than old stores and it takes about 12 to 24 months for any new store to mature.
Moderator: The next question is from the line of Ankush Agrawal from S urge Capital.
Ankush Agrawal : The question is relatively similar to what the last participant was asking. So , you said the new stores started 20% lower since the square feet and then they mature over 12 to 24 months , right?
Akash Agarwal : Yes.
Ankush Agrawal : And once that happens typically what kind of growth is there like historically what has been the growth ? Because my understanding of the value detailing as a format is that initial 1-2 years of growth is there. Then there's a lot of a sign of saturation that reaches a particular store versus some of the other retai ling categories when the store starts very low and then scales up over a couple of years.
Akash Agarwal : I'm sorry I did not understand the question because the 37% SS G that we have shown , it has all the old stores as well as the new stores , the stores that had opened till March of 2023.
Ankush A grawal : Yes, obviously. I mean currently the kind of traction that you're getting is incredible. Generally , at a value retailing at the industry level I'm trying to understand the journey of a store. Like what we said makes sense that initially I think in 1-1.5 years you are typically reaching at a steady

mature level. But beyond that 1-1.5 years what's the gro wth part for a typical store? Is it like do you still get 10% efficiency or it's like 5% ?

Akash Agarwal : So, if you look at the consolidated number yes it will be around 10%. That is what we're targeting. But if you take out samples then of course there ar e some stores that do 25% whereas some stores only do 2% to 3%. So, those outliers are always there. But I think there is no I would say directional change or there's no change in the trend of a new store versus a n old store in terms of growth because onc e the store matures it acts pretty much like an old store.
Moderator: The next question is from the line of Madhav Agarwal from SG Investments.
Madhav Agarwal: Could you give a breakup of sales in physical stores versus e -commerce and what do you see trend?
Akash Agarwal : We currently do not have any e -commerce and 100% of the sales are from offline stores.
Madhav Agarwal: And do we plan to enter into e -commerce or online?
Akash Agarwal : Yes, we are evaluating the omnichannel model where we'll use the store inventory and we'll use all the stores as a warehouse and deliver to the same city because that saves a lot on the return and the logistic cost. So , we are evaluating that and we are workin g on it. We will comment on it I think in the next quarter.
Moderator: The next question is from the line of Abhishek from ABS Capital.
Abhishek: Just two questions I wanted to ask. One you are telling that from henceforth we will go more towards contrac t manufacturing , so that will reduce cost , right? Is that the reason why you're doing it?
Akash Agarwal : No. We have our own manufacturing units where we save about 10% to 15% on cost. But we are passing that on to the consumer because all the other goods are done in contract manufacturing only.
Abhishek: No, you have first said henceforth you will increase the contract manufacturing and reduce your own manufacturing , so will it help in margins?
Akash Agarwal : No, it will be a very similar cost. There wi ll be no change in cost because our manufacturing capacity is constant and now , we are increasing sales. So , the contribution of manufacturing will keep going down as we are growing. That's what I said.

Abhishek: Your growth is very nice. So, just wanted to know like how you are competing with the online competition? Like are your customers different from the ones who are doing online shopping , if you are supplying to those people who are like one str ata below , is my understanding correct?
Akash Agarwal : So, you need to understand the economics of online retailing in online. If you're selling at the ASPs that we are selling at that is around Rs. 250-260. Then you need a markup of more than 150%. So , suppose you have a product for Rs. 150, you have to sell online for more than Rs. 350 to actually make any money on it because of additional logistic cost , return cost , COD cost, RTO cost. So , there are a lot of cost s associated with online retailing that doesn't allow people to sell off such low ASP pr oducts. That is why internationally also Primark doesn't sell online and a lot of value retailers don't sell online because it's not economically feasible. So , I wouldn't say that we are in direct competition with any of the online retailers because most o f the products that you're getting at this price is usually two or three seasons old for brands or it's a much -much lower value product than what we sell in our stores.
Moderator: The next question is from the line of Tushar Sarda from Athena Investments.
Tushar Sarda: I have two questions. One is I wanted to know your seasonal distribution of sales and second you mentioned that some stores are doing much higher sales. So , if you can provide some idea on what are your highest selling stores and how many percentage of your total number of stores what would that be?
Akash Agarwal : Can you repeat your first question , please?
Tushar Sarda: Seasonal distribution of sales. How much you did in Q1, Q2, Q3, Q4?
Akash Agarwal : So, because of the Hindu calendar the festivals keep on changing , the dates keep on changing. So, it's very variable. So , if Durga Puja happens later then the percentage of sales in Quarter 3 increa ses. So , talking about the contribution it varies according to the Hindu calendar festivals. But the highest sales are in Quarter 3, then second is Quarter 1, then the lowest sales are usually in Quarter 4. So, that is how the seasonality is impacted. And what was your second question?
Tushar Sarda: I wanted to know your per square feet sales. You mentioned that some stores do very high sales. What is the highest that you do in terms for a full year , for last year , what is the highest per square feet sales achieve d and how many stores would cross the benchmark of Rs. 1,500?
Akash Agarwa l: I will have to check the exact number and we don't share the exact number. But we do have a

few stores that do annually more than Rs. 1,500 per square feet of sales.

Moderator: The next question is from the line of Khadija Mantri Capri Global.
Khadija Mantri: My question is on the competitive intensity. So , Reliance has also launched this affordable clothing brand. So , do we compete with them or the average selling price is much higher than those type of stores ?
Akash Agarwal : I haven't personally visited; I think it's called Youthstar. But I think it's in the similar price range of Z udio which is higher than us. But like I said the market is big enough to actually accommodate multiple retailers. So , this is not a cause of concern because more and more people will enter this because this is such an attractive space. So , we are focusing on making ourselves strong enough that we don't have to worry about competition.
Khadija Mantri: But R eliance is kno wn to be a little aggressive when it comes to pricing or capturing the market shares. So , what are your thoughts on that?
Akash Agarwal : I would say like even Z udio opened 200 stores last year and they have opened a lot of stores in the same area where we are pres

ent. But we haven't seen any sort of impact in sales. So, even if Reliance is being aggressive, I think our growth expansion strategy is also pretty aggressive. So , if we focus on doing the things that we've been doing right then again like we're focusing on ourselves.
Moderator: The next question is from the line of Prathamesh Dhiwar from Tiger Assets .
Prathamesh Dhiwar: Just if I missed it earlier couple of questions. As we plan to open 50 to 60 stores , so how much investments is going to be th ere to open th e 50 to 60 stores? And my second question is if we open a store let's say today so how much time it will take to reach the revenue per square feet of Rs. 1,000.
Akash Agarwal : So, answering your first question , we plan to open 40 to 50 stores and the investment required for that is about 110 crores which we will be completely financed through internal accruals. And second question when a new store opens how much time it takes for it to reach 1 ,000, so again it completely depends on the company base. If you spoke to me last year , I would have said the store will take 2 to 3 years. If you talk to me this year , I will tell you that it's 1 to 2 years and maybe next year if we continue this growth then the new stores from the first month itself are doing Rs. 1,000 per square feet. So , it depends on the company base because it's like 15% to 20% lower than the company average.
Prathamesh Dhiwar: And just last question. I think you said we are expecting 30% to 40% revenu e growth and around 4.5% of PAT margins for FY25. If I'm not wrong.

Akash Agarwal : Yes.
Moderator: The next question is from the line of Pre rana Aman na from P NARS P artnership.
Prerana Amanna: I have two questions. First of all, when it comes to manufacturing , what percentage are you getting manufactured in -house and how much are you giving it for like a third -party manufacturer?
Akash Agarwal : 16% of our sales are manufactured in -house and 84% is outsourced.
Prerana Amanna: And this will reduce as your scale of operations increase , right?
Akash Agarwal : Yes.
Prerana Amanna: And the last one is I think in your beginning comments , you told that 80% right now of your sales to your proprietary brand. So , are you telling me that t he rest 20% that is there you're selling other people's brand in your stores?
Akash Agarwal : Yes.
Moderator: The next question is from the line of Virendra Bajaj , individual investor.
Virendra Bajaj: I just had a few questions. What sort of inventory tu rnover in times are we looking at for this year and the next year?
Akash Agarwal : So, the target inventory number is 90 to 100 days that we're looking at. And going forward we would like to reduce it to 80 to 90 days.
Virendra Bajaj: And you said that you have increased your private label sales quite a bit. So , what sort of extra margin are we getting in private label sales versus the third -party brand sales?
Akash Agarwal : We do not get any extra margins because that is our strategy. Whatever benefit and cost we get we pass it on to our consumers.
Virendra Ba jaj: And if I can just understand what sort of revenue per square feet are we getting from new stores like that we open in the current year within less than one year ?
Akash Agarwal : We don't share those exact numbers.

Virendra Bajaj: Also , another questio n I had is that I was looking at your pre -IndAS consol numbers. You have reduced your expenses by almost 3% of revenue. So, just to understand how that was achieved by the company ?
Akash Agarwal : What have we reduced ?
Virendra Bajaj: The other expenses in the pre -IndAS consol numbers for this quarter . Your other expenses have gone down almost by 3% of sales.
Akash Agarwal : So, that's because the sales have gone up. Like I said it's a fixed c

ost business. The rent is always going to be Rs. 54 per square feet even on Rs. 800 per square feet of sale and even on Rs. 1,054 square feet of sale. So , if you look at it the per square fee t of sales have risen almost 33%. So, of course, cost as a percentage will come down.
Virendra Bajaj: And while we expand more so in the current geographies , are we planning to like open more in like cities or more in the smaller towns?
Akash Agarwal : So, like the kind of customers that we cater to , they are present across tiers. We have around three stores in Delhi also and they are also doing reasonably well. So, we are targeting Tier-I, Tier-II, Tier-III, wherever we get a good enough site where we think we can achieve those sales at our cost.
Virendra Bajaj: One last question. What is the sort of payback period that we have for our new store that we are opening now?
Akash Agarwal : It should be around I think 3 years .
Virendra Bajaj: Payback period ?
Akash Agarwal : Yes.
Moderator: The next question is from the line of Naveen B aid from N uvama Asset Management.
Naveen Baid: If I look at your numbers historically your depreciation used to be about 1% to 1.5 % of your top line. Now if you strip off the depreciation on R OE assets , is the depreciation going to be around similar lines which is gone to 1% to 1.5% ?
Akash Agarwal : Yes. It's going to continue to be that in pre -IndAS numbers.

Moderator: The next que stion is from the line of Manoj from Kiva h.
Manoj: If you can share some details on Zudio . As you said Zudio has opened the stores near you. If you can share how near and in case of any research that why has that impact not happened? I think you said the ASP is much higher than ours but as you said that t -shirts start at a lower price , so if you can just share m ore colors ? So, if you can address that concern that it's a totally different market if you can share that. And also , the Rs. 54 would have an escalation clause of 5% a year and the average was 5%.
Akash Agarwal : And there are some Zudios within 1 km radiu s, there are some within 5 km radius. And we do some sort of benchmarking in terms of competitors for all our stores. But what we have found out is our kids -wear contributes almost 26% of sales. So , we have a lot of family customers coming into the stores whereas Zudio kids -wear is almost nonexistent . So, I think one big reason is that and the second reason is like I said it's a completely different target customer with very little overlap. That is why I think we haven't seen much impact on our sales in tho se particular stores.
Manoj: And that low overlap is because of the product fashion trend or the price point or both ?
Akash Agarwal : I would say price point because even in our stores , usually when we study the parking space it's usually two -wheelers and we don't have a lot of four -wheeler owners as customers. Whereas I would say like if we visited Zudio, it has a lot of four-wheeler owners also. So , there's a change in the target customer.
Manoj: If we look at just reading the numbers you're sharing , kind of the R OE is coming much higher than 20 %-22% is probably inching to in the 30s. Also , the payback period is not looking like 3 years , if you just look at what we have. Is that okay? Where am I going wrong here?
Akash Agarwal : We like to un der promise and over deliver. So , we are happy with a 20% R OE also. Like if we get more than that then good enough. But the guidance that we give going forward like even if you're getting an R OE of 20% to 22%, we are happy with those numbers.
Manoj: And s till sh are something 110 crore s for store CAPEX , what was that number?
Akash Agarwal : So, that 110 crores is total investment. Out of that the CAPEX would be about 40 to 50 crores and the rest would be for inventory , working capital.
Manoj: Th

is 110 will be spent over the next over the next ?

Akash Agarwal : Next 9 months.
Moderator: Thank you very much ladies and gentlemen. I would now like to hand t he conference over to Mr. Akash Agarwal for closing comments.
Akash Agarwal : Thank you everyone for joining on the call. We hope we have been able to answer your queries . For any further information , we request you to get in touch with Marathon Capital , our investor relations advisers. Thank you and have a nice day.
Moderator: On behalf of V2 Retail limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

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CIN: L74999DL2001PLC147724, Tel.: 011 -41771850 29th October , 2024

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Rotunda Building, PJ Towers, Bandra Kurla Complex
Dalal Street, Mumbai – 400 023. Bandra (East) Mumbai –400 051
Scrip Code: 532867 NSE Symbol: V2RETAIL

Sub: Transcript o f Earnings Call Q 2 & H1 FY 2024 -25 - Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), please find enclosed the transcript for the conference call with the Analysts/ Investors for the Q2 & H1 FY 2024 -25 Financial Results of the Company conducted through digital means on Friday , October 25, 2024 at 12:00 Noon IST .

The transcript shall also be uploaded on the website of the Company. You are requested to kindly take the above on r ecord.

Thanking you,
YOURS FAITHFULLY ,
FOR V2 RETAIL LIMITED

SHIVAM AGGARWAL
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

“V2 Retail Limited Q2 & H1 FY-25 Earnings
Conference Call”

October 25, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company’s website will prevail

MANAGEMENT : MR. AKASH AGARWAL – WHOLE -TIME DIRECTOR , V2 RETAIL LIMITED

Moderator : Ladies and Gentlemen good day and welcome to V2 Retail Limited Q2 and H1 FY25 Earnings

Conference Call.
As a reminder , all participant s' lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
Before we begin a brief disclaimer , the presentation which V2 Retail L imited has uploaded on the Stock Exchange and their website , including the discussions during this call , contains or may contain forward -looking statements concerning V2 Retail Limited business prospects and profitability which are subject to several risks and uncertainties and the actual result could materially differ from those in such forward -looking statements.
I now hand the conference over to Mr. Akash Agarwal – Whole -Time Director , V2 Retail thank you and over to you sir.
Akash Agarwal : Thank you. Good afternoon , everyone. A very warm welcome to our Quarter 2 and first 6 month s Earnings Conference Call . I hope everyone has had an opportunity to look at our results. The "Presentation and Press Release " have been uploaded on the Stock Exchange and our Company 's website.
Building on the momentum of a record FY24 performance , we are pleased to report a strong first half performance in FY25. Our outstanding results underscore the effectiveness of our strategic initiatives. The performance demonstrates ou r commitment to sustainable growth , customer delight and operational excellence. We are confident in our ability to maintain this trajectory , driving continued success and value creation for our stakeholders.
Our team of designers , merchandisers and invent ory manager drives our competitive advantage distinguishing us from the competition. Their specialized knowledge enables us to design on trend products , that captivate customers , curate assortments that anticipate market shifts and optimize inventory for e fficiency and sustainability. This expertise fuels our ability to stay ahead of fashion trends , meet customer needs with precision and minimize waste and maximize value. Our team's expertise is the backbone of our success , empowering us to deliver exceptio nal products , experiences and value to our customers.
Let me start with some key updates :

We are thrilled to start the current financial year with record half yearly sales during the first half of FY25 and a 2551% increase in year -on-year PAT.
The Company added 22 net stores during the first half of the year , taking our total store count to 139 stores. We have added another 5 stores during the current quarter taking the current store count to 144 stores. The store addition momentum will continue as we have a very healthy pipeline of upcoming stores. We have seen robust demand in the ongoing Festive Season, and we are very hopeful that the ensuing wedding season and the winter season will further strengthen our position in the areas we operate. The growth ac ross all our stores have been encouraging , translating into a robust SSSG of 36% in the first 6 month s of this year. We have been able to consistently deliver high double -digit SSSG for the last few quarters due to our customer centric and product first ap proach. The volume growth has been 49% in the first 6 month s of the year. The full price sales contributed 91% in the first 6 month s of the year compared to 85% in the last year f irst 6 month s. We believe that our sustainable and scalable business model wo uld help us to improve our ROCE and ROE going forward.
Now I will highlight some performance highlights for the first half of this year :
Revenue from operations stood at 795

crores , registering a growth of 61% on a year -on-year basis . Gross margin stood at 28.2% compared to 29.4% last year. EBITDA for the quarter stood at 88.5 crores as compared to 55 crores in the same 6-month period last year , registering a growth of 60%. EBITDA margin stood at 11.1% as compared to 11.2% last year. PAT stood at 14.4 crores as compared to 50 lakhs in the corresponding period last year.
Now performance highlights for the quarter :
Revenue for the quarter stood at 380 crores , registering a growth of 64% on a year -on-year basis . The gross margin stood at 27 .3% as compared to 28.1% in the corresponding quarter last year. EBITDA for the quarter stood at 33.1 crores as compared to 19.9 crores last year , registering a growth of 60%. EBITDA margin stood at 8.7% as compared to 8.6% in the corresponding quarter las t year. With this now I leave the floor open for questions. Thank you.
Moderator : Thank you very much . We will now begin the question -and-answer session. Our first question comes from Abhishek from ABC Capital.
Abhishek : Just wanted to know what was the cause for the loss in this quarter , like was it a conscious decision in order to get higher volume and will it happen in future going forward ?

Akash Agarwal: So, it is historically a cyclical business. So, historically Q1 and Q3 are our strong quarters. B ut I think because our base has increased , now all four quarters are EBITDA positive which was never the case. So , we will continue to deliver EBITDA positive in all four quarters. But if you talk about PAT numbers yes , it's a cyclical business where the f estive season is during Q3. So, that's usually our best quarter. Then it's followed by Q1 and Q2 is a bit muted and then it's Q4 .
Abhishek: And the investor presentation showed that two stores were closed , what was the cause?
Akash Agarwal: So, one store was not profitable. We always take into contingency that if you open 100 stores we might have to shut down 4-5 stores and one store we had to relocate because we found a better flow plate and a better location in the same city.
Moderator: The n ext question comes from Palash Ka wale from Nu vama Wealth.
Palash Kawale: My f irst question is on employee cost. So , our employee cost was slightly elevated in the quarter. So, if I look at the historical trends from Q1 to Q2 , there's not much difference in employee cost. But this time we were slightly elevated. So , any particular reason or just store additions?
Akash Agarwal: So, like we are planning to open another 20 stores in the third quarter. So , what happens is there's a lot of recruitment that hap pens prior to the stores being opened. For example , there are 10 store managers already getting training in a lot of our old stores. So , there will be a slight increase in cost because of the new store openings.
Palash Kawale: So, what is the total number store that you plan to open in H2?
Akash Agarwal: It should be around 40 stores.
Palash Kawale: If I look at the size of the opportunity or potential number of towns or cities in the country , how do you see that long term opportunity or what is the particular deciding factor that you take into consideration if you want to enter a new town?
Akash Agarwal: I think it's too early to have that conversation because until unless we reach 3000 -4000 stores there is enough potential because we look at any constituency that has a population of more than 5 lakh and there are a lot of Tier-I and Tier-II towns where we can have multiple stores. For example , now in Bhuvaneshwar we have 5 stores , in Patna we have 6 stores. There is a lot of scope still left. I think that conversation is once we reach thousands of stores.
Moderator: The next question is from Yash from Stallion Asset.

Yash: I just want to u

nderstand how the festive season has been like, we h ave already been about three weeks through October. How a re you assessing the demand right now?
Akash Agarwal: I would say even in the first half of the year because we had such a good SSG last year 31% . We had projected only 15% SS SG but we performed ver y well and we exceeded our own expectations and we got a 34% and we have seen that momentum carry on to October as well. But a lot depends on November and December and the winter and the wedding season. But I would say , we are still doing high double digit SSSG and we have seen the footfalls also increase quite a bit. So , it's been better than what we predicted.
Yash: And as you said October come in your third quarter ty pically is the strongest quarter for the Company . If I look at the December 23 quarter you had grown by almost 62% quarter -on-quarter. Before that December ‘22 quarter you had grown up with 25% quarter -on-quarter. So, do you think then this quarter as well we could see , I'm not talking about exact numbers but I'm just saying that direct ional ly you would see , 25%-30%-40% on something along those lines like a very big jump o n a quarter -on-quarter basis ?
Akash Agarwal: If you talk about , yes total revenues , the revenue growth should be more than 30 %-35%.
Yash: On a quarter -on-quarter basis you are saying ?
Akash Agarwal: Yes.
Moderator: The next question is from Ankush Agarwal from Surge Capital.
Ankush Agarwal: The first question is around profitability. So, how do you see profitability going into third quarter and for the full year , given th at gross margin is something that we have seen consistently reduce a percentage or so of every quarter ? And I do understand that reducing the gross profit margin but having higher operating leverage in the EBITDA margin is doable. But at what point do you believe this gross margin will stabilize and at what level?
Akash Agarwal: We have always mentioned that instead of focusing on gross margin percentage , we always focus on EBITDA percentage. So , if you look at the first 6 month s, last year our EBITDA pre -Ind- AS was 16.7 crores and this year it's 40 crores which is almost a 140% jump. I think if you look at EBITDA , we have been exceptional and going forward we always guide that we want to reach 10% pre -IndAS EBITDA levels in the next 2 to 3 years.
Ankush Agarwal: Any idea on how much you will be able to reach this year FY25 ?

Akash Agarwal: This year our EBITDA guidance is about 120 crores , pre-IndAS .
Ankush Agarwal: The second question is around store addition. So , for the last two-three quarters we have consistently seen , you are exceeding your store guidance. Now this quarter you are saying that you are going to add another 40 stores in H2. So , you would be exceeding your earlier guidance of 50 stores in FY25. I wanted to understand at what point of time do you think that you will curtail the store expansion? Because beyond a certain point aggressive store expansion will obviously put constraint on operating leverage , your cash flow and working capital requirements. And over time the SSG itself is going to taper off from the current high level. So, that itself would not allow lots of operating leve rage on exist ing stores to put more new stores. So, at what point do you think you will curtail this aggression because given the guidance of H2 , you will probably close FY25 with around 50% store growth ?
Akash Agarwal: Yes, but if you look at the last 4 years it was a period of consolidation and there wasn't much growth and we did not add a lot of stores. We were focusing on strengthening our mode l. We were focusing on strengthening our product and now we see the results of the hard work that we put in the last 4 years. So, now we feel like if we get a ROE of around 20% then we can easily

open 50 -60 stores in a year. I don't think it's a very ambit ious number and that is why if we get a good location and even the new stores , the base is much higher now. So , 2 years back the new stores used to do Rs. 600 per square feet per month but now even the new stores have a base of Rs. 900 per square feet per month. So , we don't want to keep money in the bank when we have the management bandwidth and the merchandising bandwidth to be able to open 50 -60 new stores with internal accruals because we are not leveraging our business in order to open these stores. I think it's a very realistic and a target that we can easily achieve without compromising on business metrics.
Moderator: The next question is from Varun Singh from AA A PMS .
Varun Singh: My first question is on the productivity improvement revenue per sq uare feet number is quite good for us right now. But on this front like how do you look at how much scope is left for improving this number further from the current level of maybe Rs. 900,000? That's my first question.
Akash Agarwal: If you talk about scope, we hav e like I think more than 20 stores that do more than Rs. 1,400 per square feet of sale also. So, I think the day we feel that each and every option or the whole assortment in our store is best in class , best in the world that day we will be ab le to tell you this is the potential that the maximum per square feet sale that a store can do. But I don't think we will ever reach a day where we feel we can't do anything better in our assortment. So , like I said, even with the 31% SSSG last year , we ar e showing a 34% SS SG this year. So , there are a lot of

stores that are already doing Rs. 1,400 per square feet. They are also growing at 20 %-25%. I don't think there's a gap to this number. But yes , our first target was to reach Rs. 1,000 per square feet o f sale which we will do. I think we will exceed that this year. And our next immediate target would be Rs. 1,200 per square feet of sale per month. But if you talk about potential , if your product is world class and if you sell products at the margin that we sell which is best in the industry , it’s only a 55% markup and we are selling 91% of our products at full price then the sky is the limit. There's immense potential.
Varun Singh: On Rs. 1,400, 25% SSG if we are able to do it so then like 1 ,750 is the number and if we do into 12 so that Rs. 20,000 odds per square feet annual. That number is quite good. And secondly on the product development front , what are the key markers for us with regards to what are we doing currently to keep the team at the best in class , if you can maybe want to highlight anything on that front.
Akash Agarwal: Every product has four main attributes. It's the design , the fabric , the color , the fit. So , it's getting all four correct. So, even if you get three of those ri ght and one wrong then the product doesn't sell. So , in terms of product development , it's all about research , it's all about who your inspiration brands are , what kind of fashion you are following , what kind of brand identity you are trying to create. So , like it's very hard to put into simple words but there are N number of processes that the team has to go through. Whether it's using some paid tools in order to get what colors forecast is there for the next season , what kind of fits are going to sell in the next season , what kind of new fabrics are going to sell in the next season. So , it's a mixture of using data , leveraging data in order to see historical trends as well as forecasting future trends and creating assortment with the best blend of both of that.
Varun Singh: So, that's about the product development and about the team ?
Akash Agarwal: We have almost a 40-to-50-member team and all the crucial people have been given retention bonuses and they are all

linked to the profitability of the Company . They all have incentives also
that is linked to their targets. So , it's a healthy situation to be in.
Varun Sing h: Actually , what I meant was like maybe how many foreign trips etc . that the team would be doing
or like what are the activities that they are doing to which is leading to this fantastic revenue per
square feet numbers , etc. So , I was I just wanted to maybe… .
Akash Agarwal: I don't know the exact number of trips but the team travel s.
Varun Singh: Not exactly I mean but anything on that front.

Akash Agarwal: So, there's both international and national brands that we follow and there's a lot of international
I would say sourcing in terms of accessories and fabrics, which is very important to create the
latest fashion. So , when I say research , it has to be done internationally and domestic both and
all the division h eads, they travel they see what's going on , what's the new trend and that's how
we design our new season.
Varun Singh: In any of our location is there a Zudio store nearby and if yes how has been the performance of
the store in that location? That's my last question.
Akash Agarwal: I think we share almost 20 stores where a Zudio is within a 3–4-kilometer radius next to our
store. But we haven't seen any sort of significant impact d ue to Zudio opening because our ASP
is Rs. 260-270 whereas Zudio's ASP exceeds 500. So , the customer class is different. There
might be an overlap but it's very small overlap and India is a big market where more than 80%
is still an unorganized retail. So , it can easily accommodate 4-5 big national level players. But
of course , it of course depends on who's executing their plans well and what kind of a niche are
you targeting and what where do you position your brand .
Varun Singh: For these 20 stores our re venue per square feet would be more than Rs. 1.000 per month ?
Akash Agarwal: I would have to take out the average. But now the Company average is more than 1,000 . So, yes,
I think it will be more than 1,000 .
Moderator: The next question is from Chintan Sh ah from JM Financial Family Office .
Chintan Shah: I just had one question. If you see right now the scenario , everybody is looking to add capacity
or add stores and within our segment or slightly ori ginally in the premium segment. So, I just
wanted to understand this is not from the next three to four quarter perspective but slightly
medium term. What's giving us confidence that considering the end customer we cater to which
is sensitive to macroeconomic factor . So, what's giving us the confi dence that we add such stores
and beyond three -four quarters as well? Basically , such demand trend will continue and we won't
see a situation of something like that happened in FY18 -19. We started adding stores and
gradually we saw store numbers declining and then something or other that helps us and then
we get impacted. So, this time just wanted to understand what is giving us the confidence that
we won't face a similar situation across the industry and for us as well.
Akash Agarwal: So, the biggest chan ge I would say is the business model itself and we completely reinvented
ourselves. So , in FY18 -'19 were essentially doing a commodity business where there was no
product differentiation , there was no competitive advantage. You could find the same designs or
similar products in other stores. So , there was no brand identity. So, now the work that we have

put in the last 4 years , now it's a completely different business model. So , it's a product first
approach. And if you talk about value fashion and fast fas hion, it's a global phenomenon for the
last 10 years , if you look at brands like She in, if you look at brands like Pretty Little Liars ,
Primark , so this is a seg

ment which is not cyclical as a sector . There will always be value
conscious customers and in India the middle class is booming. So , there would never be a time
where we would not have a customer base. The customers that we're targeting is anyone who
earns between Rs. 10,000 a month to almost Rs. 70,000-80,000 a month. So, that covers almost
80% o f India. So , if you talk about the business model then like this because the Gen Zs have a
very different shopping habit where they are looking for affordability and the frequency of
purchases have also increased. So , it plays into our strengths and the co nfidence comes from the
fact that we have been able to increase our per square feet sale from I think it was 680, 2 years
back and now this year we will do more than 1 ,000. So , it shows that the acceptability of the
product is there and the customer is act ually seeing the value that they are getting and they know
that the kind of quality that they are getting in V2 , it's an unmatched price. So , everybody
understands value and especially India there are a lot of value conscious customers. So, that's
what giv es us confidence that it's the result and it's the footfall growth , it's the revenue growth ,
it's profit growth. And the best thing about this business is the same bandwidth can handle 100
more stores because you essentially have to just plan the same numb er of options. So , we want
to leverage our existing team , the foundation that we have laid and that's why we want to expand

now because the last 4 years were a period of consolidation, and it was a period of reinventing ourselves. It was a period of working on increasing our per square feet sale and working on the product and we feel we have been able to do a good job in that and that is why we feel now we want to increase our footprint .

Chintan Shah: Just one follow up on that. So , if we see all the other organized players also, even they are trying to do is getting more into private label sales. That is what they are trying to. My biggest concern is as they increase the store count ov er next 2 years basically , then does that value proposition or the increased competitive intensity could hamper our SSSG growth ? And as we put more stores actually the numbers that we're looking at probably that could be lower and that could impact our ove rall financials.

Akash Agarwal: It's not about who does private labels or who does product development. Even if you look at the best brands in the world like if you compare Zara to any other brand , it's not like Zara has a different process. Everybody doe s product development but it's how you do it. And at the end of the day , it's the assortment that you put in your stores. So, we feel, and the numbers say that the assortment that we have is much superior to our peers. So, it's not that anyone who increase s their private label contribution or product development is going to get an SSG or it's going to grow their throughput because like it depends how you are executing it. Because like I said even

a brand who does Rs. 1200 per square feet of sale does the sa me process. And a brand who does Rs. 700 per square feet of sale does the same process. So , the secret sauce is not the process but the result of the output or the assortment that you get out of it.

Chintan Shah: And just one last question from my side that is on margins , this quarter when we had such a strong SS SG growth plus ASPs increased plus discounting discounted sales has been lower. Such a quarter where margins have actually been flat. Now from a next couple of years perspective when you are adding so many stores that obviously cost is going to come in and the current existing stores if I see the margins have been similar. So , while you are guiding for 10% pre-IndAS EBITDA margins , how do we reach there basically ? What will drive th

is margin
expan sion?

Akash Agarwal: So, most of our costs are fixed cost. It's the fixed cost business where variable cost is a very small proportion of total cost. So, even if we increase our sales by 10%, you are essentially increasing profitability by 18 %-19%. So, even in the future we are guiding for an SSSG of 10%. So, if you do the math within 2 years , we will reach an EBITDA percentage of 10% pre -IndAS .

Chintan Shah: Would not that should be impacted by the cost it will come in from the new stores ?

Akash Agarwal: No, the cost would not exceed Rs. 200 per square feet per month even if you are opening new stores.

Moderator: The next question is from Harsh from N epean Capital.

Harsh: While all my rest of the questions have been answered , the only question I had was on the store closure going ahead. So, with nearly 9 stores being closed in FY24 and 2 stores being closed in the current quarter what is our target store closure for going ahead?

Akash Agarwal: So, currently we don't have any stores that are below the line where we decide to close the store. But like I said we are opening so many new stores. So , there's always a contingency and we always take that into account that we might have to shut down 2 %-3% of the stor es. So , the store closure cost is about Rs. 300 per square feet because most of the fixed assets and other things can be used in the other store. So , it's a part of business and whenever we open stores we know there might be a chance that we might have to shut it down. That's about the closure rate should be about 3 % to 4%.

Harsh: I couldn't really understand the contraction in our gross margins , the ASPs have improved, and the earlier participant also said that the discount rates have also gone down. But despite that the gross margins have remained slightly lower. So , the reason for that.

Akash Agarwal: We focused a lot on marketing and our marketing cost is a part of our COGS . That is why it is reflected in the gross margin. So , we have been running a lo t of schemes and offers for our customers to increase the average bill value and to increase the conversion and we have seen good results of that. Going forward also like I said we don't want to target a gross margin percentage number . As long as our absol ute EBITDA and EBITDA percentage increases , we don't want to focus on just gross margin percentage. At the end of the day what matters is if your sales are increasing 20% and your gross margin is decreasing only 5% , so, it's still better for our business.

Moderator: The next question comes from Yash Sont halia from Buoyant Capital.

Yash Sonthalia: My first question is , as earlier participants also mentioned like we are upgrading our guidance of store opening , so will we be able to open those stores from the internal accrual or our debt on the balance sheet will increase for the year?
Akash Agarwal: No, it will be through internal accruals and even that the debt that we have on our books is essentially for bill discounting. So , our vendors have a facility where they can take payments and they can discount their bills whenever they want. So , we have a CC limit from the bank, and we use it because we want to be one of the best pay masters in the industry and we want to give that facility to our vendors.
Yash Sonthalia: And second question like everyone was mentioning , the competition in the market is increasing. So, many of your peers are opening more and more store like you. So , do you think this will increase your cost of acquisition of customers, like in t his quarter the advertisement cost increased due to which the gross margin has declined ? So, do you think structurally your employee cost or maybe your marketing cost will increase?
Akash Agarwal: No, I don't think it will increase but rather I would say a s we are opening mo

re stores , we will be able to leverage our head office and DC costs. So, going forward I think the cost per square feet will come down when we open more stores.
Yash Sonthalia: And we were doing some improvement on the inventory side in our warehousing and stock keeping units. So, where are we on that?
Akash Agarwal: What kind of improvement?
Yash Sonthalia : So, the backup stock we were trying to reduce from 30 days to 15 -20 days with more orders coming on time.

Akash Agarwal: So, we have been able to increase the on-time delivery from almost 40% to 80% in the last 7-8 months by educating our vendors , by improving our T &A, by hiring a lot of QCs at the source city. And the inventory change that you are talking about , it will start to be in effect from Quarter 4.
Yash Sonthalia: What are our expectations or the ballpark number of inventory days for the upcoming years?
Akash Agarwal: We should be able to reduce it by 10 days from the last 18 months historical numbers.
Moderator: The next question is from Tejas Shah from Av endus Spark Institutional Equities.
Tejas Shah: First question is , when you see the numbers , it is largely that yo u have kind of countered the overall slowdown and at the same time your number also confirms the feedback that you are getting from FMCG companies that there is some uptick at the mass end of the pyramid. So, just wanted to know when you double click on yo ur growth based by Tier-II, Tier-III and then metro wise what are the consumer trends that you are reading at overall level?
Akash Agarwal: I would say the macroeconomic factors are still a bit negative. Even if you look at the results that have come out in consumer durables and FMCG companies it's not that promising. So , I would say the growth that we are showing now is down to our own strength and the changes that we have made. So, even if you compare it with our peers , we have been much ahead. So , that macroeconomic push is still pending where the overall demand has seen an uptick. So , when we see that then the numbers will be even better because overall rural and Tier-III, it has been a bit of a slowdown in the last 18 months.
Tejas Shah: And just to e xpand that point , are you also seeing that your metro or Tier-I store would have not done as well as your Tier-II-III-IV stores?
Akash Agarwal: No in fact , we have almost 5 stores in Delhi now and 3 of those stores do better than national average. So, even if you have a Tier, I store the strategy around the location matters a lot. So, even in Delhi , we are located in a location called Ma hipalpur , Kapashera. So , you have to be in a location where there are a lot of migrant population and there is a lot o f low er middle -class , middle class customer. So , like I said the customers that we cater to is 80% of India. So, even in Tier-I there are people who are servicing the upper class. So , if we open a store there then it does well.
Tejas Shah: Second question just to get some sense on the nature of expansion that we are planning , are we focusing on deepening our presence in existing markets or are we entering new states , new

markets ? And additionally, if you have to just give a ballpark what percentage of expa nsion will be in existing states or markets versus the new one ?
Akash Agarwal: I think 80% of the expansion would be in existing clusters or states that we are already presented. But yes , we are testing new markets also because the next 2-3 years we want t o be a national level retailer but only 1 or 2 stores there to test the water check the local trend and strengthen our model in that particular state and then we will expand in that state. But I think around 80 %-

85% will be in existing clusters and states that we are present in.
Tejas Shah: Usually what is the th

umb rule that we should work with , for 50 more stores how much of DC area you will need to add, or will you need a separate altogether a new warehouse to support this expansion?
Akash Agarwal: So, the figure is around like 15% you always need as a warehouse space of your total retail area. So, if you are opening 50 more stores at 5 lakh square feet, we would need about 75 ,000 to 1 lakh square feet extra for that.
Tejas Shah: This will be brownfield or you will kind of zero down on a new location ?
Akash Agarwal: So, currently we are servicing everything for Farooq Nagar. So , we have taken another DC that can support us for another I think 80 -90 stores. So , like the kind of expansion plan th at we have , maybe in the future we will have regional DCs where we have South DC, East DC and a North DC.
Moderator: The next question comes from Rahul M , a retail investor.
Rahul M: I had a couple of questions. First it is around increased manufacturin g facility that you have, I think in the last call you had mentioned that there is a 10 % to 15% cost advantage that you get for the apparel which is manufactured in -house versus what you source. I was wondering whether there is any plan to expand the capac ity of that subsidiary or if it doesn't make much business sense whether you are going to halve it off and free up some capital ?
Akash Agarwal: So, plans to expand the manufacturing facilities and the whole idea behind it was to get the kind of efficiency where we can negotiate with our vendors better. So, now we have transparent costs of making each and every garment and it has really helped us in getting contract manufacturing also done. So, now last year our own manufacturing constituted 20%. It's already down to 15% and it will keep going down in the future. So, we have been able to achieve the goal behind why we opened those and now we have been getting that benefit of cost by showing the k ind of efficiency that we show in our own factory and tying up with good manufacturers.

Rahul M: And another question is that although last 2 years have been amazing from execution standpoint . But I think almost sky is the limit. You also mentioned earlie r in the call that (+1000) stores can be reached with that as well. So , as you expand are there any special initiatives that the Company is taking to expand the management capacity or any people or HR practices to bring down the retail store attrition or m aybe run a loyalty program for the repeat customers and so on?
Akash Agarwal: So, there's a lot of things always happening and there's a lot of hiring also happening. There's a lot of retention things that have happened. Like I said there are a lot of ret ention bonuses also. There's a lot of team building activity and the kind of training and the career paths that we have in our Company , I think that is why it's one of the best in the industry because we have a lot of examples where the sales person sees t hat like our retail head was a salesperson and he started from th is low level and now he's a retail head. So, there are a lot of examples within the Company that motivates others in a way that they see that they can have a similar career path because there are a lot of internal appraisals that happen and I think that's good for any Company .
Moderator: The next question comes from Shreyan sh Jain from Swan Investments.
Shreyansh Jain: You mentioned that your cost per square foot is about 200 bucks a month. Now if I were to think about the total store area at the end of FY25 , so my sense is we will end at about 18 lakh square feet. And if I take Rs. 1,000 square feet of sale so we will do about 1 ,800 odd crores and like we're saying we do gross margins of 25%. So , I'm just trying to understand when you are saying 120 crores of EBITDA for the year. Math doesn't add up because you do Rs. 200 a

square foot ,
so that's 2 ,400 cost , 2,400 per square foot into 12 probably. So , into 18 lakh square feet. So, that's a bout 430 crores of cost and you are going to do in gross margins of about 450 - 500 crores. So, you actually end up with about 3 % to 4% EBITDA margin. I'm just trying to understand how are we getting 120 crores of EBITDA. Can you help me understand?
Akash Agarwal: Because the gross margin that you are taking is 25 whereas the actual gross margin is 28. That's where the error is.
Shreyansh Jain: But you also mentioned that Q2 and Q4 is slightly weaker f or you, so blended you think you can end the year at 28%?
Akash Agarwal: Yes, b ecause Q3 is good . Q3 is usually 30% gross margin.
Shreyansh Jain: And in this Rs. 200 square foot a month you don't see any , so this is after considering inflation and new store expenses and all of that ?

Akash Agarwal: Yes. As we open stores it should come down to 190 because we will be leveraging. Like I said there's a lot of hiring that has already happened at the head office and the store level in order to service the new store s. So , once we open these 50 stores, I think this number should come down to 190.
Shreyansh Jain: And this 190 what is your guidance for the next 2-3 years? What kind of leverage do we have in this number?
Akash Agarwal: I think it should remain at 190. So, whatever inflation we get will be set off with the leverage of additional area.
Moderator: The next question comes from Nitesh Kumar , who's an individual investor.
Nitesh Kumar: My question is for the employment front , like employment generation. Cou ld you give me an average number of persons employed on a single store?
Akash Agarwal: It's about 35 people per store 10,000 square feet.
Nitesh Kumar: What is the approach of management like increasing the employment of in a single store or like automation near future?
Akash Agarwal: I don't understand your question. Sorry.
Nitesh Kumar: Like the management approach for increasing the number of employee s or decreasing near future?
Akash Agarwal: So, I think we have been very efficient. We are focused on creating a process at the store level where we don't need a lot of salespeople at the floor to attend to the customer. Because now Each and every garmen t in our store is hanging. So , there's no stacking at the store where you need staff in order to set the garments back. So, that is why we have been able to run such big stores with only 30 -35 manpower and I think essential manpower only now which is cash iers and the guard and the housekeeping. So , there's I don't think there's scope to reduce this further.
Moderator: The next question comes from S emanto Saini , an individual investor.
Semanto Saini: I just wanted to know that can you share the cost spen d on advertisement for this quarter? Are we sharing that?

Akash Agarwal: The cost of advertisement would be less than I would say 0.5%. But when I say marketing cost, so we give a lot of gifts to customers whereas we have a lot of bill busters running at the store level where for example we were giving a bedsheet only for Rs. 99 and that bed sheet costs us almost Rs. 160-170. So , we tell the customer that if you buy fo r more than 1 ,500 or 2 ,000 then you can get a bed sheet at that price where the market price of that bed sheet would be 300 - 400. So, instead of advertising costs it's a lot of marketing costs in terms of kind and gifts to customers. So, that would be abou t 1.5%.
Semanto Saini: And with the increase in the competition , so how are you seeing the marketing cost or the advertisement cost , like it would be the same in the coming quarters or would increase and by how many basis points? If you can clarify that .
Akash Agarwal: It should b e the same I think be

cause like I said our markup is only 55%. We're already giving a lot of value to the customer, and we are passing on a lot of benefit to the customer and the customer sees that. So , our product is our brand am bassador and that's the best marketing tool , the kind of variety and the assortment we sell and the price that we sell at. So , our marketing cost will always be around 1.5% including the gifts and the offers that we give at the stores.
Semanto Saini: What is the average cost of store opening a new store?
Akash Agarwal: The CAPEX required is Rs. 1,000 per square feet. So , for a 10 ,000 square feet store it's 1 crore.
Semanto Saini: What would the average square feet size for a showroom?
Akash Agarwal: Average what ?
Semanto Saini: Square feet like what would the size of a showroom?
Akash Agarwal: The a verage store size is 10 ,000 square feet.
Moderator: The next question comes from Abhishek from ABC Capital.
Abhishek: What kind of PAT number are we targeting internally this year?
Akash Agarwal: We targeted pre -IndAS EBITDA of 120 crore s. I think PAT is 55% of that. So , it should be about 60 -65 crores.
Moderator: The next question is from Paramjit Singh , an individual investor.

Paramjit Singh : Mr. Aka sh I am a pretty old shareholder. I want to understand if you open a store now how long does it take to reach per square f eet sales of 1,000 vis -à-vis a situation 2 years ago ?
Akash Agarwal: So, 2 years back our Company average was 6 80 and new stores did Rs. 550 to 600 per square feet per month. And now the Company average is more than 1 ,000 and new stores the base is around Rs. 900 per square feet and historically we have seen it takes about 18 to 24 months for

a store to mature. So , when we see the cohort, we see that the stores that we opened in the last 3 years are growing at a faster rate than the mature stores. So , it takes about 2 years for them to come close to those stores.

Paramjit Singh: So, you mean if you open a store now it will take 2 years to give you per square feet sales of Rs. 1,000 per month?

Akash Agarwal: No what I mean is , so going forward like I said , so this year we will do more than 1 ,000 and going forward next 2 years our target is Rs. 1,200 per month per square feet sale. So , the maturity period is 2 years. It depends on the Company base. So , when the Company base becomes 1 ,200 then it will take 2 years for those new stores to do 1 ,200. But now the stores that we opened 2 years back they have reached a 1,000 after 2 years this year.

Paramjit Singh: And one more question from my side. I want to understand , do you have any plans for fundraise , QIP? I mean your competitor Zudio opens 200 stores every year last fiscal year and maybe this fiscal year as well. So, if you have everything set , processes defined , groundwork done over the last 4 years , why not accelerate more and open 200 stores in a year with some QIP fundraiser and all that? Are you thinking on those lines?

Akash Agarwal: No, we're not thinking o n those lines because of course like when you grow at that pace it comes with an added bit of risk. And we feel we have only implemented maybe 20 %-25% of the vision that we have for our assortment. This is just the beginning. So , I think if we reach that magic number of Rs. 1,200 per square peak per month and ROE of 25% then we might think on those lines and currently we feel we're still undervalued. I think maybe in a couple of years this would change.

Paramjit Singh: One more t hing, one of your competitors also got into beauty segment , I mean Zudio Beauty and all they have opened. So, in the longer term do you see this value conscious market will also expand for you beyond apparels and maybe some more categories as well ? How do you foresee the future for V2 Retail?

Akash Agarwal: See we can't predi

ct the future but right now we don't have any plans to dilute our focus in any other category or even premiumization or any other brand. We want to focus on this , increase

the footprint because there's immense potential just in this model. Maybe in the future when we feel this is getting saturated and we have the bandwidth to expand into other categories or models , we would think about it. But right now, there are no plans.

Moderator: Our next question is from Kushal Goenka , an individual investor.

Kushal Goenka: What kind of post IndAS EBITDA number that we are looking for FY25 ?

Akash Agarwal: Even the projections that we make we don't do post -IndAS because pre-IndAS only makes sense to us. So, even the investors and internal target s, everything is pre -IndAS , all the reports are pre -IndAS . So, we don't even make the number for post -IndAS .

Kushal Goenka: And second question would be since Q2 , do you think from next ye ar like FY26 , Q2 we can see a positive PAT because since we are growing and if we get the operating leverage , so can you see a positive PAT from Q2 next year?

Akash Agarwal: Yes, definitely can be. But the first target was to be EBITDA positive and for al l four quarters which we will achieve this year. But then the next target would be PAT positive in all the four quarters. So, hopefully by next year we can do that as well.

Moderator: The next question is from Manav , an individual investor.

Manav: Can you give the store addition for the H2 , how many store are you going to add in the H2 of this year?

Akash Agarwal: So, I already mentioned it , we would add around 40 stores in H2.

Manav: And so can you give the sales driven guidance and the same store sales growth guidance for this year?

Akash Agarwal: So, first 6 month s it was 34% and I think for H2 our target is around 15 % to 20%.

Moderator: The next question comes from Bhagya vanth Reddy , an individual investor.

Bhagyavanth Reddy: I just wanted to know the current ratio of stores that are profitable and that are burning. So, how many stores are profitable and how many are in los s right now?

Akash Agarwal: So, we don't have a single store right now which is a loss. I think it's the first time in the Company history.

Bhagyavanth Reddy: I had another question on our manufacturing. All our manufacturing is done in India or some part of it is overseas ?

Akash Agarwa l: It's a very insignificant amount. , like most of it is from India. But we are exploring Bangladesh as an alternate .

Moderator: The next question is from Vinayak Kariwal from Xponent Tribe.
Vinayak Kariwal: You mentioned that you were basically doing co mmodity in ‘18 and ‘19 and now you have your brand identity. I wanted to know what the unique selling is proposition? So , if we imagine a Style Baazar or various other value retailers compared to a V2 standing there , why will a customer enter a V2 and not the other players? Will it be the unique pricing o f the product or the store experience? So , what's the focus you have there ?
Akash Agarwal: So, historically people used to follow brands or buy brands because they found something different or they found the latest trend or whatever that celebrity is wearing or whatever the fashion influences are wearing , they always found it found that product in that brand and that's why they were willing to pay higher for that particular assortment. But now like I said because of fast passion and because now the cost of making the garment is not a lot but the brand markup is almost 500 % to 600%. So , we want to br idge that gap where our markup is only 155%. So , the cost to MRP multiple there's a huge difference. So , we were just taking feedback from our customers and one of the customers said I bought a Levi's t -shirt for Rs.

2,200 and I'm getting a
better t -shirt in V2 for Rs. 300. So, when people thought about brands earlier, they thought because it's at a higher price it means it is a better product which is not true. It is a higher price because it has a higher markup. So , when you say why would a customer walk into V2 because they will be able to find the latest fashion , the best fabrics , the best colors , the best fits and they would get that product at a 55% markup. So, that's the unique selling proposition or that’s the value proposition. But like I said we ha ve only been able to implement maybe 20 %-25% of the product assortment that we want to have. And the day we reach 100% like I said the sky is the limit and it will be amazing , whoever is able to do that actually in India.
Vinayak Kariwal: So, you think if a store near you could do a lesser markup or provide a higher value proposition maybe your competitive advantages would suffer ?
Akash Agarwal: So, it's not just about the markup. Like I said again it's assortment as well. Anyone can sell at a lower price b ut you cannot talk about assortment in words. If you actually visit a store versus our competitors then you will see the difference and numbers say and numbers talk. So , everyone can say that their assortment is better than the other but at the end of the day it's the customer who decides. And like Zudio has N number of competitors from Aditya Birla , Style Up, there's

Style Union , there are N number of competitors. But if you walk into Zudio it will always have 5X the customer than any other closest competitor. So , until unless you visit the store and see the product , it's very hard to put into words that what the customer is getting different because it's not like they have different margin strategies or Zudio is selling at a much lower price than its competitor. But it's the assortment , like I said four attributes of a product. You have to get all four correct. And you have to do that for 3 ,200 designs. So , at any given point of time at any of our stores there are 3,200 designs and 3 ,200 SKUs. So , it's all about assortment.
Moderator: Thank you . Ladies and gentlemen , we would take that as our last question for today. I would now like to hand the conference over to Mr. Akash Agarwal for closing comments.
Akash Aga rwal: Thank you everyone for joining on the call. We hope we have been able to answer your queries. For any further information we request you to get in touch with Marathon Capital , our Investor Relations Advisor . Wish you all a very Happy Deepawali and Ne w Year. Thank you.
Moderator: Thank you. On behalf of V2 Retail Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2025

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Listing Department, Exchange Plaza, C -1, Block - G,
Rotunda Building, PJ Towers, Bandra Kurla Complex
Dalal Street, Mumbai – 400 023. Bandra (East) Mumbai –400 051
Scrip Code: 532867 NSE Symbol: V2RETAIL

Sub: Transcript of Earnings Call Q3 & 9 Months FY 2024 -25 - Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), please find enclosed the transcript for the conference call with the Analysts/ Investors for the Q3 & & 9 Months FY 2024 -25 Financial Results of the Company conducted through digital means on Friday, January 24, 2025.

The transcript shall also be uploaded on the website of the Company. You are requested to ki ndly take the above on record.

Thanking you,
YOURS FAITHFULLY,
FOR V2 RETAIL LIMITED

SHIVAM AGGARWAL
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

"V2 Retail Limited
Q3 & 9 Months FY '25 Conference Call "
January 24, 202 5

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company's website will prevail

MANAGEMENT : MR. AKASH AGARWAL – WHOL E TIME DIRECTOR – V2 RETAIL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the V2 Retail Limited Q3 and 9 Months FY

'25 Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentati on concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone .

Before we begin, a brief disclaimer. The presentation, which V2 Retail Limited has uploaded on the Stock Exc hange and the website, including the discussions during this call contains or may contain certain forward -looking statements concerning V2 Limited business prospects and profitability, which are subject to several risks and uncertainties, and actual result s could materially differ from those in such forward -looking statements.

I now hand the conference over to Mr. Akash Agarwal , Whole Time Director, V2 Retail. Thank you, and over to you, sir.

Akash Agarwal: Good morning, everyone. A very warm welcome to ou r third quarter and 9 months FY '25 Earnings Conference Call . I hope everyone has had an opportunity to look at our results. The presentation and press release have been uploaded on the Stock Exchanges and our company's website. We are thrilled to report a stellar overall performance for the first 9 months of the financial year. The company has been able to deliver industry -leading performance despite higher base and overall subdued consumer sentiment.

We believe the outperformance is a testament to the su ccess of our strategic initiatives, which have driven excellence in innovative product development, enhanced store experiences and exceptional customer satisfaction. At V2 Retail, the strategic initiatives undertaken so far and also those under implementat ion has a potential to further improve our overall performance positively.

Let me start with the key updates. Revenue for 9 months ended December 2024, surpassed our historic FY '24 full year revenue from operations. Company's PAT of INR65.6 crores for th e 9 months ended December 2024 has been at historically high level surpassing highest -ever yearly PAT. The company opened 45 stores and closed two stores during these 9 months, taking our total store count to 160 stores. We have added another three stores during the current quarter, taking the total store count in January to 163 stores. The store addition momentum will continue as we have a very healthy pipeline of upcoming stores.

The growth across all our stores have been very encouraging, translating in to a robust same - store sales growth of 31% in the 9 months of this financial year. We have been able to consistently deliver high double -digit SSG for the last few quarters due to our customer -centric and product -first approach. The volume growth has been 43% in the 9 months of this financial year. The full price sales contributed 91% in these 9 months as compared to 85% in the 9 months of the previous financial year. We believe that our sustainable and scalable business model will help us to improve our RO CE and ROE going forward.

Now some performance highlights for the third quarter. Revenue from operations stood at INR590.9 crores, registering a growth of 58% Y -o-Y basis. The gross margin stood at 32.1% in the third quarter as compared to 31.4% in the co rresponding quarter last year. The EBITDA for the third quarter stood at INR111.5 crores as compared to INR60.9 crores in the third quarter of last year, registering a growth of 83% on a Y -o-Y basis. The EBITDA margin stood at 18.9% as compared to 16.3%. T he PAT for the third quarter stood at a record INR51.2 crores as compared to INR23.6 crores in the corresponding quarter last year, registering a stellar growth of 117%.

Now talking about the perf

ormance highlights of the 9 months. Revenue from operations stood at INR1,386 crores, registering a growth of 60% on a Y -o-Y basis. Gross margin stood at 29.8% as compared to 30.3% in the corresponding 9 months last year. The EBIT DA for the 9 months stood at INR200 crores as compared to INR116.4 crores in these 9 months, registering a growth of 72% on a Y -o-Y basis. The EBITDA margin increased from 13.4% to 14.4% in these 9 months of this financial year. The PAT for the 9 months st ood at a record INR65.6 crores as compared to INR24 crores in the corresponding period last year, registering an amazing growth of 172% on a Y -o-Y basis.

With this, I now leave the floor open for questions.

Moderator: Thank you very much. We will now begi n the question -and-answer session . We will take our first question from the line of Abhishek from AB Capital.

Abhishek : First of all, congratulations on great set of numbers. So my first question was that you had guided for PAT of around INR60 crores for t he whole year. Now we have already achieved that in Q3.

Does that mean that you expect Q4 to be like Q2 as an EBITDA positive, but PAT flat? Or can we expect some PAT in Q4 as well?

Akash Agarwal: So this time, Eid is in March, so we are expecting a positi ve PAT number in Q4 as well.

Abhishek: Okay. Okay. My second question is at a broad level, like we have been having a great run for

the last 1, 2 years. So how long do you think we can continue this kind of 50% year -on-year
sales growth? Like how long till we hit the glass ceiling?
Akash Agarwal: The plan is to continue this growth for the next decade. This is just the beginning for us, and we want to grow at, at least 50% revenue for the next 10 years.
Abhishek: Okay. Another thing is, I saw that you have increased your average selling price to INR343. Do you think this is the maximum or it can be increased more?
Akash Agarwal: So there are two things happening here. One is the change in product mix. So the contribution of apparel has increased from, I think, 89% to almost 93%. So the ASP in apparel is higher. And we've also gotten rid of a lot of entry price point ranges where we couldn't offer a differentiated product to our customers. So it's a combination of both, but I don't think there's much more scope to increase the ASP. It should be maintained at a plus 5% to 10% or minus 5% to 10% level.

Abhishek: Okay. And my final question is you had , I saw in an interview that you had told that you will open , you plan to open around 100 stores next year. So are you planning to raise some capital or it is entirely internally accrued?
Akash Agarwal: The 100 stores that we're planning for next year will be opened through internal accruals. Our cash flows enable us to do so.
Abhishek: Okay. So no plans to raise any capital in the immediate future?
Akash Agarwal: It all depends on the market situation. Due to our past experiences also, we have learned that it's always , if you're fairly valued by the market, it's always good to have some extra cash on the books. But it won't be to like fund the expansion because that will be sufficient with the internal accruals. So it will be more to just have some war ches t or just some extra cash on the books.
Moderator: Next question is from the line of Varun Singh from AlfAccurate Advisors.
Varun Singh: Many congratulations for such a great set of numbers given that consumer -facing so many other companies are struggling for growth. So my first question is on the key growth enablers with regards to whatever number that we are delivering and the incremental amount of hard work that you are putting up, if you can highlight something on the work that you are doing, which is yielding such a great set of results?
Akash Agarwal: That conversation would be an hour long because we have almost started and implemented 50 d

ifferent projects, and there are 50 other projects that are being implemented right now. So it has been led by pr oduct development, improvement in supply chain, improvement in freshness of the inventory.
Varun Singh: No, no, we can reduce this entire just product development itself. So incrementally, if you wish to highlight anything, what else are we doing out there ? Jus t on product development itself?
Akash Agarwal: Yes. So currently, our product development is still only 35% of our total product offering. And as that contribution is increasing, you can see the stellar numbers and it's been reflected in the numbers. So we are very excited about the future prospect because we want to take this number from 35% to almost 80% by next summer. So I think that will be the biggest driver and working harder on sourcing, costing, fabrics, fits and also product development .
Varun Singh: 35% to 80% next year, Akash, if you can talk about any key recruitments also that we are doing to for en hancing our abilities on this front?
Akash Agarwal: Yes. So we were building the team for the last 2 years. Now we have almost 150 people working directly or indirectly in the buying and merchandising and product development team. So it was about building a foundation, building a base. And now I think it's time to get the productivity and build the systems. And already the processes a re set, the SOPs are set.
But we wanted to take a gradual approach because we didn't want to undertake a lot of risk, increasing the product development in 1 season, doubling it. So that's why we are taking a

cautious and a gradual approach and increasing it 5% to 7% every month or every 2 months.
And we've got a very good response till now.
Varun Singh: Understood. Understood, very fair point. And secondly, on the same -store sales growth number, which is 25% and very, very strong and robust number. What k ind of number you think that is possible for us in Q4, I mean, in the near term. And of course, I think in the long range, you keep talking about 12% to be quite an achievable set of number. But I mean, any view, outlook that you want to share on this fron t?
Akash Agarwal: So it's a very difficult question to answer because when we got an SSSG of 31% last year, we thought now the base is higher, so let's only project 10% to 15% this year. But, we delivered

much better , exactly. And we surprised ourselves. S o again, for the next year, we're taking a target of 10% because even with 10% with a base of more than INR1,000 per square feet sale per month, we achieved quite good numbers.

So we believe it's always better to understate and over deliver than setting u nrealistic targets. We are working hard to continue this momentum. But when we talk to investors, when we give growth numbers, we say even if we get a 10% SSSG, that's very, very healthy for the business.

Varun Singh: Understood. Very helpful. And just one last question. Given that we are becoming so much popular and which is also well reflected , getting well reflected in revenue per square feet number, etcetera. So your thought on how we are dealing this box retail strategy with regards to the look and feel of the store, refurbishment policy.

So anything you think strategically, you want to continue what you are doing right now? Or given that we are inspired by all great retailers globally, India, etcetera, do you think there is a need for change on that fr ont? That's my last question, Akash.

Akash Agarwal: We feel there's a need for change in each and everything. The learning process never stops and especially the store look and feel and the aesthetics. So we are working on it. We have given the project to an architecture firm. And we are working on the lights. We are working on the fixtures. We are working on the layout. So definitely, there will be some improvement every y

ear on that front as well.

But yes, we are working on it. And maybe that will increase our capex by INR100 per square feet 5% to 10% there might be an increase in capex for a new store. But the new stores that we're rolling out will be significantly better than the ones that we're r unning. And the refurbishment is also under process. So all the stores that need refurbishment are being done according to the new layout.

Varun Singh: Currently, what is the policy of refurbishment? I mean I understand it will be different for different s tores, but still any rule of thumb you want to call out?

Akash Agarwal: So different fixed assets have different life. So it depends. So the lights have to be changed, for example, every 5 years. The fixtures have to be changed every 10 years, so it's diff erent for a different class of fixed asset. So there's regular refurbishment happening at all stores.

Moderator: Next question is from the line of Palash Kawale from Nuvama Wealth.

Palash Kawale: Congratulations for the very good set of results on a such a high base. Sir, my first question is on th e expenses - operating expenses. Both your employee expenses and other operating expenses on a per square feet basis have reduced year -on-year. So would you like to point out anything that you're doing? Or have yo u decreased the average employee count per store?

Akash Agarwal: So the major chunk of that is the head office cost. So as we open more stores, we're going to leverage that cost and spread it across a higher retail space area. So you're going to see that happen because the same 450 employees in the head office that were servicing 100 stores are now servicing 163 stores.

Palash Kawale: Okay. And sir, what is the average employee count per store for you?

Akash Agarwal: It is around 30 to 35 people in a 10,000 square feet store.

Palash Kawale: Okay, okay. And sir, how many stores are in pipeline for Q4?

Akash Agarwal: We would open about 20 to 25 stores in Q4.

Palash Kawale: Okay. So around 70 stores for the full year is what you're guiding?

Akash Agarwal: Yes.

Palash Kawale: And sir, do you see this business momentum continuing for Q4 as well because again, this was Q4 is also on a high base?

Akash Agarwal: Yes, we have seen the trend continue in January. And hopefully, it should continue throughout Q4.

Moderat or: Next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Congratulations on our industry -leading performance. My first question is with regards to the store guidance that you have given of 100 stores probably in the next year. Now given that the store addition would almost be more than 50% odd, would that, in any way, impact the revenue per square feet given that these stores would be opened at different stages of time and, probably, they would be in different stages of ma turity as well. So any sense on how the revenue per square feet could shape for the next year?

Akash Agarwal: So even if you look at this year, we are opening 70 stores in this financial year and I think we started the year with 106 stores. So it will be t he same effect on the revenue per square feet because we are targeting an SSSG of 10% in the old stores. And we project that the new stores will do 20% less per square feet sale than the old mature stores because new stores take about 2 to 3 years to matur e. So you can take out , calculate the blended per square feet sales. But even if we get a 10% SSSG and we add 50% new area next year, we should still be above INR1,000 per square feet revenue per month.

Gaurav Jogani: Okay. Sure. The next question is regar d to the ASP. You said that you are now at least or your desired level ASP, you are nearly there and probably you could see some correction there. So what would be leading to

that double -digit kind of an SSSG growth for you, if you can break that up? I mea n, would it be largely volume -led? Even if it's volume -led, how are you planning to drive that?

Akash Agarwal: So yes, it will be primarily volume -led. As I said, the ASP would hover plus minus 5% from the levels. And we expect to do the volume growth with the strategies that I already mentioned that is increasing the product development percentage, passing on the cost benefit to the consumer, more robust supply chain. We increase the number of sizes that we offer in each option and it's all about better as sortment planning and having a better design that the customer converts and does a good word -of-mouth marketing for your brand.

So we have seen that in the last, I would say, 7, 8 quarters, and we hope that it continues because we are working harder and t he new season that we are planning is significantly better than the season that we just finished. So that gives us the confidence in terms of designs and acceptability of the products.

Gaurav Jogani: Sure. And last question from my end, Akash, is with rega rds to the entire value fashion industry. I mean, we have seen a strong rebound in the entire industry since the last 1.5 to 2 years. And if you can highlight, at your end, what are you seeing, if you expect this kind of growth for the industry to sustain and especially the competitive intensity, given that more and more new players are also coming in seeing this attractiveness of this industry. So some comments from your end on the competition side and the overall industry segment will be helpful.

Akash Ag arwal: So we see it as an opportunity because India still has the highest share of unorganized retail, especially in the value fashion space. So even if more players are entering , more organized players are entering, at each price segment, India has a big enough consumption market to accommodate 4 to 5 big national level players at each price segment. So we see that as an opportunity because when you consolidate, you get economies of scale and it gets harder and harder for local mom -and-pop stores or single store brand to compete. They cannot spend on product development.

They cannot source at 10% to 15% lower cost. And so the customers and they start seeing that visible difference. So I think the shift from unorganized to organized is accelerating this gro wth. So India is poised to grow at 6%, 7% and then you add value fashion is growing faster than overall apparel market. And then you add on top of that the shift from unorganized to organized, so I think in the next 10 years, it should grow at a CAGR of 13 % to 15%.

Gaurav Jogani: Sure. And so just to follow up here. I mean, this growth is actually seen in the past 2 years, while the opportunity has always existed. So what exactly has changed according to you that is leading to this faster shift towards the organized players?

Akash Agarwal: I think brands like Zudio have cleared a path or shown to people that, what is the potential of this space. And I would say, even us, we started product development 4 years back, we could have started it 14 years back. But like they say, you see the potential of a particular market and

people had to innovate and they had to change their business model. And I think that's why people you see people doing better because a lot of brands have also shut down, those who couldn't k eep up with the requirements of competing in this type of a market.

So the consolidation happened and the strong people who were able to innovate and who were able to execute better, they are still operating. And I think this learning process and this evo lution will continue. And whoever comes out the strongest the 4, 5 people, like those will be the top 100 valuable companies in India.

Moderator: Next question is from the line of Ankush Agrawal

from S urge Capital.

Ankush Agrawal: Akash, congrats on a great set of numbers. Just a quick data point, if you can share the gross debt and cash number as of Q3 end.

Akash Agarwal: So the total debt on the books is INR75 crores. That's a credit limit that we have from the banks. So we offer a bill discounting fe ature to all our vendors where any vendor can get their payment whenever they want at a particular discount rate, so we use the facility to fund that. That is the

only debt on the books.
Ankush Agrawal: Okay. So this is the debt that signifies the bill dis counting. There's no other working capital debt on the books you're saying?
Akash Agarwal: It's a mix of both, but more primarily, it is used for bill discounting.
Ankush Agrawal: Okay. And cash?
Akash Agarwal: I don't have the exact cash number, but there would be like, I think, INR5 crores, INR7 crores of cash on the books. We try to utilize the whole CC limit because we get a better benefit. So the cost of capital for us for that CC is much significantly lower than the discount rate we charge from the ve ndors. So we try to utilize the whole limit.
Moderator: We'll take our next question from the line of Chirag Shah from White Pine Investment Management.
Chirag Shah: Akash, one question. You spoke about premiumizing the look and feel of the studio, right? So what is the third process? Is it a natural progression? Or you want to attract different type of customer? If you can just share that because you are clearly not looking to ramp up the pricing of the product, that is the strategy you want to continue.
Akash Agarwal: Yes, so I think there's a misunderstanding. We did not talk about premiumizing the store. It was just about uplifting the overall shopping experience for the customer. For example, if you are spending more on the lights so that means the garm ents would look better, the colors will look more vibrant. It would be a brighter store. So we are not premiumizing the store. We are just uplifting it aesthetically and trying to make the customer experience even better.
Chirag Shah: Okay. And actually, I had a follow -up on this because any thoughts of trying to widen the customer profile, say, something someone like a Zudio -type of a customer, while product quality

could be similar, they may not be coming to V2 for variety of reasons. So any thought proce ss on that side? How we will look to attract that kind of customer?
Akash Agarwal: I think I mentioned this point also. That is why we have removed certain entry price points where we couldn't differentiate our products or where we had to offer a product w ith a substandard fabric quality. So we are trying to focus on the value segment. So for example, earlier, we used to start selling T -shirts from INR99 and we used to go till INR700, INR800. So now what we've done is we start from INR199 and we go up till only INR499.
So we are focusing on that value segment where we can differentiate our products, where we don't have to offer substandard products and we have removed premium and super premium also. So I think as we improve the product offering, the customers that you're talking about are a little higher middle class customer who is not currently coming to V2 would start coming to V2 as well.
Chirag Shah: Okay. And you don't think the look and feel of the store would be a big hindrance? If they want to come for the product, they will come irrespective of the designing of the store. That is the underlying fundamental concept, right? The product quality matters rather than the look and feel?
Akash Agarwal: So again, we are uplifting the look and feel als o, not necessarily premiumizing it. So if they get a basic shopping experience where there's no hindrance and everything is smooth. I think just for the assortment and the price, they would still come, yes.
Chirag S

hah: And the last question, if I can, on the designing side, if you can just share an update. Have you beefed up the designing team? If you can share your thoughts versus what it was last time last year?
Akash Agarwal: Yes. So I would say we have added about 35% more designers. Earlier, I think w e had 15 designers. Now we have 24 designers. And again, it's not the bandwidth of the team. It was our planned approach where we wanted to increase the product development gradually so that there were no risks to the business. So current team has the band width good enough to do 80% product development.
Chirag Shah: Okay. And one last question, if I can. Sorry for this. The newer geographies that you were trying, in a sense, looking to enter. Anything you would like to add any success stories? Any regions you have finalized that these are the areas that you want to focus apart from the traditional way of expanding that you are doing?
Akash Agarwal: Yes. So we entered 2 new markets. One was Andhra Pradesh and one was Rajasthan, and both locations, we've got a very good response. So what we do is there's a lot of learnings to be gathered in terms of data, assortment. So then we become more comfortable in opening more stores in that particular state. But 70% to 80% of the stores that we were opening are in exist ing clusters that we already have stores in. But looking at the next 3 - to 5-year horizon, we want to be a national level retailer. So we will definitely , the 20% stores, we will enter new markets and test new waters because we are catering to almost 80% o f India.

There are value -conscious customers everywhere who are looking for affordable, good fashion and good quality products. So until now, it has been very encouraging, the kind of response and the customer feedback that we have got from all these new markets. So we will keep exploring new markets to get that learning so that we can expand in the future horizon.
Moderator: Next question is from the line of Onkar Ghugardare from Shree Investments .
Onkar Ghugardare : Congrats on a good set of numbers. You just talked about setting realistic targets. So you are targeting around 10%, 15% kind of SSG growth, maybe 10% for the upcoming financial year, but maybe 10%, 15% for the next couple of years. But you also mentioned that the industry would be growing at 1 3% to 15% for next decade. And earlier, you mentioned that you aspire to grow 50% for the next decade. So does all this match?
Akash Agarwal: No. So when we say we want to grow 40% to 50% revenue, that means 10% from the same stores and the rest would be i norganic growth. So that will be coming from new store additions. And when you talk about industry CAGR of 15 % that is not same -store sales growth. That is the overall size of the market. So that is all the new stores that are opening in the industry combined. So when you compare our revenue growth, that is 40% to 50% versus an industry growth of 15%.
Onkar Ghugardare : So what do you think this 40% to 50% kind of CAGR for the next decade, is it realistic in terms of like achieving it with maintaining the EBITDA margin and being a national level player?
Akash Agarwal: It all depends on the level of execution. If we keep executing our plans well, if we keep implementing these good things in terms of process, product assortment, and the sales numbers speak a lot where the footfalls are increasing even when our advertising spends are going down. So that tells us that the cus tomer is really accepting the product and really liking the product. So if we keep executing our plans well, then India can have easily 5,000 stores of a similar model. It's big enough to accommodate 5,000 stores. So there's no looking back. But again, we aspire to grow at that number for the next 10 years, but it all depends how well are we able to execute our plan.
On

kar Ghugardare : Okay. And what would be the sustainable level of EBITDA margin range you can give?
Akash Agarwal: So I think last year, we had a 6.8% EBITDA pre -Ind AS. And this 9 months, it's already, I think, 8%. So going forward, we want to reach the number of 10% pre -Ind AS EBITDA margin. So if you are able to establish a strong enough model and you're able to create that brand in terms o f you're the best in value fashion, then that 10% pre -Ind AS EBITDA looks achievable to us in the next 2 years.
Onkar Ghugardare : Okay. And this like seasonality in Q2 and Q4, like how it will be in the upcoming years? Will it still persist? Or it will be like normalized over a couple of years?
Akash Agarwal: So now we have been able to increase our base to such a level where we can say all 4 quarters now we will be EBITDA positive. But definitely, Q1 and Q3 will be the highest revenue and profitability quarters. But now we would be EBITDA positive in all the 4 quarters if we are able

to maintain this base because we've been able to increase our base from around INR600-odd per square feet per month to almost more than INR1,000.
Moderator: Next question is from the line of Chintan Sh eth from Girik Capital.
Chintan Sheth: Kudos to the team for the spectacular performance so far. So on SSGR, you guys are targeting 10% kind of number. And the key point, which you mentioned in your opening remarks is the produc t development and the projects, which you have been executing over the last 4 years, which is the key fundamental, which drove your SSGR.
And you continue to improve and upgrade and innovate on those lines to sustain that SSGR at 10% to 15% over medium to long term. So my question is this product development, which you mentioned about 30%, taking 35%, taking it to 80%. Does that mean, we are merchandising or designing our own product in -house. That is the thing, right?
Akash Agarwal: Yes. That is the thing because private label is already 90% to 95%. But out of those, only 35% is products that were designed in -house from scratch. All the other products have some input from our merchandisers, but not all the components are controlled by the V2 team, but we want at least 80% of the products to be designed in -house from scratch. That includes each and every component of the product.
Chintan Sheth: Okay. And this designing part, what is the funnel or what is that drives the demand. You are obviously try ing to understand the consumer pulse and the trend, right? That is imbued in your

in-house design team, which is making and designing the product for you. But how does that funnel of the process happens to execute on ground? Because the designing is one pa rt and the sourcing and making , ensuring that at the floor level or manufacturing level, you are getting that same output.

Akash Agarwal: Yes. So that's called the product life cycle management. So our design to shelf currently is about 90 to 120 days, dep ending on the product. And there are respective teams with their respective targets. So I think that is all about efficiency and execution because just getting inspirational designs is the easiest part, converting it, adapting it to your price segment is t he tough part.

So I would say that's our secret source and we've been able to do it well. And that is why we've been able to get a competitive advantage, and we are at least 25% to 50% higher than our nearest competition in terms of per square feet sale i n more than 80%, 90% of the locations. So I would say that's a secret source and we've been able to have a good execution strategy in that.

But the best thing about it is that it's getting better every day. Like I said, the products that we're designing an d executing today are significantly better than what we sold last season. So it gives us immense positive outlook and future prospects. That it'

s very bright because every day, the products that we are designing today will be in our stores in the next 4 mo nths. So the products that are being showcased currently for the June, July, August season is significantly better than what we were designing maybe 2 months back.

So it means the majority of the team is getting better. The execution is getting better. We 're getting better inspirations. We are leveraging data a lot. So we map almost 40 different attributes

of each and every article and then we map with gross profit per square feet data of each of those attributes and then design in a product assortment.

So to give you an example, last year, a 3 -button henley neck in t -shirt sold the best. So it gave me a gross profit per square feet, almost 40% higher than men's tees. So this year, instead of doing 4 options, we are doing 12 options in that. So this kind o f data analysis and deep insights really helps us in getting the customer pulse.

Chintan Sheth: And do you also use third -party trends in the market, which enables your in -house designing team to get what is currently running in the market? And the way you source it, it will be a bulk buying or it will be a small batch and then test it in the in your stores, how it is performing? And then kind of betting based on those SKUs, which are performing really well in the market.

Akash Agarwal: Yes. So to operate i n any fashion business, you have to be up to date to the market. And there are reused 2, 3 different tools that also tell you what is coming in the upcoming season. It tells you what was on the runway in Milan, what was on the runway in Paris, what was on the runway in New York. So of course, you have to be up -to-date with the new trends, upcoming trends.

And so we divide the product assortment into three categories.

So one is fashion, one is regular fashion, and one is core. So a lot of high fashion produ cts that are very new trends in the market, we reduce the depth of those articles. So for example, if our average depth is 4,000 to 5,000 pieces per color. In those fashion articles, we buy only 500 to 1,000 pieces just to test the acceptability of the pro duct in our stores, and then we plan it in bulk.

Chintan Sheth: Right. And what can go wrong? Any learning? Obviously, over the 4 years, you must have learned a lot and reworked and re -tweaked your strategy. But anything which can impact or risk your sourc ing model? Because I believe that is a key driver for your SSGR. The assortment, the products, which you are showcasing in your stores at a value is what drives the growth in your stores, right? Any risk you envisage here that leads to either slowing down of your SSGR? Or how should you try to handle that piece?

Akash Agarwal: Yes. So we are trying to embed product in the DNA of our people because we are a product company essentially, and just using our retail stores as a channel to sell those products. So I would say the only thing that can go wrong is poor execution and not sticking to our plans and, again, trying too many things. That is why we feel we have established a very strong good model.

We don't want to premiumize. We don't want to o pen more formats. We want to continue focusing on this format and multiplying it and making it stronger, so our next per square feet sale target is INR1,200 per square feet. Hopefully, we can get there in 2 years.

Chintan Sheth: Great. And last question is on the store expansion. The per capex you mentioned, it increased a little bit by 100 square feet. What is the current spend per square feet on the store expansion side?

Akash Agarwal: So per store, the capex required is about INR1 crore s, INR1.05 crores. And rest is working capital. Working capital is about INR1.3 crores per store. So if we open 100 stores, the capex plus working capital requirement would be about INR220 crore s, INR230 crores.

Moderator: We'll take our next question from the line of Ankit Babel from Subhkam Ventures.
Ankit Babel: Congrats for a great set of numbers. Just one question. You mentioned in your opening remarks that you see your return ratios improving from here on. So do you have any targets there, say, in FY '26 or '27? Where do you see your both ROE and ROCE to be at?
Akash Agarwal: So I think this year, first target was to have an ROE of more than 20%, so I think we should be able to achieve that this year. And going forward, our next target is to have an ROE of 25 % that shou ld be achieved in the next 18 to 24 months.
Ankit Babel: Okay. And on working capital, do you feel that there is some improvement possible from here on? Or you feel that you have already achieved the best?
Akash Agarwal: Yes, so one of our major business challenges, operation challenge was on -time delivery. Because our vendors are still quite unorganized and a lot of them still don't have ERPs. So there was a lot of knowledge transfer, training and consolidation that was happening in the last 1 to 2 years. And we've been able to improve that number from around 40% to about 70% now. So we had to keep about 30 days of safety inventory at our DC, just so that our shelves were not empty. And now I think going forward, we are reducing that to 15 days, so there is a scope of improvement in the working capital and inventory to a level of 10 to 15 days. We should be able to see the change from first quarter itself. And in the next 12 months, we should be able to reduce it to 10 to 15 days.
Ankit Babe l: Okay. And on the creditor side?
Akash Agarwal: The credit days would be the same. It's around 45 to 50 days. It should be the same because we don't want to increase the credit term. Rather, we want to take a different approach so that we can negotiate b etter. We can get better cost so that we can pass it on to the consumers.
Ankit Babel: So just for my understanding, if you pay your creditors on time, do you get a preference from the creditors in terms of the product? So suppose if they come out with any innovative product or something like that, they first show it to you just because you are paying on time as compared to others.
Akash Agarwal: So more than getting the first offer for the product, it's more about getting the capacity first. So basically, if a vendor has a capacity of 50,000 pieces a month and he's a very low -cost, high - efficiency vendor, then if you are the best paymaster in the industry, he would always prefer to work with you. So it's more about having a partnership with those vendors an d they preferring you over the others in terms of giving their capacity or blocking their capacity.
Ankit Babel: Okay. And last question is on the cost side. Now are you taking any measures to reduce your cost per store or the HO cost also on a per square feet basis? I mean, are you focusing on there? Or you are just focusing on the top line and the store expansion?
Akash Agarwal: So our cost per square feet is INR190 to INR195 per square feet. I think now there's not much scope to reduce costs further beca use that might negatively impact sales. So we are focusing

more on increasing the per square feet sales, increasing the throughput of the stores, getting more footfalls, increasing the conversion, getting more retained customers, increasing the frequency of the customers. So those are the things we are focusing more on because that has maybe 25x the scope as to if you compare it to cutting down costs.
Ankit Babel: Okay. Because earlier you had a target of INR180, if I'm not wrong?
Akash Agarwal: Yes, the ea rlier target was INR180, but that time our rentals used to be about INR45, INR46, but now the rentals are INR53. So INR180 is an internal targ

et. But when we talk to people, we say even INR190 also, we can achieve a 10% EBITDA margin pre -Ind AS if we get INR1,100 per square feet of sales.
Ankit Babel: Okay. And on gross margins, you had taken an approach of reducing your gross margins, but still increasing your EBITDA margins. Now do you feel that your gross margins have bottomed out? Or you feel that it ca n even go down from here on? Or is there a scope for improvement?
Akash Agarwal: I think it should stay between the 27% to 30% number because there are a lot of factors that go into it, whether it's full price sales, whether it's how the winter season was. But we don't target a higher gross margin. Still the plan is to get a INR1,200 per square feet of sale per month, even if the gross margin is 27%, but it should remain at this level.
Moderator: We have our next question from the line of Rajesh Vora from Jainmay Venture.
Rajesh Vora: Congratulations on a stellar show. You have mentioned about INR200 revenue per square feet per month target in 2 years and INR1,500 remains a long -term target, I assume. So is that

possible in the next 4, 5 years from no w?
Akash Agarwal: That's a very big long horizon to actually comment about. We're focusing on the next 6 months, next year first. And again, it's all about executing our plans and keep doing the good work that we've been doing and establishing an even stro nger model, working harder on the product, working harder on the freshness of the product. So we've been able to reduce more than 1 -year old inventory from about 17%, 18% to less than 5% now.
So if we keep continuing these things, then yes, like INR1,500 is the ultimate goal. So like we would aspire to reach that in the next 4 years. But the time horizon completely depends on our own bandwidth and our own capability. But yes, we are working very, very hard towards it.
Rajesh Vora: Sure. And could you help us understand a little bit about how the sensitivity of every INR100. We are already at INR1,070 , INR1,069 for first 9 months. Every INR100 and you are targeting INR1,200 in the next 2 years, another INR100 plus increase. So for every INR100 increase in revenue per square feet per month, when does it go to pre -Ind AS EBITDA margin roughly?
Akash Agarwal: I would have to do that calculation. But I think even if we get INR1,100 per square feet of sale with a 28%, 29% margin, we get a pre -Ind AS EBITDA of 10%. That is the first target.
Rajesh Vora: Okay. Got it. Got it. So INR1,100, we should be able to get to 10% pre Ind AS EBITDA margin.
Akash Agarwal: Yes.

Rajesh Vora: Okay. That makes interesting. And next year, can we have all the fourth quarters PAT posit ive? Is that possibility?
Akash Agarwal: Yes, definitely, that is possible. But the first target was EBITDA positive, but hopefully, all the 4 quarters are PAT positive as well. We are foreseeing a very strong wedding season. So this year, May and June did not have any wedding or lagan dates, whereas this year, May and June has that. So it should be a better season.
Rajesh Vora: Interesting. And last thing, I think a lot of people have asked, I wouldn't want you to probably elaborate much on that. But just you have almost perfected the strategy and refined over the last couple of years all the learnings of Avatar 1 and Avatar 2 perfectly. How far are we on the exploiting or executin g the benefits of this strategy?
Now we are obviously doubling down wit h acceleration in new store openings. So at what stage of exploiting benefit of this strategy are we? We are at just the beginning of that strategy? Are we halfway done, 25% done, more? If you can give that rough idea.
Akash Agarwal: Yes. So I would like t o disagree there. I don't think we have perfected anything or we're not even close to perfecting anything. As I said, this is just the beginning. The vision that we

have for the product assortment and the design we should have at the store, I think we've o nly implemented 20% of that. Because all the international brands, they make their produ cts in India and sell it to us.
Why not an Indian fashion brand that is accepted all over the world. So our ultimate vision is getting 100% of the products to such a l evel where even if you open a store in any country, you become one of the best value fashion retailers there. So that is the ultimate vision. So this is just the start. We have maybe implemented 15%, 20% of our plans, and you see these numbers. But to perf ect it, it will take a long, long time.
Moderator: We'll take our next question from the line of Naitik from NV Alpha Fund.
Naitik: Congrats on a very good set of numbers. My question is, you mentioned that rentals are sort of up from, say, 47 to 54. So I just want to get a sense from you on the new stores. What sort of rentals are we signing up on? And are there any major increases that are happening?
Akash Agarwal: No. So the new stores are also around INR50 to INR55 level. So there's not a major increase in that. But what I was talking about is, I think, it was 5 years back when our average rentals were INR44, INR45. But if you look at the average inflation in the market and account for it, I think that is what is reflected in the number.
Naitik: No, sir, the new stores are also similar levels. There are no major increases from INR54, INR55.
Akash Agarwal: Yes, similar levels. Yes.
Moderator: We'll take our next question from the line of Ruchita Maheshwari from Ace Lansdowne.
Ruchita Maheshwari: Congratulations on a set of numbers. Yes, just wanted to know if you can give me a breakup of your top line in the geographical terms, if it's possible ?

Akash Agarwal: I don't have those numbers, ma'am.
Ruchita Maheshwari: Okay. Sir, just wanted to know in your value retail space, a lot of competition is increasing, be

it Zudio or V -Mart or Style Bazaar and then you , how we are going to differentiate ou r product in terms of customer perception? And how we are going to place ourselves that we can continue to have that steady performance going forward?

Akash Agarwal: So we try to focus on ourselves and every brand or every company has their own DNA. For example, if there's Reliance Trends, if there's Pantaloons, there's Westside. So each of them has their own DNA, have their own product offering and have their own set of customers, so we try to focus on ourselves. We try to make our own product offering bet ter.

And like I mentioned earlier, the market is big enough to have 5 big players with 3,000 to 5,000 stores each in the price segment that we operate in. So competition makes us maybe work a little harder. And I think it's very healthy competition, and i t makes each one of us do better.

So I think every company has their own strategy and their own product offering. So there's nothing special that we are doing in order to stand out in terms of one retailer specifically. We're just trying to have the best assortment best to our knowledge in our stores so that we can get the maximum market share and the maximum number of customers.

Ruchita Maheshwari: But can you give some like any hypothetical example or unreal example where you have, say, V2 Retail store, whereas there is a nearby, say, Zudio store or maybe V -Mart? And how the competition have been and how you have been able to retain the customer? If you can just throw some light on that front?

Akash Agarwal: So we do competitor benchmarking, ma'am, and I also mentioned this that in more than 85%, 90% locations, we are at least 25%, 30% higher in sales throughput than all our competitors. And you can see that reflected in the numbers as well. So I think in the last 2 years, if you just take the cohort of th e store that we had 2 years back, we've

been able to increase the sales in those stores by more than 80%.

That is the SSSG of those particular stores. So you can just think what's happening vis -a-vis the competition. Because in that same time, the competi tion increased the sales in those stores by 15%. So the gap has increased. And again, that is the result of, I think, all the different executions that we have done across departments.

Ruchita Maheshwari: Okay. In your opening remarks, you mentioned that y our ASP has increased only because of the higher apparel contribution. So will that be our endeavor to have more than 90% of apparel contribution going forward?

Akash Agarwal: Yes, apparel is our strength, and we would like to focus on apparel and ASP incr ease has also been because we are selling more at full price. So we increased full price sales from 86% to 91%.

Ruchita Maheshwari: Okay.

Akash Agarwal: But yes, the focus is on apparels, and it should be above 90% going forward also.

Ruchita Maheshwari: Okay. Sir, just hypothetical, I want to understand. Suppose there is a dip of, say, 2% to 3% or 2% to 5% in your apparel contribution, how much impact can we witness in your ASP?

Akash Agarwal: Again, I would have to calculate that number, but. ..

Ruchita Maheshwari: I know it's a big but I just want to understand how muc h impact we can have in the ASP?

Akash Agarwal: I think the average selling price of general merchandise is almost 60% less than apparel, so then you just need to do the math. So if we reduce apparel by 5%, 6%, there will be a huge decrease.

Ruchita Maheshwari: So that can pose a bit risk in going forward if, for instance, your general merchandise contribution increases, going...

Akash Agarwal: I don't understand your question, ma 'am. Like general merchandise contribution would only increase if we increase the space, if we increase the options. So this was a conscious decision that we reduced the space that we give to general merchandise, and we increased the offering in apparel, a nd that is why you're seeing the contributions change.

Ruchita Maheshwari: So in the new stores, there will be no general merchandise or it will be a mix of both?

Akash Agarwal: It will always be a mix of both. Just that earlier, we were giving almost 15% space to general merchandise. But now we have reduced it to only 6%, 7% because we saw that apparel was giving us a much higher return on investment and gross profit per square feet.

Ruchita Maheshwari: Okay. Got it. And like Q4, are we seeing any end of s eason sales where that can impact our ASP?

Akash Agarwal: Yes. So Q4 always has an end -of-season sale because the winter, pre -winter season is not present for the next 9 months, so it will be very similar. The gross margins should be similar from the corre sponding Q4s of previous years. So there's always a dip in gross margins in the fourth quarter.

Ruchita Maheshwari: Okay. And how much it would be? Rough guidance if you can give.

Akash Agarwal: I cannot give the exact guidance, but it is lower historically, and it should be lower than the other 3 quarters.

Ruchita Maheshwari: Okay. And the value retail sales market will be how much in India?
Akash Agarwal: I would have to get that number also. I think nobody has been able to project that number because there's so much unorganized retail, it's very hard to put a number to the whole market size, but it's quite big.
Ruchita Maheshwari: Okay. And I understand as you play in your cluster model and...
Moderator: Ruchita, I request you to join back the queue please, as we have other people waiting.

Ruchita Maheshwari: Just last question. Just last question, If I may. Yes, I know that you play in your cluster model space. So if one of your like assortment is not working in one store, you can easily mo

ve o ut.
But if suppose that assortment is getting obsolete, how you plan to like how you dispose it off?
And how much percentage that will be in your top line?
Akash Agarwal: So like I said, full price sale is 91%. So 9% goods are sold in discount. And we alwa ys have a discount zone at all our stores. We identify slow movers after 2 weeks of it being displayed at the store, and we dispose it off. First, we put it at a 30% discount. If it doesn't sell, then 50% discount. If it still doesn't sell, then 70% discou nt.
Ruchita Maheshwari: Okay. Got it. So after 2 weeks, maximum 1 week, you dispose it off?
Akash Agarwal: Yes.
Moderator: We'll take our next question from the line of Devansh Dhruv from Equentis Wealth Advisory.
Devansh Dhruv: Congratulations on a good set of numbers. So one question was what is our repeat rate currently? And how has that trend been...
Moderator: Devansh, I'm sorry. Can you use your handset mode? Your voice is breaking.
Devansh Dhruv: Am I audible?
Akash Agarwal : Yes, much better.
Devansh Dhruv: Yes. So what has been our repeat rate right now? And how has the trend been going compared to the previous years?
Akash Agarwal: So in our mature stores, we've seen almost 70% retention and 70% of the sale is repeat sales . And this number used to be 55%, 56%.
Devansh Dhruv: Okay. Okay. And any measures that you have taken to improve it?
Akash Agarwal: The product is our best brand ambassador. The price is our best brand ambassador. That is the biggest step that we have tak en that has improved this. Quality standards, assortment, price, all these factors put together that has compelled the customer to come back to the store.
Devansh Dhruv: Okay. And any light on where will be our new stores, so the guidance of 100 stores tha t we have given, where are we , which states particularly are we targeting? And any best performing , so the top 2 best performing stores for these 9 months?
Akash Agarwal: So we are targeting all the existing states that we're already present in. So we are opening more stores in same cities also where we are already strong, and that city has potential in the same states that we're already present in, and we will enter new markets also. And the best stores in the 9 months, again, it's not something that we di sclose.
Moderator: We'll take our next question from the line of Kapil Malhotra , an Independent Investor .

Kapil Malhotra : Yes. Akash, excellent set of numbers. V2 is firing on all cylinders. In one of the media interviews, you said, you plan to grow by 50% in the coming year. PAT assuming and, in your presentation, you've talked about 8.6% PAT margins this quarter and overall 4.7% PAT margins.
May I understand what kind of PAT margins you foresee in the coming financial year? And what would be your finan ce cost for the full financial year? These are my 2 questions.
Akash Agarwal: Yes. So the finance cost should be around INR8 crores to INR9 crores for the full year. And the PAT margin should be similar to the 9 -month figure.
Kapil Malhotra : Okay. So about 5% -- 4.7%, 5%?
Akash Agarwal: Yes.
Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments.
Vignesh Iyer : Excellent set of numbers. So 2 questions from my side. The first question is understanding more from the discounting part of it. That is, how fast should do you discount your inventory and sell it because it's a mix of apparel that is related to festivity and there is something, which is not related to festivity.
Because I remember interacting with you earli er where you said, we are not , I mean, on gross margin side, you are okay to take a hit a bit if working capital improves. So I wanted to understand how fast the discounting happens? Should I share my second question? Or do you

want me to wait till you ans wer.
Akash Agarwal: I'll answer

this question first. So what you're talking about particular assortment being related to a festival, so that is taken care of on the purchase frequency. So for example, if something is relevant more for Eid, then we'll buy i t in the month of Eid or 1 month before Eid. So any old age inventory, we always put it on discount, whether it's bought for a festival or not. For example, if we bought something for Durga Puja and if it's not selling now, we'll put it on a discount rathe r than wait for another Durga Puja.
So earlier, our strategy used to be to wait for 3 months to identify slow movers. But now because our throughput has also increased and the overall aging is much, much fresher at our stores. So now we only wait 2 to 3 w eeks to identify slow movers and put it on a discount because what we found was the opportunity cost of that slow mover taking the space of a potential fast mover was almost 3 to 4x higher than the gross margin loss that we'll do putting that design on a discount.
Vignesh Iyer : Yes, I am here. Okay. So my second question was on the store expansion. If I got it right, you were planning to have 20% of the new stores that you will be opening in a newer market, so I wanted to understand the strategy. Would it be more of a cluster approach where you identify a cluster and have many stores in that place? Or would it be identifying a smaller micro market and opening 1, 1 store in each of the market that way? And could you give some idea of which part of the countr y are you targeting, I mean, for the newer stores in FY '26?

Akash Agarwal: So I'll give you an example. We opened 1 store in Goa, so we entered that new market. We got we got the learnings in terms of data and assortment for 1 or 2 years. We opened the se cond store. And now we are opening 3 more stores in Goa. Similar thing happened in Karnataka. So we had only 1 store. We got the learnings. We used the data, and now we have 7 stores in Karnataka. So similarly, we have entered Andhra Pradesh and Rajasthan. And so whenever we are entering new market, we'll open 1 or 2 stores there, get the learnings and then in that cluster, expand more.
Moderator: We'll take our next question from the line of Kruttika Prabhudesai from Mirae Asset Sharekhan .
Kruttika Prabhud esai: Sir, just one clarification with respect to the EBITDA margin. You mentioned that you target around 10% pre -Ind AS EBITDA margin. I would like to know what would be the post -Ind AS target for EBITDA margin? And also what would be the margin drivers f or the next 2 to 3 years? If I'm speaking for the next 2 to 3 years, like '26, '27, if you could guide us on that, please?
Akash Agarwal: Ma'am, we always just calculate pre -Ind AS EBITDA margins because that is the relevant figure for our business model. So that is all the internal targets, and that is the targets we give to our investors also. So the pre -Ind AS numbers I have, post -Ind AS, I would have to calculate and tell you. What was the second question?
Kruttika Prabhudesai : The margin drivers, as in what would be the drivers for the margin?
Akash Agarwal: Yes. So the first driver, of course, would be the 10% SSSG that we're targeting. As minimum 10% SSSG would be the biggest margin driver. And second, of course, when we open more stores, we would be able to leverage the warehouse and head office cost a little further. So there might be a INR4, INR5 reduction in per square feet cost. So it will be primarily led by a per square feet sale increase.
Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. Akash Agarwal: for closing comments. Over to you, sir.
Akash Agarwal: Thank you, everyone, for joining this call. We hope we've been able to answer your queries. For any further information, we request you to get in touch with Marathon Capital,

our Investor
Relations Advis or. Thank you, and have a nice day.
Moderator: Thank you. On behalf of V2 Retail Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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BSE Ltd. National Stock Exchange of India Ltd.
Corporate Relation Department, Listing Department
Listing Department, Exchange Plaza, C -1, Block - G,
Rotunda Building, PJ Towers, Bandra Kurla Complex
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Scrip Code: 532867 NSE Symbol: V2RETAIL

Sub: Transcript of Earnings Call Q4 & FY 2024 -25 - Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosu re Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), please find enclosed the transcript for the conference call with the Analysts/ Investors for the Q 4 & FY 2024 -25 Financial Results of the Company conducted through digital means on Wednesday , May 2 8, 2025.

The transcript shall also be uploaded on the website of the Company. You are requested to kindly take the above on record.

Thanking you,
YOURS FAITHFULLY,
FOR V2 RETAIL LIMITED

SHIVAM AGGARWAL
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

“V2 Retail Limited Q4 FY-25 Earnings Conference Call”

May 28, 2025

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company’s website will prevail

MANAGEMENT : MR. AKASH AGARWAL – WHOLE -TIME DIRECTOR , V2 RETAIL LIMITED

V2 Retail Limited
May 28, 2025

Moderator : Ladies and gentlemen, good day and welcome to the V2 Retail Limited Q4 and FY25 Conference Call .
As a reminder all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
Before we begin , a brief disclaimer :
The presentation which V2 Retail Limited has uploaded on the Stock Exchange and the website, including the discussions during this call, contains or may contain certain forward -looking statements concerning V2 Retail Limited business prospects and profitabilit y which are subject to several risks and uncertainties and the actual result could materially differ from those in such forward -looking statements.
I now hand the conference over to Mr. Akash Agarwal – Whole Time Director, V2 Retail. Thank you and over to you sir.
Akash Agarwal: Thank you. Good morning, everyone. It's a pleasure to welcome you all to V2 Retail's Quarter 4 and FY25 earnings conference call. This year has not just been about growth ; it's been about transformation. FY25 has been a defining year for us , a year where our strategy, execution and agility came together to deliver the strongest performance in the company's history.
Let me walk you through the highlights and the momentum that we are building on :
Some headline numbers that speak for themselves. Revenue crossed an all-time high of 1884.5 crore s growing 62% from last year. Profit after tax surged to INR 72 crores marking a 159% growth from last year and it is our highest ever. EBITDA stood at INR 257.8 crores growing 74% with margins of 13.7%. Same store sales growth for FY25 was 29% even on a high base . Volume growth came in at 43% reinforcing customer traction. Full price sales stood strong at 89% up from 87% in FY24. ROE improved to 23.2% , a clear reflection of our capital efficiency.
Some operational highlights :
We added 74 stores and closed two during the year reaching 189 stores by 31st of March 2025. As of today, we have already crossed the 200 store s mark with 207 stores live. Our store s are profitable from the very first month with breakeven sales at just Rs. 500 per square feet per

month. Sales per square feet for the year rose to Rs. 1,017 per square feet per month up from Rs. 854 last year.
Product and brand lend differentiation :
85% of our business is private label and we are doubling down on it. Our own design products contributed about 35 % to 40% this year and we target it to reach around 60% by the summer of 2026 and 80% by 2027. This means better margins, unique fashion, less discounting and customer loyalty. We reduced old inventory that is more than 1 year old inventory from 18% to just 5% ensuring freshness and relevance.
CAPEX per store is INR 2.2 crores inclusive of inventory. Our inventory is at 90 days and creditors are at 45 days maintaining a lean working capital cycle. What's next in FY26 & 27, we guide for a revenue growth of 45 % to 50% driven by new stores and a same store sales growth of 8% to 10%. We guide for an EBITDA margin at pre -IndAS level of 8 % to 9%. We ar e expanding rapidly across high performing clusters like UP, Bihar, Odisha, Jharkhand and now also entering Punjab, Bengal, Rajasthan and the South. We are not in a race for store count alone but for profitability, scalability and brand dominance.
FY25 pr oves that V2 is no longer just a retail company. It's a fast-moving platform for aspiration al India. We have built a brand that understands small town India, yet offers fashion with a flair that rivals any urban retailer. And this is just the beginning. Wi th a robust model, c

onsistent store performance, strong internal accruals and an unbeatable value proposition, we are confident that FY26 will raise the bar even higher.
Thank you once again for your time and trust. We are now happy to take your questions.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhishek from AB Capital. Please go ahead.
Abhishek : Congratulations on a great set of numbers. Every con -call I seek and a big one first. All you amaze us with the numbers. Just wanted to ask, can we be PAT positive this year in all quarters?
Akash Agarwal: Yes, that is the target. And I think even this year we were EBITDA positive in all the four quarters. But for this coming years now, even with the seasonality, we expect to be PAT positive in all the four quarters .
Abhishek: Do we have a PAT margin number in mind that we want to achieve?

Akash Agarwal: We target a pre -IndAS EBITDA margin of 8 % to 9%. So, I think which translates to about 4 % to 5% of PAT.
Abhishek: And in a TV interview you had di vulge d that you will open 100 stores this year. So, is that still in force?
Akash Agarwal: Yes. So, we have already opened 17 stores this quarter. So, we are on track to open 100 stores this year.
Abhishek: We don't need to raise any funds for this, mostly for internal accruals i t will come.
Akash Agarwal: So, to open 100 stores we do not need any fun ds. Our internal accruals are sufficient. But we are very excited because the performance of our new stores is giving us confidence that we can increase the store count. So, we are internally making a detailed cash flow and a business plan for the same. So, if we feel that, we don't want to compromise on store performance as well as return ratios. So, if we increase the store opening guidance, then we might raise some capital.
Abhishek: And this year our SSG was amazing at 29%. But did I hear you correctly, you told 8 % to 9% SSG guidance for next year?
Akash Agarwal: Yes. So , for the last 2 years, first we showed SSSG of 31% in FY24, then 29% in FY25. So, our base is more than Rs. 1,000 per square feet per month now. So now we will be very happy with 8 to 10% SSSG also.
Abhishek: And do you think we can get operating leverage next year like this year also?
Akash Agarwal: Yes, definitely. Because the head office and warehousing cost together is about Rs. 55 to 60 per square feet. Now that would be spread over a larger retail space , so we should get a leverage.
Abhishek: And finally, I wanted to ask , you have become CEO. So, is this a long-term thing or we are in a lookout for somebod y and this is just a transient thing?
Akash Agarwal: No, it is a long-term thing. So, I have assumed all the responsibilities. But definitely we are always in the lookout for good people because to grow at 40 % to 50% for the next 5 years, we need to build a very strong foundation.
Abhishek: Thank you and all the best.
Akash Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Palash Kawale from N uvama Wealth. Please go ahead.
Palash Kawale : Hello. Thank you for the opportunity. First of all, congratulations for the good set of results and being appointed as a CEO Akash . My first question is related to inventory. So, it has c ome down and you have guided to open 100 stores. So, do you expect it to go down further or it shall remain at same level or there could be rise because of the store addition which is very aggressive for this year ?
Akash Agarwal: So, see what happens with inventory is the capacity of the store remains constant. So, when you increase your per square feet sales, the inventory number of days comes down. So, if you are able to continue this trend, then of course there is still some gap to

reduce it further.
Palash Kawale : And my next question on the same line again, even if I take the same revenue per square feet for next year and take into account 100 stores additions, even then the growth comes out at more than 50%. So, is that the right assumption from my side or am I mis sing something?
Akash Agarwal: So, the complete assumption is based on how many stores are opened in which month. So, you must have taken an average. So, when we put it in our model where we open a lot more stores in September -October season, then it give s us this 50% growth number.
Palash Kawale : Got it. And on warehouse side, how much is the warehouse space right now and any plans to add further since you will be adding stores at a very aggressive rate?
Akash Agarwal: So, the current warehouse is good to service another 70 -80 stores. We have finalized another zonal warehouse in Calcutta. So definitely with the new stores' acceleration, we will finalize more warehouses.
Palash Kawale : And what is the CAPEX per square foot for warehouse?
Akash Agarwal: So, for a 1 lakh square feet warehouse, the CAPEX is around 20 crores.
Palash Kawale : And the last question from my side . Last year Q1 was again very good and you will be on a high base in I think E id and al l like festive demand would not be there because it was there in Q4. So, do you still expect Q1 to be very good and how are the trends for Q1?
Akash Agarwal: So Q1 has the main wedding season, of course the Eid was preponed and it shifted to Q4. So, there will be a slight impact. But we have seen very good traction and we have seen very good

performance of the new stores as well. So, it gives us very good confidence and hopefully it continues throughout the year.
Palash Kawale : So, is it in line with the guidance of SS SG that you have given?
Akash Agarwal: Yes, it's in line with the guidance that we are giving for the future years.
Palash Kawale : That's it from my side. Thank you for your answers.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Onkar Ghugardare from S hree Investments . Please go ahead.
Onkar Ghugardare : Good morning. Congrats for the great results once again. My question was regarding earlier you mentioned that you would be growing at 40 % to 50%. I mean your endeavor is to grow at 40 %-50% for the next 4-5 years and again you mentioned at the beginning of the call that you would be targeting margin expansion in ‘26 and ‘27. So, coupled with both of this, what kind of EBITDA growth yo u would be targeting? Maybe a margin level can help on 40 %-50% revenue growth.
Akash Agarwal: So, because the new stores are slightly below in terms of per square feet sale because it takes about 2 to 3 years for them to mature. So, there might not be a h uge expansion in EBITDA margin. But like I mentioned before, there will be a slight operating leverage. If we get a very good SSSG like the last couple of years, then there will be an EBITDA margin expansion. But otherwise with opening 100 new stores, we w ill target around pre -IndAS 8% to 9% EBITDA
Onkar Ghugardare : Right now, what is the EBITDA pre -IndAS ?
Akash Agarwal: So pre-IndAS EBITDA is 8%.
Onkar Ghugardare : So somewhere you are expecting the similar kind of margins for the next couple of years ?
Akash Agarwal: Yes, the expansion would be within a 1% mark because the newer stores , they absorb the extra EBITDA because ther e per square feet is about 20 % to 25% lower than the old mature stores.
Akash Agarwal: So, do you think that your size is helping us to give you the guidance of say 40 %-50% for the next 4-5 years or obviously the market is itself the retail category is growing, but I mean can you expand a bit more on that?

Akash Agarwal: I didn't understand your question

, sorry.
Onkar Ghug ardare : I mean you are targeting 40 %-50% growth. So, I am asking whether this is based on the size at which you are, the base at which you are or else it is also because of the market growing and you are a small base in that market.
Akash Agarwal: No. So the total addressable market is huge. But we just made a model where we open at least 100 stores every year and get an 8 % to 10% SS SG. And we fe lt that this is achievable because we opened 74 stores last year and we have proved that we can grow at that level also. So, the scope to grow is much faster than this also. But like I said, if our performance keeps improving like it has in the last 2 years and the new stores keep giving encouraging results then we might accelerate the store growth and it might be 50 % to 60%.
Onkar Ghugardare : So, you are targeting 100 stores each year for next 4-5 years , is that correct?
Akash Agarwal: Yes.
Onkar Ghugard are: And this last question, everything looks so bullish. What can be the downside here?
Akash Agarwal: I think the biggest downside can be poor execution because the addressable market is there. India is a consumption giant ; you can just imagine the next 10 years is going to be what happened in China from 2000 to 2010. So, in terms of macroeconomic factors, in terms of the sector that we are in , in terms of the total addressable market, nothing is amiss. The only thing that can go wrong is poor execution and we not sticking to our strengths and not giving the right product to the consumers.
Onkar Ghugardare : All right. Thanks. Best of luck.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Ashish from Leo Capital. Please go ahead.
Ashish: Hello. Congratulations on a good set of numbers. I have two questions. So , my first question is what is the rental cost on a pre-IndAS basis for the current year and the previous year?
Akash Agarwal: So previous year it was Rs. 56 per square feet per month and current year it's around Rs. 52 per square feet per month.
Ashish: And for a store greater than one year what sort of sales per square feet are we cu rrently at?

Akash Agarwal: It's more than Rs. 1,100 per square feet.
Ashish: I just wanted a confirmation. I think in the beginning you mentioned that the old inventory of which is greater than 1 year is around 5% , Is that correct?

Akash Agarwal: Yes.
Ashish: Got it. Thank you.
Akash Agarwal: It used to be 18%.
Ashish: Thank you.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of N iraj Mansingka from White pine Investment Management Private Limited. Please go ahead.
Niraj Mansingka: Thank you. Akash, just one question. On the new stores that you are adding, can you give some color because they are n ot a part of SSG. Can you give a color on how they are performing because the reason I am asking is that your store addition has increased a lot. So why don't you just know on the color on how the revenue per square feet on a blended basis would come up in years from , so a new store color would be very useful on that side.
Akash Agarwal: Sure. So , I will just give you a comparative number so it will be easier for you to understand. So about 2 years back when the company per square feet was around Rs. 650 per month. The new stores did around 40% lower than the old stores, that was the benchmark. But now the stores that we opened in the last 1 year, they are doing 26% lower than our old stores. So, the new stores performance ha s improved a lot. So , if my old stores are at Rs. 1,000 even the new stores are starting at 750 to 800, which is a very encouraging figure. And it takes around 2 to 3 years for a new store to mature because they grow at a faster rate than the mature stores. So, in a 3 years' time they come at par with the stores that are

aged more than 1 or 2 years.
Niraj Mansingka: And the second question is on the geographical areas, are you going to newer markets and how is the adoption on those sites like in the new states or the new regions that you are going?
Akash Agarwal: Yes, so we entered Punjab, we entered Andhra Pradesh, we also entered Rajasthan. And we have got good response across these new states. We are collecting more data; we are trying to gauge what kind of assortment sells in that particular market. And the next stores that we open in that

market will be adjusted accordingly. But wherever we are entering because of the value proposition that we offer to the customers, we are getting an amazing response because we don't really have much competition in these new areas in the price segment that we operate in. So, the traction has been really good.
Niraj Mansingka: On the blended of these new states of Punjab , AP and Rajasthan, h ow would the revenues per square feet share right no w?
Akash Agarwal: So, it's at par with the new stores' revenue per square feet , around 750 to 800.
Niraj Mansingka: I got it very much. And do you see the cost increasing because of the new stores b ecause the you can't agglomerate the cost or divide the cost because they are at some further distance. Any comment on that side?
Akash Agarwal: No. So Rajasthan and Punjab is very close to our distribution center. So logistic costs are negligible. And for the south we were already present in Karnataka so we c an leverage on the existing routes. So there has not been any increase in cost. In fact, we have been able to reduce the cost because the average rental of the newer stores is lesser than the company average.
Niraj Mansingka: Great. Thank you. I will come back in the queue.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Akash Jha from AJ Wealth. Please go ahead.
Akash Jha: My first question is how is the demand trend shaping up in Q1 so far? I mean, given the recent discussions around a possible slowdown.
Akash Agarwal: So, if you compare from period to peri od because Eid was preponed and it shifted from Q1 to Q4. So otherwise, if you look period to period, we are getting a double digit SS SG Q1 and we have seen a very good response. And all the stores also that we opened in the current quarter, we are getting very good traction.
Akash Jha: I want to know actually what is exactly working for V2? We have already grown 40% last to last year, then this year we have grown around 60% and now you are guiding for another 45 %-50% growth. So, what is exactly driving th is performance? Because when I look at other players with a similar kind of model, they are not able to actually match our level of growth , so could you give us more clarity on that?

Akash Agarwal: I think our name stands for the core values that we believe in. So V2 stands for value and variety. So, we feel we give maximum value to the customer. So, in a sense that means that we are the cheapest in that quality benchmark. And the second is variety , in terms of number of options, we are the leading retailer. So, you can benchmark us with any of our competitors. We have

almost 2 X the number of options offered to the consumers. So, these two added up with the kind of assortment that we have at the store s. I think all these three together becomes the perfect mix to have, we now hold a leadership position in this price segment which is an ASP of about 300 because our per square feet sales are at least 25 % to 30% higher than our nearest competition.
Akash Jha: Thank you.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of N aitik from NV Alpha Fund. Please go ahead.
Naitik: Hi sir. Thanks for taking my question and congratulation

s on a very good set of numbers. So,
my fir st question is , we have seen significant improvement in our working capital overall. So is the only reason increase in sales per square feet, that's the only reason or have we taken some steps consciously which has led to a reduction in working capital?
Akash Agarwal: So, we have taken a lot of steps to actually optimize inventory, and we d id a lot of knowledge transfer and training to our vendors. So earlier our on-time delivery used to be just 40% and it has now increased to around 70 % to 75%. So, before we had to carry a 30-day safety inventory in our warehouses so that our shelves wouldn't be empty. Now we have been able to reduce that a further 10 days. So that is why you are seeing an efficient inventory cycle also. And we have focused a lot on different processes in terms of supply chain and picking process, put away process and the picking and put away at the store as well. So, all those combined together has led to a much more efficient balance sheet. And this is an ongoing process, so it will continue to happen in the next couple of years as well.
Naitik: But if I look at your creditors also, creditor days are also significantly increased. So, is that because we are being able to better negotiate the terms with them or what?
Akash Agarwal: So, credit days have increased because the share of the subsidiary goods. So, we have a subsidiary V2 Smart, which has our manufacturing units. So that contribution used to be out 18%-19% and it is reduced to 5%. So there the credit days w ere zero. So as the proportion of those goods are decreasing, the credit days are increasing . As per vendors we have not increased any credit days. It has remained constant at around 50 days.

Naitik: Got it. So, my second question is, you mentioned your rent cost per square feet which is actually declined. So also wanted to understand, how is that actually declining?
Akash Agarwal: It just depends on the set of stores that you finalize. And another thin g that works very well for us is we don't look for locations right in the center of the market. What we prefer is a larger flow plate, a big frontage, good parking. So, we focus more on the customer experience because we know our brand has enough pull for the customers to come 1 km extra from the market. So those things also work for us. And it really depends on the kind of markets that we are focusing on. It's mostly Tier II and Tier III . So, we have been able to get properties at a very good price.
Naiti k: Because my question was in context of other players actually sort of saying that rentals are actually increasing and they are not finding suitable places because they are also expanding Tier II and III cities which have limited sort of properties where they can open stores.
Akash Agarwal: I can not comment on what other people have been saying, but we have seen something very different because lot of properties have been converting into commercial prope rties in these cities and there's a lot of scope for new commercial buildings. So, we always get multiple options in each city before finalizing a store.
Naitik: Right. So, safe to assume newer stores, we are going to sort of find rentals which would be at current rate or lower only it's not going to increase in terms of per square feet.
Akash Agarwal: Yes, correct.
Naitik: Right. Got it. So that's it from my side . Thank yo u.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Sparsh Mittal from ICICI Bank.
Sparsh Mittal: Good morning, sir. Congratulations for the wonderful result. I have two questions. One is a follow up question to the a nswer that you just gave. That is the internal procurement has reduced from 19 %-20% to 5%. Any specific reasons for that? That's one. And second, V2 Retail has had a history of corporat

e debt restructuring when it was known as Vishal Retail and the reasons for
that were the increase in stores. The company increased stores from like 49 to 170 from 2007 to 2009 with the help of an IPO and borrowings to the tune of about 500 crore s and in the current scenario as well, the company is increasing store numbers at an even kind of higher, at a more aggressive rate. So , the question being, I mean what is the company doing different in comparison to the 2019 -10 scenario wherein we were forced to go ahead for corporate debt

restructuring which kind of concluded till 20 17-2018 . Only in 2018 annual reports was the restructuring story kind of removed from the annual report. So those are the two questions.
Akash Agarwal: Sure, I will answer your first question first. So, the contribution of the subsidiary goods have reduced from 18 % to 5% because the volumes are increasing and the capacity of the manufacturing units was fixed. So, we opened the manufacturing units just to get transparent cost of making each and every cate gory so that we could negotiate with the vendors better. There were no plans to expand that business or open more units. So as the volumes of the business will increase, that contribution will keep coming down to very insignificant levels. Now answering the second question. The scenario that you are comparing from is totally different. If you look at the financials, if you look at the numbers, you will understand that because during Vishal we never we were generating so much cash flow. We were never generat ing EBITDA at a percentage of almost 8%. We did not have an ROE of 23%. Our per square feet sales was less than Rs. 500 per square feet. So, it is not an Apple -to-Apple comparison. And even last year we opened stores all through internal accruals and we ca n open 100 stores this year also with just internal accruals. So, I don't think it's a right comparison. And because of the learnings we had from the previous company, now we have cash flows made every week. We make store level EBITDAs. So, if you look at more than 1 year old stores, we don't have a single EBITDA level bleeding store in the company, which I think historically is the first time that has happened. So, there are certain checks and processes that we have built where we don't want to compromise on profitability just to chase a growth number or just to open lot of stores. It's only because we have built a competitive advantage, we are ahead of the competition, we have built a leadership position. And the last 4 years was a period of consolidation where we were spending our model, we were trying to make our product offering better, we were working very hard on processes. So now I think it's the time to reap the rewards of it. And when you are getting very encouraging performances and there's a huge acceptability of the products and because whenever we are opening a store, we are getting very good traction. So that means that our model is strong and that is why it gives us confidence to be able to open 100 stores and grow at the rate that we are talking about.
Sparsh Mittal: Alright . Thank you, sir.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of N iraj Mansin gka from White pine Investment Management Private Limited. Please go ahead.

Niraj Mansingka: Thank you. J ust wanted to know some color, you started V2 Smart, so how much you were able to reduce the cost from the vendors and what is the proportion of peak revenues from those company and how much is it right now? Some small color would be useful.
Akash Agarwal: Again, N iraj, like I said that contribution is ver y insignificant now. So, there is a cost saving about 6 % to 7%. But now the sales contribution from that business is less than 5% and it is a very capital -inte

nsive business. So, in order to grow and procure for the big scale that we are talking about, the way to go is having vendor partners, having contract manufacturers who can give us at very similar prices. So, one thing beneficial out of this that came was now we have been able to negotiate better prices with our vendors by showing them the transparent costs that we are getting in our factory. So, I think it has served its purpose and now we have been able to renegotiate and get much better prices from our vendors itself.
Niraj Mansingka: How much of the peak revenue from V2 Smart?
Akash Agarwal: Peak revenues would be about 8 lakh pieces a month. So that's about 150 crores.
Niraj Mansingka: 150 crores a year ?
Akash Agarwal: Yes.
Niraj Mansingka: And you achieved a saving of almost 6 %-7% because of that compared to what it was started ?
Akash Agarwal: So, see, this saving was achieved towards the latter part of the year. Because it all depends on the efficiency of the manufacturing units. When you are setting it up, you are actually getting higher costs. So that has not yet been translated into numbers.
Niraj Mansingka: And what did you do with those machines? Are you still holding them or you sold them ?
Akash Agarwal: We are giving them to our vendor partners because we are increasing the business with certain vendor partners by almost 2 x or 3x. So, they needed machines so we have been giving it to them.
Niraj Mansingka: And any guidance for the EBITDA margin on the pre -IndAS side for FY26?
Akash Agarwal: It should between 8 % to 9%.
Niraj Mansingka: For the entire FY26, right?
Akash Agarwal : Yes.

Niraj Mansingka: Great. Thank you. I will come back.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Rajesh Vora from Jainmay Venture. Please go ahead.
Rajesh Vora: Congrats Akash and the team on wonderful setup. It's good to know, Aakash that all new stores are EBITDA positive here . On that line what is the CAPEX per store and what is the payback period on an average for a new store for your company?
Akash Agarwal: So, the CAPEX per store is 1.1 crores. And if you include the inventory, it's around 2.2 crores. That's your investment. And if we get a Rs. 1,000 per square feet of sale with a gross margin of 28% and the cost structure that we have which is Rs. 190 per square feet per month , we get an EBITDA of 1 ,08,00,000 crore s for the whole year. And if you take out the net profit is around Rs. 60 to 65 lakh for the whole year on an investment of 2.3 crores. So, you get an ROE of about 23%-24%. So , the payback period is 4 years.
Rajesh Vora: Got it. And another thing I noticed is that on 4th Quarter of ' 25 gross profit margins have come down a bit from 28% a year ago and 32% in third quarter. So obviously third quarter is the best one. But what changes with less than 100 crore s delta change reduct ion in revenue from 3rd Quarter to 4th Quarter. The swing in gross profit margin is very huge which should be more variable for us. Could you please explain that?
Akash Agarwal: So, it's because of the end of season sales for winter and pre winter goods. So, winter and pre winter season is only for 3 to 4 months. And if we don't clear out that inventory in January then we have to carry it for another 9-10 months. So that is why always the 4th Quarter has the lowest margin. And in terms of sale because it's cyclical, there are no weddings in the 4th Quarter and January and February is the dullest months usually throughout retail for consumption. So that is why you see that dip.
Rajesh Vora: What this end of season sale would cost in terms of revenue , roughl y about maybe a couple of percentage , how s hould we read it?
Akash Agarwal: It's more , so during the end of season sale the gross margin drops by more than 6 %-7%.
Rajesh

Vora: Got it. Great Akash . Congrats on good set of numbers and all the very best for the next year.
Akash Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.
Gaurav Jogani: Thank you for the opportunity and Akash, congratulations on a great set of numbers. Akash, I just wanted to understand one thing , if you look at the cash flow for FY25 and our implied cash flow for the year comes to be flat given that there is also a CAPEX of around 100 odd crores that we have incurred on these store openings. So , in this light how do you expect the cash flow to emerge in FY26 -27? Given that profitability will increase meaningfully and I think the epics would also increase because the store openings is also increasing.
Akash Agarwal: So, there are two things that we have to take into account. So, one is better inventory efficiency like we have done this year. And there was about 60 to 65 crores invested in our subsidiary. And right now, we have already been able to reduce 30 crores from that. And we will be able to further reduce another 25 to 30 crores from that. And third, the debt that we have on our books is currently used for bill discounting feature that we give to all our vendors where they can avail their payments with a certain discount. So, if any day or a ny month we feel , we are not able to fund or we are low on cash, we can just stop the build discounting feature and use the CC limit for our expansion. So, there are three levers that we can still use.
Gaurav Jogani: Sure. But I mean on annualized basis, what kind of CAPEX would you be incurring for the next couple of years?
Akash Agarwal: So, this year if you open 100 stores we will have to invest about 220 crores.
Gaurav Jogani: And that would be including the inve ntory or this is just the CAPEX ?
Akash Agarwal: Including the inventory. CAPEX is 110 crores and another 110 to 120 for inventory.
Gaurav Jogani: Sure. And just one thing I wanted to understand from your side.
Moderator: Sorry to interrupt Mr. Gaurav, may we request you return to the question queue for a follow up question?
Gaurav Jogani: Sure.
Moderator: Thank you. The next question is from the line of the Divyanshu Maha war from Dalal & Broacha Stockbroking Private Limited. Please go ahead.

Divyanshu M ahawar: Thanks for the opportunity, sir and congrats on the good set of numbers. I have just couple of questions. First on the cash flow side , if you look at the EBITDA to CFO conversion for this year has been on the around 90%. So, it is because mostly of the inventory efficiency. So, could you give us a highlight that what steps would we have taken on increasing our inventory efficiency from the last year? Because last year we saw the cash flow from operation being little subdued because I think it was ov er the inventory level. So, what steps we have taken on the inventory side to get our inventory more efficient or money blocked in the lesser inventory side?
Akash Agarwal: So, I think already mentioned this. There are two main things that happened. One is the increase in per squar e feet sale. So, the capacity of our stores remains the same. So, we keep the same amount of inventory for a higher sale so that reduce the inventory days by 6 -7 days. The second biggest thing that happened was we reduced the safety stock that we keep in o ur warehouse. It used to be 30 days. But because we have been able to give prior planned orders and educate our vendors and get more goods on time, we have been able to reduce the safety stock also and we plan to further reduce it by 6-7 days going forward .
Divyanshu Mahawar: And what could be in terms of operational efficiency in these stores since what I have understood by visiting your sto

res is that we have the distribution centers in their stores only. And the store guy doesn't come out to be in this distribution center as well. So, is it some kind of efficiency in this store operation is also having impact on inventory ?
Akash Agarwal: So, you asked me specifically the difference from last year versus this year. But the store distribution center that you are talking about we have been using for the last 4-5 years now. So, the delta change that has happened is happened because of the reasons I mentioned to you. But our store level inventory efficiency has always been very high because of the different v irtual and physical locations that we have for inventory at the store level.
Divyanshu Mahawar: And one last question sir, if we look at on the store opening side. What is our thought process that are we going on the cluster wise store CAPEX or what we goi ng towards on the whole India pan India store wise basis from now onwards? Because our growth trajectory would be changing from now onwards.
Akash Agarwal: So, because we know the fact that we want to be a national level retailer in the next 5 years we want to test new markets and test new waters also. So about 60 %-70% of the new stores will be in existing clusters and existing markets where we are very strong i n. But definitely 20 % to 30% stores will be in newer markets, newer geographies and it gives us more confidence because whatever, whichever city that we have entered, whichever new state that we have entered till now, we have got a very good response.

Divyanshu Mahawar: Thank you so much sir and best of luck for the FY26.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Abhishek from AB Capital. Please go ahead.
Abhishek: Just wanted to ask you had told that ROE will go north of 20 and that you have achieved. So just wanted to know like how much do you think we can reach by end of ‘26 next year ?
Akash Agarwal: So, like I mentioned because we are growing at 40 %-50% and newer stores don't perform at par with the olde r stores. So, I don't think there will be a huge delta and we are very happy with 23 % to 25% ROE. And if you look at pre-IndAS basis then the ROE is 28%. So, I think even if we maintain it with such a high growth number then it's a very good performance.
Abhishek: I think in Q2 con-call you had told about a local level e-commerce you will do with your wherever your stores are located. So how is that line of business going?
Akash Agarwal: We are not happy with the technology that we were integrating with a nd we don't want to start it halfheartedly . So, we are still exploring what works best for us and that can be easily integrated with our SAP systems. So only then we will start. Still, it is not a concrete timeline , hopefully this year.
Abhishek: I am just wanting to confirm you told 4 % to 5% PAT marg in you are thinking.
Akash Agarwal: Yes.
Abhishek: Thank you.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Aditya Agarwal from Fin avenue. Please go ahead.
Aditya: Sir, I wanted to just check with the thing like how much in house design team has expanded in the recent from past 3 months and like how do we phase store growt h? So basically, do we have internal s tore g rowth team or growth officer or we are dependent on external agencies for the same ?

Akash Agarwal: We have a whole business development team, I think there are 8 to 9 people just in that team for finding out new sites and visiting them, filling in the formats, benchmarking them. So, to open 100 stores every year definitely we need our team and of course we take help from different agents, brokers and agencies that help us with the sites. But all the analysis and everything is done by internal

team and then finalized by very management committee team.
Aditya: Yes sir. And we earlier we had like 3weeks policy for our inventory which was not getting cleared off. So, are we sticking to the same policy or we are doing some changes over there in the policy level ?
Akash Agarwal: No, it is the same policy. We wait fo r 15 days before identifying slow movers and then putting them in the discount zone. And to answer your first question there has not been a significant increase in the product development team. And we have also mentioned this earlier because we want to tak e a gradual approach in increasing our product development percentage. Because we want to make sure that whatever our in-house designs are at the store level, they are giving us at least 15 % to 20% higher gross profit per square feet. And we don't want to disrupt the business performance suddenly. So, we are taking a cautious approach and it's giving us good results.
Aditya: And sir, on the terms of PA T. Can we expect like FY26 to be a blockbuster for us with like Rs. 150 crore or 200 odd crore s of final bo ttom line by growing at 50% --
Akash Agarwal: Again, hopefully it is a good year and it's looking like it's going to be a good year. But we are sticking to our strengths and trying to implement all the different 15 new projects that we have undertaken to g o to the next level. So, the next target for us is Rs. 1,200 per square feet per month. So, we hope to reach there in the next 2-3 years.
Aditya: Thank you so much sir and best of luck.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Rajiv Bhar ati from N uvama Wealth . Please go ahead.
Rajiv Bharati: Good morning, sir. Thanks for the opportunity. So, with regard to because ROEs, are ROCs are basically close to 23% and we have seen that several players have k ind of solved the franchising bit recently. Are you open to franchising especially the CAPEX side of your business to expand, to release some capital?

Akash Agarwal: To be honest, we have not studied that growth path yet but I think we would be open to it in the future. Like I said, if we feel we want to accelerate the number of stores that we want to open and the business is continuing on the momentum and we keep getting amazing SSSG and the newer stores traction, then we would explore that route as well.
Rajiv Bharati: Sure. And lastly on geographical spread, so especially on something like Odisha and Jharkhand, how do they stack against on the indexation front on the sales per square feet number versus rest of the pack ?
Akash Agarwal: So, Odisha has been very strong market for us. And I don't have the exact numbers but it's definitely higher than our national average. And same goes for Jharkhand because it also depends how many, what percentage of stores are mature stores in that particula r state. So, for example, we have almost eight stores in Bhu vaneshwar. So, it's been a good market for us and that is why we are expanding more in Odisha and Jharkhand also.
Rajiv Bharati: So that's all from my side. Thanks a lot, and all the best.
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Na itik from NV Alpha Fund. Please go ahead.
Naitik: Hi sir, thanks for the follow up question. My question is, when I look at your balance sheet your other current asset s or other current financial assets have almost doubled from last year. So just wanted to understand what constitutes are sitting here in the other current affairs ?
Akash Agarwal: I would have to check that but I think you are checking the I GAAP numbers. So, it's all related to how your rental properties are part of your assets. So, because we opened a lot of stores this year, they are added to assets and then you subtract the liability and charge interest cost on that on

those rent provisions.
Naitik: No sir, I am talking about other current assets which has gone from 50 to 109 crores other current or other financial assets. So, I think this is different from current assets.
Akash Agarwal: I would have to check for that number. But it's mostly other current assets , it's security deposits and just advances. I will have to check on that number.
Naitik: Got advantage and security deposits majorly . Thank you.

Moderator: Thank you. The next question is from the line of Anuj L unawat from an individual inv estor. Please go ahead.
Anuj Lunawat: So basically, I wanted to ask about inventory turn. So, we have seen a very good growth in same store SSG of say whatever, 30%. But the inventory turns have been remained stagnant around 3.3-3.2. What is our plan in i mproving here and I heard it in the last call that we have been working with the vendors in terms of improving the ERP so that we will have to keep less inventory. So, is that in that direction , how would you like talk about the trajectory of the same ?
Akash Agarwal: So yes, current inventory level is around 90 days, sir. And as we are able to improve the vendor ERP integration and the supply chain from the vendor part , I think we will be able to get it down to around 75 to 80 days. But there is no further scope to reduce inventory because then we might risk on loss of sales because we never want our shelves to be empty. And the added cost of 10 to 15 days inventory is much less than the opportunity cost of a lost sale.
Anuj Lunawat: And my one last question was about what was the sales to repeat customer ?
Akash Agarwal: So, in the mature stores it's around 70%.
Anuj Lunawat: Thank you.
Akash Agarwal: Thanks.
Moderator: Thank you. The next question is from the line of Kapil Malhotra , an individual investor. Please go ahead.
Kapil Malhotra: Hi. I just wanted to ask that Q1 will maintain the growth rates forecasted about 45 %-50%. And its assumed being one of the better quarters of Q1 and Q3 are supposed to be the better quarter. So, our PAT margins o f about 4 % to 5% , can we assume that for the full year?
Akash Agarwal: For the whole year the guidance is 40 % to 50%. So yes, you should see those numbers in each of the quarters and similarly that goes for pack numbers as well.
Kapil Malhotra: Thank you . That's it.
Moderator: Thank you. The next question is from the line of Onkar Ghugardare from S hree Investments. Please go ahead.

Onkar Ghugardare: You intend to become a national level player in next 4-5 years. So as of now you have not entered markets like Maharashtra and all. So, what are your plans on that front?
Akash Agarwal: We opened our first store in Maharashtra actually 5 days back in Ichal karanji and we got overwhelming response. So hopefully Maharashtra becomes one of our core territories in the next 4-5 years.
Onkar Ghugardare: If my calculation is correct , you would be going towards 6 00-700 stores next 4 -5 years , is that calculation correct?
Akash Agarwal: Yes. Hopefully before that also.
Onkar Ghugardare: And your long-term target for sales per square f eet, y ou are Right now targeting around 1200. But what level can you reach to if all goes well ?
Akash Agarwal: There is no limit. I think we want to keep testing the ceiling for that. I do n't think anyone can give you a ceiling to that. I have seen stores that do Rs. 10,000 per square feet of sale also. So, I think it is limited by your own capabilities.
Onkar Ghugardare: If my understanding is correct for sales per square f eet and for margins there is only upside we can calculate, right?
Akash Agarwal: Yes.
Onkar Ghugardare: For revenue you have already told. But for margins and sales per square feet there is only upside you are assuming.
Akash A

garwal: See again for guiding we say 8 % to 10% SSSG. But you asked me what is the limit , so those are two very different questions. So , if you talk about limits, I think there is a scope and potential for doing much higher per square feet sale. But like I said, we have not implemented a lot of things yet that we want to implement. We don't still sell 100% of what we design or make. So, there is a hug e scope for improvement and growth. But for guidance when you talk about making a model, making a business plan, it is 8 % to 10% SSSG with opening 100 stores at least every year and the new stores doing 25 % to 30% less than old stores. So that is how you b uild the business plan. But when you talk about the ceiling of per square feet sale I think the first target is Rs. 1,200. Then the next target would be Rs. 1,500 per square feet per month.
Onkar Ghugardare: And this 8 % to 10% SSG growth you are talking ab out, this is because of last 2 years pace is now high. That's the only reason or I mean is there something other you are penciling in?

Akash Agarwal: No, of course. Like now we have increased the average revenue of a store from 65 lakhs to more than 1 crore a month. So, the percentage we have almost grown like more than 60 %-70% in 2 years for the same cohort of stores. So, because of a higher base we are taking a smaller number.
Onk ar Ghugardare: And for the next 4-5 years if you want to grow at this pace, 40 %-50% you are saying, I mean would your internal cash flows be enough or like at some point of time you will have to tap the market or debt would be the strategy.
Akash Agarwal: So that also I mentioned before that to grow at 40 %-50% we don't need additional capital. But because we have been getting such good response of our new stores. We are working on increasing , accelerating the store growth. So, then we might think about rai sing capital but not debt. It will be equity infusion.
Onkar Ghugardare: And can you tell me what is the current debt to equity ratio and what are what is the ROC return on capital employed?
Akash Agarwal: I don't have the ROCE figure, but debt is around 125 crores, and equity is around 360 crores , so it's 1 :3.
Onkar Ghugardare: Any ballpark number for ROCE?
Akash Agarwal: No, I won't be able to. ROE is 23.2%. We will have to check for the ROCE .
Onkar Ghugardare: Just a final question is on the interest from the institutional side. We see very less institutional investors from your shareholding pattern . What's stopping them? It's for them to answer. But just asking you like since you are growing so much and at a profitable way, are you meeting some institutional guys or like what's your comment on that?
Akash Agarwal: There is regular conversation and it' s a mystery to us also. I think we will have to post even more stellar results to convince them and hopefully be able to do so.
Onkar Ghugardare: Alright. Thank you.
Akash Agarwal: Thank you.
Moderator: Thank you . The next question is from the line of R ohit Jain , an individual investor. Please go ahead.

Rohit Jain: I just want to know one question that. Do you have any future plan regarding to cater upper category market like Westside and Zudio, do you have any future plan regarding that?
Akash Agarwal: No sir, we don't have any plans for that. We want to focus on this model. This model has big enough market potential so at least not for the next few years.
Rohit Jain: Thank you and congratulations for good set of numbers .
Akash Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Divyanshu Maha war from Dalal & Broacha Stock Broking Private limited. Please go ahead.
Divyanshu Mahawar: Thanks for the opportunity. So just wanted to understand the thought process. Suppose for example if we go

to open the next 100 stores in 1 year in next FY26. So, if by in chance my 100 stores get the revenue same store sales growth, or you can say that what we wanted to get the revenue from the 100 store s if we don't get the EBITDA break even or EBITDA positive. So, what is the thought process that first we will focus on making profitable that 100 store s and then we expand it?
Akash Ag arwal: Yes, definitely. So, what happens is the whole expansion that we are talking about is going to happen in multiple legs. So, if we open a next batch of 50 stores and we see that all the new stores are doing less than 50% of our old stores, then of co urse we will revisit our growth plan and we would not open 100 stores or 50 stores. And we will try to figure out what went wrong and try to consolidate and correct that before growing. Because I already mentioned that this time it's not just about number of stores or revenue growth numbers. This time a big focus is on profitability, on return ratios because profitability is the priority.
Divyanshu Mahawar: And so last one thing just wanted to understand, you mentioned in the call that our target is to get into 1500 square feet from 1200 post that it will reach it to the 1500 square feet per month. So what gives you the confidence here , what gives you the more motivation that we can do 1500 ? What steps we would be taking to reach that kind of square feet sales, 1500 square feet per month sales? Any steps you would be taking out that could make you a better than the competitors if you can tell us a broad.
Akash Agarwal: So, it is focusing on the same things that we have been focusing on. Again, it's all abou t product. So, working on product even more, having 100% of our own designs, making the quality better, fabric better, fits better, colors better. It's about processes, it's about demand forecasting, doing it better. So, I think it's a combination of hundred different factors that makes a s ecret sauce that

has helped us get from 650 to 1000 . And that is how we plan to get from 1000 to 1200 and then 1200 to 1500 . There is no white or black answer or a one-word answer to that. If we knew that, we would have done it already. It's a lot of trial and errors. It's a lot of innovation and it's a lot of improvement.

Divyanshu Mahawar: Understood. Thank you, sir.

Akash Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Nitesh Kumar, an individual investor. Please go ahead.

Nitesh Kumar: Congratulations on a good set of numbers. Mr. Agrawal, it would be great if you bring some light on qualified opinion given by auditors f or PPE even from the last 3 years. This is basic requirement, I guess. Please bring some light on it.

Akash Agarwal: So which point are you specifically talking about? Can you mention it?

Nitesh Kumar: Qualified opinion for PPE from the last 3 years like some machinery or something, like that.

Akash Agarwal: The main qualified opinion that has been there for multiple years has been the fixed assets reconciliation. So, because we did not have the fixed assets module in our ERP, it has been a challenge beca use we have so many multiple sites and there are more than 15,000 different articles for fixed assets and we did not want to do an accurate reconciliation. So, we had hired an external agency who worked on it for more than 1 year but we were not satisfied with the results. But now we have hired a newer one and because almost 80% done so this year, all the qualified comments would be removed by the year end.

Nitesh Kumar: Thank you.

Moderator: The next question is from the line of Akash Jha from AJ Wealth. Please go ahead.

Akash Jha: My question is already being answered. Thank you.

Moderator: Thank you . Ladies and gentlemen , we will take this as the last questions and I now hand the conference over to

Mr. Aakash Agarwal for closing comments.

Akash Agarwal: Thank you everyone for joining in the call. We hope we have been able to answer your queries. For any other further communication , we request you to get in touch with Marathon Capital, our investor relation team. Thank you.

Moderator: Thank you . On behalf of V2 Retail Limited , that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Aug 2025

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Scrip Code: 532867 NSE Symbol: V2RETAIL

Sub: Transcript of Earnings Call Q1 & FY 202 5-26 - Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosu re Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), please find enclosed the transcript for the conference call with the Analysts/ Investors for the Q 1 & FY 202 5-26 Financial Results of the Company conducted through digital means on Thursday , July 31,2025 .

The transcript shall also be uploaded on the website of the Company. You are requested to kindly take the above on record.

Thanking you,
YOURS FAITHFULLY,
FOR V2 RETAIL LIMITED

SHIVAM AGGARWAL
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

“V2 Retail Limited
Q1 FY '26 Earnings Conference Call ”
July 31, 2025
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MANAGEMENT : MR. AKASH AGARWAL – DIRECTOR AND CHIEF EXECUTIVE OFFICER – V2 RETAIL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the V2 Retail Limited Q1 FY '26 Conference Call hosted by Marathon Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after t he presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and zero on your touch -tone phone. Please note that this call is being recorded.
Before we begin, a brief disclaimer. The present ation, which V2 Retail Limited has uploaded on the stock exchange and their website, including the discussions during this call contains or may contain forward -looking statements concerning V2 Retail Limited business prospectus and profitability, which are subject to several risks and uncertainties, and the actual results could materially differ from those in such forward -looking statements.
With this, I now hand the conference over to Mr. Akash Agarwal, Director and CEO of V2 Retail. Thank you and over to you, Mr. Akash.
Akash Agarwal: Good afternoon, everyone, and a very warm welcome to our quarter 1 FY '26 Earnings Conference Call . We trust you've had a chance to review our results. The earnings presentation and press release are available on the stock e xchanges and our company's website.
As we begin FY '26, we do so with strong momentum and a clear sense of purpose. We are operating from a position of strength backed by innovation, executional agility and the deep trust we have built with millions of cu stomers across the country. We are not just responding to the evolving landscape of Indian retail , we are setting the pace. Our strategy is clear and future - ready to lead the next wave of growth in India's value fashion market.
Our sharp focus on customer centricity powered by deep data insights, agile merchandising and a tech -enabled supply chain continues to deliver measurable impact. We are building a business that's not only scalable, but also resilient, res ponsive and ahead of the curve.
The sustaine d and accelerating customer traction we have witnessed in this quarter is a clear validation of our strategy. It reflects our unwavering commitment to delivering fresh trend -led assortments, maintaining exceptional product quality and offering unbeatable v alue.
This powerful combination continues to drive strong broad -based performance across our store network and further cements our position as a market leader in India's value fashion segment.
FY '26 is shaping up to be a landmark year for us and we are e ntering it with confidence, clarity and conviction.
Let me start with some key updates. Revenue growth accelerated by 52% year -on-year to INR632 crores. Net profit surged 51% year -on-year to INR24.7 crores marking a very strong earning momentum. The company opened 28 stores and closed 1 store during the first quarter

taking our total store count to 216 stores. The store addition momentum will continue as we have a very healthy pipeline of our upc oming stores.
Further, we've already added another 9 stores so far in this quarter taking the total count of the stores to 225 stores. The same -store sales growth for the quarter stood at 5% with strong double - digit growth in May and June offset by a temp orary dip in April due to the early Eid shift into the quarter 4 of FY '25.
On a normalized basis, the first quarter SSSG stood at 10% reflecting sustained consumer demand and precision in assortment planning. There was a robust volume growth of 50% in th e first quarter. The full price sales contributed 92% of our total sales. We are proud to report a consistent improvement in ROE, which stood at 27.5% in the first quarter, up from 23% in FY '25 and 10.7% in FY '24. This sharp trajectory reflects the stren

gth of our operating model and disciplined capital allocation.
Now consolidated performance highlights for quarter 1 FY '26. As we track business performance on pre -Ind AS basis, it would be prudent to share the highl ights basis pre -Ind AS numbers.
Reven ue from operations stood at INR632.2 crores registering a 52% growth on a Y -o-Y basis.
Gross margin stood at 29.4% for the first quarter FY '26 as compared to 28.8% in the corresponding quarter last year. The EBITDA stood at INR52.5 crores as compared to INR32.2 crores registering a growth of 63% on a Y -o-Y basis.
EBITDA margin improved from 7.8% to 8.3%. Profit after tax stood at a record INR30.6 crores as compared to INR18.9 crores in the corresponding quarter of last year registering a growth of 62% on a Y-o-Y basis.
With this, I now leave the floor open for questions.
Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Vishal Dudhwala from Trinetra Asset Managers .
Vishal Dudhwala: First of all, congratulations on a good set of numbers. So I have couple of questions. First, in Q1

'26 you delivered 52% Y -o-Y revenue jump and saw ASP rise 17%, but PSF fell 9%. How are you calibrating your channel mix like digital versus brick -and-mortar and what specific productivity initiatives are you looking for to offset the footfall dilution from rapid store expansion?
Akash Agarwal: So first of all, all our sales is brick -and-mortar. We don't have any online sales. And the PSF dippe d a bit because we opened a lot of new stores and the new stores typically do about 25% less in per square feet sales than the older stores. If you look at only the old stores, in quarter 1 it was around INR1,100 per square feet PSF.
Vishal Dudhwala: Can y ou guide looking out for FY '28, what revenue share are you targeting?
Akash Agarwal: Revenue share from what?

Vishal Dudhwala: Like a brick -and-mortar and your new store expansion for forward -looking?
Akash Agarwal: So we look at a 50% revenue growth goin g forward and in that we look at 8% to 10% SSSG so that's from the old stores and 40% revenue growth from the newer stores.
Moderator: The next qu estion comes from the line of Abhishek from AB Capital.
Abhishek : Congratulations on great set of numbers. Eve ry quarter you're following what you had guided for. So the news came out that you are doing QIP. So you had told I think in one of the interviews that you will open 100 stores and for that you don't need any external capital. So now that you are doing QIP , can we be greedy and expect more openings beyond 100?
Akash Agarwal: Yes, that's a very valid question. So we have got an enabling resolution approved and we are planning to raise money. It's not out of necessity or weakness. We're doing it from a positi on of strength. Our business has delivered one of the best quarters in recent history and I think it's a proactive move because we want to accelerate our momentum and also future -proof our growth. So the value fashion market in India is poised to grow for the next decade and we believe next 3 to 5 years are critical to capture disproportionate market share. So it will help us be debt -free, it will help us invest more in making our model stronger and yes, it will help us accelerate our future growth traject ory also.
Abhishek : Okay. And you had told that this year you will be mostly PAT positive in all quarters. Do you think you still hold that view?
Akash Agarwal: Yes, I think we should be PAT positive in all the quarters.
Abhishek : Okay. And just wanted to know how is the competitive intensity on the ground as in are you finding it difficult to find newer geographies to open fresh stores?
Akash Agarwal: So see, competition has become the new reality. We look at it as an external factor that is out of our control. Of cou

rse a lot of retailers are opening a lot of stores. But Tier 2, Tier 3 being our main target market, there is still a lot of availability of locations. In fact in 25 states of the country, we have a store coming up in the next 6 month s. So there's work going on in 25 states of the country. So till now we are not facing. So we still have more options in terms of real estate then we can open.
Abhishek : Okay. And our SSG has come down a bit due to large base. Do you think it will come dow n further or it will stabilize at 10% going forward?
Akash Agarwal: I think it should stabilize at 8% to 10%. That is our target even with a higher base.
Abhishek : Okay. Is there any headwind that you are facing? Any concern at all that you would like to f lag? Any issue, anything?
Akash Agarwal: No. In fact even July, we are doing better than our expectations. So the momentum is going good and we are continuing to see amazing response in our older stores as well as the newer stores.

We are still passing all the metrics that we had targeted. So hop efully, this momentum continues and everything looks positive.
Abhishek : Okay. And what is our store opening cost? Like basically I wanted to know that if we raise the QIP INR400 crores, how many stores can potentially be opened with that money?
Akash Agar wal: So first of all, the whole proceed will not be for newer stores. A lot of it will be to get better terms from vendors, a lot of it will be to repay debt and a lot of it will be to improve the back - end capabilities in terms of automation, supply chain, technology. So per store opening cost, including capex and inventory, is about INR2.5 crores. So we need at least INR250 crores every year just to open 100 stores.
Moderator: The next question comes from the line of Tejash Shah from Avendus Spark.
Tejash Shah: Congrats on a very good set of numbers. Akash, I just wanted to start with you speak very

passionately about customer centricity and that seems to be working for us. As we expand rapidly, how are you ensuring that that value proposition doesn't get diluted? And if you can elaborate a bit more on what we are doing to kind of be very sharp on this particular aspect of the business that you keep pressing about?

Akash Agarwal: Sure. So I think our biggest strength is leveraging data. So we co llect data from the customers and the sales at 40 to 45 different attributes of each and every article and all the space allocation in terms of category, in terms of color, in terms of fit, in terms of print type; it is done based on that data because if t he customer behaviour is telling us that a loose fit T -shirt is selling or giving us a 20% higher gross profit per square feet than a regular fit T -shirt, then we increase the number of options in the loose fit T -shirt.

Similarly, if a color is giving us a better gross profit per square feet, then we increase. And the mobile number is a unique customer ID of each and every customer. So we do a lot of automation in terms of SMS, WhatsApp in order to get th at customer back to the stores.

But I think the mai n strength is leveraging data, capturing data at so many different data points and using that to improve the offering. And that is why you can see our full price sale is 92% and even with lesser marketing spends, we're still getting more footfalls and doin g a very healthy SSSG.

Tejash Shah: Interesting. You spoke about the store expansion that we will be entering new states. So what percentage of your expansion will be in existing markets and which will be completely virgin states where will you be entering ?

Akash Agarwal: So about 70%, 75% will be in existing states and about 20%, 25% would be in the newer geographies. But I think in 2 to 3 years, there will not be a single state which will be a new geography for us. We want to be a national level retailer. That is ou

r aim, that is our target. And
I think in the next 3 years, we will be present nationwide. So every market, every geography will become an old geography for us.

Tejash Shah: And just wanted to understand, as it happens in, let's say, grocery ret ail when they enter a new territory or new state, it is initially margin dilutive because of the whole logistic intensity which comes there. How does it play out in your business? Are the completely 1 store states are usually margin dilutive initially?

Akash Agarwal: No. So our logistic cost is just 1.1% of the total business. So it is not significant enough. Even if we open a new geography, the delta or additional I think logistic cost would never exceed 0.1% or 0.2%. So that is never the determining facto r of whether entering a new geography or not.

It all depends on per square feet sale. It all depends on what kind of the offering that you give to the customer, collecting a lot of data in terms of what categories are doing well in that particular state o r geography, what attributes of an article are doing better in those geographies and then implementing all the learnings that we got from the data when we open further stores in the similar geography.

Tejash Shah: Sure. The last one, if I may. For last alm ost 12 quarters, we have been kind of seems to be immune to the macro environment. We are growing irrespective of the commentaries that we hear from larger consumer players also. Now as we go to a size where macros will matter, how is your read of consumer sentiment on ground for this year or immediate future?

Akash Agarwal: So when you hear stories, you definitely hear a demand pressure throughout rural, Tier 2, Tier 3. But like I said, even in July we have seen good traction. It was in fact better than ex pected.

So I think when the macroeconomic factors and the macros also start supporting us, then w e can even post better numbers.

But till now we have seen that our product strength, our pricing strength, our variety strength and the complete back -end supp ly chain, the availability of products. So all those str engths are working well for us.

And I think macros matter less when there's such a big shift happening from unorganized to organized. So even when the total consumption doesn't go up, this shift cont ributes to a good CAGR growth for just the organized part of the sector.

Moderator: The next question comes from the line of Niraj from White Pine Investment Management.

Niraj: How many stores are you under discussions for opening them right now?

Akash Agarwal: I think 76 there is still work going on. And if you talk about shortlisted properties, then there are more than 150 properties that are shortlisted.

Niraj: Okay. And 76 is included in 150?

Akash Agarwal: No, 76 does not include that 150.

Niraj: Okay. And how much timeline generally it takes from shortlisting to opening?

Akash Agarwal: So there are different types. So one is BTS, one is semi -BTS, one is where the raw building is ready. So typically you can say 3 to 6 months.
Niraj: Okay. What is the new target for you to open the stores in FY '26 and maybe FY '27 if you can give thoughts on that?
Akash Agarwal: So this year, initially the target was 100 stores. I think we are on track. We should be opening about 100 to 120. And again the next y ear's target will completely depend on this year's performance. If we have another blowout year like the last 2 years, then next year we will increase the target to 130 to 150 stores.
Niraj: Okay. So what it means is that all these shortlisters don't go to wards opening. Only some percentage of them go towards the opening. Is that the right way to look at?
Akash Agarwal: Yes, yes.
Niraj: Okay. But aren't you then upgrading your number of store addition after a proposal to rai

se the money?
Akash Agarwal: Yes. So it will be dependent on whether we go ahead with the QIP and if that happens, then like I said, we will increase the store opening target this year by 20 to 25 stores and next year by 30 to 40 stores.
Niraj: Okay. That's extremely comforta ble. The other thing is you're going all over new states so are you going to put up new warehouses or only the existing ones?
Akash Agarwal: So we just finalized the new zonal warehouse in the East and then we'll have 2 zonal warehouses now; one in Gurgaon , one in the East. And we have already started the hub -and-spoke model that we spoke about last quarter. So we already have 8 hubs operational now. So that takes the load of the warehouse away. And now whatever state we enter, the hubs can easily fulfill t he particular state.
Niraj: And any cost will increase because of the new East warehouse, warehouse in the East?
Akash Agarwal: Yes. So there will be a total investment of I think INR25 crores to INR30 crores in that new warehouse.
Niraj: Okay. But that wo uld lead to a meaningful increase or aggression in the East side or is that the right way to think?
Akash Agarwal: So all the sourcing done from the East or the cities that are closer to the East warehouse will go to the Calcutta zonal warehouse and all the goods sourced from Ludhiana, Delhi will come to the North warehouse. And then each warehouse will send their goods to the respective hubs that will deliver to the stores. So we've already started replenishing once in 2 days and a lot of stores daily, w hich used to be earlier once a week or for the fast -moving stores, it used to be twice a week.

Niraj: Okay. That's interesting. And last question on the revenues per square feet for new stores. Can you share some differences of the stores that you have ope ned in the same state that you are present in a reasonable way versus the stores that you have opened in the new states? Any difference in revenues per square feet that you're witnessing?
Akash Agarwal: We did take out this data, but we did not see any sig nificant difference. In fact a lot of newer states that we entered, the average per square feet sale for newer stores were better than the new stores that we opened in the existing geographies. So it is dependent on a lot of other factors that is competiti on intensity and the kind of population density. So it is not completely dependent on a new geography versus old geography. So what we have seen is average per square feet sale of newer stores is constant across geographies.
Niraj: And those numbers are st ill tracking that within definitely 2 years period the revenues per square feet per store goes to the current average. You're still seeing that happening?
Akash Agarwal: Yes. So our benchmark is 30% lower than old stores and currently our newer stores are doing somewhere around 26% lower than older stores. So it's well within a healthy benchmark. And from the first month itself, the newer stores are doing about INR800 per square feet of sale.
Moderator: The next question comes from the line of Aliasgar Shak ir from Motilal Oswal Mutual Fund.
Aliasgar Shakir: Congratulations on quite an excellent performance. Akash, few queries I had. First is on the gross margin. So I'm seeing both on stand -alone and consol, our gross margins have seen very decent improvement . In fact stand -alone is higher.
So if you can just explain is it a factor of mix or because one of the biggest factor that we had was we were far more competitive in the market. So have we taken any price increase and does that gap versus competition com e down? And also if you can explain the gap of gross margin

between stand -alone and consol?
Akash Agarwal: Yes. So there are 3, 4 things that happened here. So one is definitely product mix. Second, we reduced the overall marketing spend. So a lot

of marke ting gifts that we give to the cus tomer as a part of bill busters is part of our gross margins.
So that had reduced I think 20, 30 basis points. And also we made a cost committee about 6 to 7 months back and because of consolidating fabric purchases and f abric sources and doing open costing with the vendors, we were able to save abou t 1% of our gross margin there.
And the difference between stand -alone and consolidated is because now we have shut down our manufacturing units. So earlier manufactured goods , part of the cost of the product used to go in manpower cost and only the raw material part of that goods were part of the COGS. So that is why there's a difference in the gross margin. But going forward, I think the gross margin that is there in the stan d-alone will be prevalent and more relevant to our business.
Aliasgar Shakir: So sorry, I didn't get this point. You were saying manufacturing was sitting in the subsidiary basically and because of that, the margins are relatively lower there because some of the component is not like -to-like because the cost is coming in your gross margin?

Akash Agarwal: The margins are higher there because the COGS only has the raw material part of the cost of making the product. The actual salary of the tailors and everything goes in the employee cost.
Aliasgar Shakir: Got it. Which will be the same now going forward because you've shut it down?
Akash Agarwal: Yes, yes.
Aliasgar Shakir: And what is the reason of shutting down? Because I thought that that was one of o ur mode because of which we were able to get lower cost products?
Akash Agarwal: Yes. So the whole aim of opening the manufacturing units was to get transparent costs of making each and every category. It didn't make business sense to be opening manufactur ing units for every 30 stores that we added. So it was only to get transparent cost so that we could negotiate the right prices and the right SAM minutes for making each and every product with our vendors and w e've been able to achieve that.
And in fact w e have given the factory to a vendor itself who's supplying it to us now. So instead of investing our own money and parking our working capital there, now we can achieve the same costs by getting it from contract manufacturers.
Aliasgar Shakir: Got it. So there is no price increase related improvement in gross margin?
Akash Agarwal: No.
Aliasgar Shakir: Okay. So in terms of the competition, we are still equally competitive and sharper pricing, right?
Akash Agarwal: Definitely.
Aliasgar Shakir: Got it. Second question I had on the SSSG. So now of course in the past your SSSG were way higher because obviously base was also low. Now we are kind of indicating a 10% SSSG. So just want to understand from an industry point of view and how it should play out fo r us because generally this industry is seen to be a bit cyclical.
You see 2, 3 years or maybe 4 years of very good strong SSG and then probably because of either market factors or the consumer weakness in terms of purchase, we see the SSG going back to flattish territory for few ye ars and then again rebounding.
So I mean in the context of how the macro plays out, do you see any impact of SSG also for us?
Or else if you can just give little bit insight from where this 8%, 10% SSG is likely to come? Is it going to come from increased wallet share, more footfalls? How are you guys thinking about this SSSG?
Akash Agarwal: Yes. First of all, I think our segment is the least cyclical business. I think what we are selling can be categorized as nondiscretionary looking at the average selling price and the price segment that we operate in. So I think the cyclical or the numbers that you're talking about, it relies more on one's own execution level or if somebody makes a mistake.

But I think if you're doing the basics well and you are focusing on the strengths and you keep offering what the consumer is asking you at the right pri ce, then I think we should be able to get a 10% double -digit SSG going forward.
And out of which, I think the ASP increase would be inflationary so it should be about 3%, 4%, 5%. And the rest of that should come from volume growth that can also be from a mix of

additional footfalls as well as a rise in average bill value.
Aliasgar Shakir: Got it. Understood. And just last point on the store adds. So just now you indicated that your new stores are around 25% lower than opened in the first quarter. But if yo u think from a year's point of view, are they breaking even in the year that they are opened?
How much time do they take to breakeven? And for whatever indication we have in terms of our growth, how much will be the drag from the new store or will they be from an EBITDA or PAT point of view accretive in the first year itself?
Akash Agarwal: So like I mentioned, newer stores start from about INR800 as the old stores are doing INR1,100 and our breakeven point is at INR500 per square feet sale. So newer store s are breaking even from the first month of operations itself. It's just that that per square feet sale is 25% lower. So there pre -Ind AS EBITDA would be 6% to 7% and the older stores would be somewhere around 10%.
Aliasgar Shakir: Got it. So they will be likely profit accretive from the first year itself?
Akash Agarwal: Yes.
Aliasgar Shakir: Got it. And just last thing is on your EBITDA margin. Now this quarter also we improved our EBITDA margin. Now I think we are hovering close to around 8% level. So you think you will maintain this and pass on the benefits to the customer in terms of better pricing or you think with your operating leverage, this margin can improve from here?
Akash Agarwal: No. With our operating leverage, I think there is scope for the E BITDA margin to improve. So there are 3 levers for that to happen. So one is the head office and the warehouse cost will be distributed over a larger area. The second is moving the per square feet sale even higher with that 10% SSSG.
And the third is bett er full price sale and a better product mix. But like I said, our gross margin target is the same. It is around 28%, 29%, which is already passing on most of the benefit to the consumer. So these levers can be used for the expansion of EBITDA margin.
Alias gar Shakir: Got it. So what is that we should achieve in '26, '27 EBITDA margin?
Akash Agarwal: So the target is 10%, but anything over 8% is good because even an 8% EBITDA margin gets us a 24%, 25% ROE. But of course the target is to reach 10% in the next 2 years.
Moderator: The next question comes from the line of Palash Kawale from Nuvama Wealth.

As there is no response, we'll proceed with the next participant. The next question comes from the line of Varun Singh from AAA PMS.
Varun Singh: My first question is on store addition guidance. I think you mentioned 120 stores. Did I hear it clearly that this 120 store is net store addition for FY '26?
Akash Agarwal: Yes.
Varun Singh: Okay. So I think in front of maybe 70, 72 stores that we added in '25, ar ound 100 or 120 stores we can add in FY '26. That understanding is correct?
Akash Agarwal: Yes.
Varun Singh: Super, sir. And my second question is on the objective of the fundraise. I'm sorry, I actually joined the call 15 minutes late so I'm not sure if y ou have already answered. But just wanted to get a bit clarity and understanding on the INR400 crores fundraise that we wish to do. So what's the objective of the usage of the fund?
Akash Agarwal: Yes. So it's about accelerating our momentum like increasin g the store opening targets by 20, 30 stores every year. It is future -proofing our growth. It is bei

ng debt free so paying off all the debt. It is managing our working capital better in terms of being the best Paymasters in the industry so that we can even get better cost from our vendors. It is investing in infrastructure and technology. So it is a mix of all these things that the funds will be used for.
Varun Singh: Okay. Sure. But like as on today in our balance sheet, we have hardly INR100 crores of short -term borrowing and INR20 crores of long -term borrowing, INR120 crores. So I mean is that -- because any which way -- or you are saying that we don't want to invest in short -term borrowing in future?
Akash Agarwal: Can you repeat that question? I lost you for a second.
Varun Singh: I'm saying that in your balance sheet we have INR120 crores of debt as on today or maybe as on FY '25 wherein the bulk of it is short -term borrowing. So like when you say your objective is to repay the debt, you are saying that we will be free from all long -term, short -term borrowing and in future we don't want recourse to banking facilities?
Akash Agarwal: Yes, that's what I meant. So if w e raise capital, then we will repay all the debt because it doesn't make sense to have that debt if you're raising money through QIP.
Varun Singh: Okay. So after repaying debt, what is the second major cost that we wish to invest? Is it store opening? And wh at would be third if stores end?
Akash Agarwal: Yes. So first will be repaying debt. Second will be additional if we open 25, 30 stores also, in 2

years there will be 60 additional stores. So for that 60 stores, we'll need about INR150 crore s.
And the rest will be for paying off our vendors, better payment terms for vendors so that we get a better pricing, more sharp pricing so that it increases our competitive advantage. And the rest would be for newer warehouse investment, technology invest ment, infrastructure investment.

Varun Singh: Okay. Understood. And just 1 last question. You spoke about the value chain or the warehousing part wherein we will significantly improve our supply chain, which enables us to maybe do twice 2 days drop in a we ek.
So in this regard, just wanted to understand that will there be a meaningful -- I understand 1% is your logistics cost, but in the cost of servicing stores from that point of view, will there be a meaningful reduction on that front? And I mean my unde rstanding is it is margin accretive. If you can educate us a little bit on t his investment and the benefits?
Akash Agarwal: Yes. So see, increasing the frequency of dispatches or fulfilment at the store, of course it won't reduce the transportation cost. B ut what it does is we have to hold lesser inventory at the stores. So it improves a lot of store operations and it improves a lot of inventory management at the store. So those benefits would be seen in the subsequent quarters.
So that should lead to even a better higher per square feet sale that should lead to lower inventory at the store level. So those are the benefits of this. And of course it makes the store operations a lot easier because instead of processing 7 days' worth of inventory together in a day, now the store team has to do that for maybe 2 day sale inventory.
Moderator: The next question comes from the line of Rohan from JM Financials.
Gaurav: This is Gaurav from JM Financials. My question is with regards to just a clarification on the volume and the value growth. So when I see the volume growth is around 50% for Q1 and the ASP increase comes around from INR260 to INR300 so it's around 20% -odd. So not 20% -- near 15%, 16%. So where is the disconnect because the top line growth is around 52%?
Akash Agarwal: I think that's because of the change in product mix because we have reduced a lot of general merchandize goods whose ASP was really low like INR30, INR40 and apparel contribution has gone up. So tha

t is why we're seeing such a sharp increase in the ASP.
Gaurav: Okay. That's helpful. Akash, my next question is given that you are increasing the overall scheme of operations with practically 150 stores being added in this year or rather 125 stores being added in FY '26 and another 150 -odd over the next year. So how are you building the team strength? What all additions has been done at the overall team basis? You did mention on the warehouse capabilities, but what all capabilities other than this would be required to reach to the next level of your revenue targe ts and store targets?
Akash Agarwal: Yes. So see, there are 3 pillars to this. So one was of course the supply chain so we've taken care of that. We finalized the warehouses. In terms of technology, we have invested in Centric PLM and Centric Planning.
So that's also a pretty significant investment that will take care of the process planning, replenishment and assortment planning part of it. And in terms of team, so we have been on a hiring phase for the last 2 years because we knew the kind of growth we w anted and we wanted to build a strong foundation.

So we have hired I think a key manager person in a lot of new departments and our business development team used to be 4 members, now it is 16 members. So similarly, that kind of expansion has happened in each and every team because again like if we want to grow at 50% for the next few years, then all the manpower an d all the bandwidth is welcome.
So we started focusing on hiring 2 years back and it is still a focus and we are still hiring. But I think we already have a very good bandwidth and we showed that by opening 72 stores last year and we are well on track to open 120, 130 stores this year. So management bandwidth is not a problem because we started focusing on it 2 years back.
Gaurav: Sure. And the leading question to this is given that now we are seeing many value retailers getting aggressive on store expansion. So if we just calculate the total store opening s by you, some Zudio, Style Union , etcetera, it comes to around practically 1,000 -odd stores being added during a year.
Now given this, are you seeing inflation in the rentals for the new properties or inflation or any shortage in the manpower that you are looking to hire because the talent crunch again would be limited in that extent. So any co st inflations that you are witnessing here and how are you

managing this?
Akash Agarwal: So average rental currently for us is about INR53. And if you were to look at the average rental of the new stores that we have finalized, I think it's around INR41, INR42. So in fact it is less than the average rentals we are paying today because we have moved away from the idea that in order to enter a market, you need to finalize a store right in the center of the market because we give importance to other factors l ike floor plate, parking that en hances the customer experience. And we have seen that the customer -- if you have the right product and the right brand recall, then you can attract the customer 500 to 1 kilometer, 2 kilometers away from the market also. So that is really helping us find good locations with big floor plates, big frontage and at a much, much more competitive price than if you were looking for a location right in the center of a market.
Gaurav: Sure. Any inflation in the manpower cost that yo u are seeing given that now there is also diversion of the manpower to the quick commerce guys also? And the lower -level employees, are you facing any challenges to hire there?
Akash Agarwal: So the lower -level employees at the stores, they're mostly at mi nimum wage so attrition was always high there. That is why last 5 years we have moved away from being manpower -centric to being a lot of process focused where anyone even in 2 days can get the training and start giving

output. So all our store operations d oes not rely on manpower. They are completely automated. They are completely process driven. So we are not facing lot of challenges there.
Moderator: The next question comes from the line of Palash Kawale from Nuvama Wealth.
Palash Kawale: I hope I'm audib le this time. So congratulations on the good set of numbers, Akash. My first question is again on the finalizing the location. So what kind of places do you look at apart from

the parking that you mentioned? Is it also like you look for the shape and size of the floor plan that you're getting, like is it also important for you?
Akash Agarwal: Yes, definitely. The floor plan is also important. So we have about 70 different factors we look at; the distance from railway station, distance from the nearest bus s tation, the average benchmark sale of the competitors, the width of the access road. So we have made a model which helps us give a probability out as to how that store would do. But we have seen from our experience that how many variables you add, the mode l hasn't been that accurate. So we take into contingency that if we open 100 stores, we might have to shut down 4, 5 stores. But yes, the floor plan is also taken into account when we open a store in terms of efficiency of display and the customer movement.
Palash Kawale: Okay. That's really helpful. And my next question is like in Q1, it was supposed to be a seasonally slightly weaker quarter because of shift in festive Eid. Despite of that, you have grown by 50%. So is it safe to assume that for t he whole year like you'll be easily doing better than what you're guiding right now?
Akash Agarwal: We always believe in under -promising and over -delivering so I wouldn't want to get expectations too high. But yes, definitely, like I said, even in July tha t trend is continuing. So internal targets are definitely better, but we guide for 50% revenue growth and a little bit of expansion in EBITDA so which is anyways phenomenal in itself. So if we do anything better, it will be over -delivering.
Moderator: The next question comes from the line of Kushal Goenka from Mangal Keshav Financials LLP .
Anshul: I'm Kushal here on behalf of Mangal Keshav Securities . My first question is a follow -up on one of the participant's questions on the QIP. Sir, INR400 crores is more than the total current equity base that we have. So just wanted to know the rationale that isn't this a huge dilution and which would also harm the return rat ios for the foreseeable future?
Because currently we are doing around 25% ROE if I'm not mistaken. I'm repeating this, sir, but as you mentioned in the last call also that you would not need any equity or borrowings. So what changed in 1 qua rter? And when will the QIP happen?
Akash Agarwal: No. So we've always been clear that if we feel that the good performance continues and we want to accelerate our growth, then we won't look at additional debt and we would look at QIP or equity dilution. A nd right now also it's just an approval of enabling the QIP process. But we've always been very disciplined in our capital allocation. Our return metrics speak for themselves. And I think if we do a QIP, it will always be in line with creating long -term v alue for all our shareholders. And I've already mentioned the needs and if we raise funds where it will be used. So I think it's about -- if you're doing well, it's about the next 3, 4 years is a good time to get good market share in this Indian value fash ion market.
Anshul: Okay. And sir, since you are planning to become a full -fledged pan -India player so are we planning to hire more senior management like a CEO or regional heads?

Akash Agarwal: Yes. So we are hiring across departments and we are looking f or senior managerial people al

so.
And we have hired in fact 3 key managerial personnel in just last 3 months. So with the kind of growth trajectory we are on, we would need all the bandwidth and we are well prepared and we are looking for good people who c an contribute to our business.
Moderator: The next question comes from the line of Vishnu Lakhani from Bastion Research .
Vishnu Lakhani: Congratulations, sir, for this type of presentation. I have a question regarding brick -and-mortar, which currently you are using. Are you planning to get into online or we are just going to continue in the brick -and-mortar?
Akash Agarwal: Yes. We are exploring the omnichannel business. But I had mentioned this earlier that we are still struggling with a good technology par tner and it's not of a very urgent priority for us. Even when that omnichannel business gets mature, it would not contribute to more than 4%, 5% of sales looking at the …
Vishnu Lakhani: Understood, sir. Second is regarding raising capital. Sir, earlier you mentioned that we are not going to raise capital. Is there a possibility in near future that we will raise capital again?
Akash Agarwal: Sir, there's a lot of disturbance from your line. Your voice is not clear at all.
Vishnu Lakhani: My questi ons are already answered.
Moderator: The next question comes from the line of Varad Patil from New Vernon Capital .
Varad Patil: So what will be our total capex for FY '26? And also can you break it down into the capex for new stores, the warehouse addition s that you're doing and let's say there's an 18 on top of it ?
Akash Agarwal: So we plan to open 120 stores this year so that is around INR300 crores of capex plus inventory required for those stores. And if you include technology, warehouse; that will be a dditional I think INR40 crores of capex .
Varad Patil: Okay. For this year. And earlier you used to guide for INR2 crores capex per store including…
Akash Agarwal: It was always INR2.3 crores to INR2.4 crores . So, capex is…
Varad Patil: So, is there any reason, costs?
Akash Agarwal: No, capex was INR1.1 crores and inventory was about INR1.3 crores paid inventory. So it was always INR2.3 crores to INR2.4 crores and it is still at the same level.
Varad Patil: Okay. So INR2.5 crores is a higher end of the range that you're expecting?
Akash Agarwal: Sorry, sir, you're not audible.
Varad Patil: So you mentioned INR2.5 crores per store. So that is the higher end capex per store that you're expecting. It 's not an average blended basis?

Akash Agarwal: No. So it was always INR2.4 crores. So I'm just rounding it up because if every quarter we're opening 30 stores, there will always be additional inventory in the system for those upcoming stores.
Varad Patil: Okay. So you're not witnessing any increase in capital costs from new additions?
Akash Agarwal: No.
Moderator: The next question comes from the line of Devanshu Bansal from Emkay Global.
Devanshu Bansal: Akash, you mentioned increasing the frequency of drops at the stores, right? So I wanted to check because we did some visits to your stores, which suggested that you also have a local warehouse, which is quite differentiated versus the other value retailers that operate in the specific areas.
So how do you see that? Because obviously with local warehouse, we could have stocked inventory at stores and gradually sort of bring them on the main floor. So do you plan to move away from that local warehouse model by increasing the frequency of drops at your stores? Just wanted some thoughts around that.
Akash Agarwal: Yes. So currently, the store warehouse takes anywhere between 7% to 8% of the floor area. And now that we're doing hub and spoke and the frequency has increased, we are reducing the warehouse area to just 2% to 3%. So that gives more space for the customer, more space to display more options and le

ss store operations in terms of put away and picking.
Devanshu Bansal: Understood. And currently, you mentioned that your inventory at store is INR1.1 crores and obviously with higher frequency of drops, you would be requiring lower inventory at stores. So what is your targeted inventory per store maybe going ahead down 1 to 2 years down the lane when you sort of affect this model. So what is the target of inventory reduction at stores?
Akash Agarwa l: So currently we keep about 10 to 12 days of sales cover at the store. We plan to bring it down to

just 3 to 4 days except the display stock. So there's a display stock and then there's a 10 - to 12 - day sales cover at the store. So we plan to bring that d own to just 3 to 4 days.
Devanshu Bansal: Understood. And any idea as in what would be the segregation between display and cover as in broadly between…
Akash Agarwal: Display is always constant no matter the per square feet sale of the store and the sale i s dynamic. So display is about you can say is 40 to 45 days and rest is sales.
Devanshu Bansal: Understood. And sir, lastly, also wanted some clarity on in -house versus outsourced manufacturing that we will be pursuing. So currently what was the component of in -house sourcing for us through our own manufacturing facility?
Akash Agarwal: It was about 5%.
Devanshu Bansal: Okay. Only 5%. And from a new store expansion perspective, what were the...

Moderator: Sir, sorry to interrupt. May I request you to join t he queue again?
Devanshu Bansal: Sure.
Moderator: The next question comes from the line of Ankush Agrawal from Surge Capital.
Ankush Agrawal: Just one thing, Akash. So in last 1, 1.5 years, we have clearly accelerated the store additions. This quarter the store growth is almost 70%. And now with the fundraise also, we are looking to accelerate more even though it is good because you're seeing positive signs. But the other aspect is also that an uncontrolled store expansion is basically the prima ry reason why a lot of retail outlets eventually fail.
We also had a past bad experience as well. Obviously the balance sheet is different. But like back in 2017 also we added, say, 70% more stores in just 1 year and then next few quarters were not good b ecause the SSSG was not good. So how do you see that kind of a risk going ahead now given that we are continuing to add stores at a very rapid pace?
Akash Agarwal: Yes. So first of all, whenever we talk about store opening numbers, we've always mentioned t hat we don't want to blindly chase growth by compromising on any of the metrics that is per square feet EBITDA, per square feet gross margin. So whatever expansion happens, it happens in phases.
So the next phase of expansion is always dependent on the ex ecution of the previous phase. So the day we feel the newer stores are not within the benchmark of 30% of old stores, the old stores SSSG is going down or any of the metrics we see that it's not up to the mark; then we would just postpone and cancel the ne xt expansion phase.
And second, we have never been in this position where we have the leadership position in terms of per square feet sale, in terms of profitability. And wherever we have a store, we are at least 30% to 40% higher in terms of throughput a nd sales than our competitors. So I think we've never been in this position of strength where we felt that we were strong enough that now we can open or gro w at this speed.
And third, if you look at the last 4, 5 years, that was a period of consolidation. So if you look at the growth over 5 years, then it would not look that much. So those 4 years were about strengthening the model, increasing the per square feet sale from INR650-odd to more than INR1,100 for the old cohort of stores. So ther e has been a fundamental change in the business, which gives us this confidence.
And like I s

aid, it's only after we have built a foundation now in terms of management bandwidth, in terms of technology, in terms of getting the product right, getting the s upply chain right. So there's very little manual intervention in a lot of processes of the business. So that overall gives us the confidence that we can do this.
And last year also the 72 stores that we opened, the response has been phenomenal and the kin d of customer feedback that we are getting. And so this I think altogether gives us the confidence that we should be accelerating growth.

Ankush Agrawal: Right. So just 1 thing. So in your understanding, if you're getting, say, 8%, 10% SSSG, then you're co mfortable opening, say, 50%, 60% store addition. In your understanding, that is not a risk, right?
Akash Agarwal: So there are 2 things here. So SSSG is one and second is what percentage -- what per square feet sale are the newer stores doing? So that has to be within 30% of old stores. So even with a 10% SSSG, if newer stores are doing maybe 40%, 50% less than old stores, then we would have to rethink the strategy.

Ankush Agrawal: Okay. So 8%, 10% SSSG and 30% lower square throughput is the right benchmark to look at?
Akash Agarwal: Yes, yes.
Moderator: The next question comes from the line of Rohan Advant from Prad Capital.
Rohan Advant: Congrats on a good set of numbers. Sir, my first question is that your ability to improve your pre-Ind AS EBITDA margins from the 8% to 10% for the next couple of years in spite of such a significant ramp -up in store addition. Is that dependent on a certai n SSSG number at this 8%, 10% you feel confident there are enough levers to deliver that or would you need a higher SS SG to expand margins from here on?
Akash Agarwal: So yes, it's a very valid question. So the aim of 10% EBITDA, for that we would definite ly need a higher SSSG. I think the SSSG we need for that would be around 13% to 15%. That is why I also said anything above 8% is good. That is our aspiration.
That is where we want to get to. So there should be higher SSSG and of course better product mix, better full price sale and of course cost leverage also. So all those 3 things need to happen for the EBITDA to expand 200 basis points in the next 2 years.
Rohan Advant: Okay. And at that 8% to 10%, 8% margin is defendable?
Akash Agarwal: No, if it is 8% to 10%, then we might go till 9%. We might not reach 10%.
Rohan Advant: And just lastly, on the pre -Ind AS versus post -Ind AS accounting, one of your peers has I think restructured their leases to bridge the gap between the 2. Do you plan to do somet hing like that or you are not really thinking about it?
Akash Agarwal: No. So like we track business performance on just pre -Ind AS basis. So I think it would be redundant to focus on the post -Ind AS because I think for a business like ours, it's an irrele vant number. So we focus always on pre -Ind AS numbers and we always give guidance on pre -Ind AS numbers. So we don't need to do that.
Moderator: The next question comes from the line of Jatin Deshpande from Pkeday Advisors .
Jatin Deshpande: So firstly, I w anted to ask on the SSSG. So can you share the SSSG number for the stores that are greater than 2 years old if you have any idea about that?

Akash Agarwal: So I don't have it offhand, but what we have traditionally and historically seen is the newer cohort stores are growing at a higher rate than the old mature stores.
Jatin Deshpande: Right. So yes, that is the reason I'm asking is, as you say, this 8% to 10% SSSG is sustainable. So like can I assume that it is going to be the same for the next 3 to 4 year s?
Akash Agarwal: Yes, we would like it to be the same for the next 3 to 4 years. But again it all depends on the execution. But if your business model is good, i

f your product offering is good, there is enough customers in the market and there is enough c ustomers entering your total addressable market every year for a good brand to be doing a double -digit SSSG.
Jatin Deshpande: Got it. And my last question is on the store ramp -up that you have planned. So I have to assume that your stores do much better in our core markets like UP, Bihar. So what are your -- how you plan adapting newer stores in the new markets like, let's say, Karnataka or Maharashtra, like how you plan the merchandize and the trends there?
Akash Agarwal: So I already mentioned this also t hat the newer stores that we opened in newer geographies, they are at the same level as the newer stores in the old geographies. But whenever we enter a new geography, we collect a lot of data from the store that we've opened. And all the subsequent stores that we open in the new geography or the new state, it already has the assortment and the space allocation by using the data from the older store.
Jatin Deshpande: Got it. And any problem on the supply chain side? Like do we have any concentration risk fr om the vendor side or we have a diverse set of vendors there?
Akash Agarwal: So we have about 250 vendors so it's pretty diverse and we have more than 500 vendors who want to work with us. So that's not a challenge. And we are not over reliant on any singl e or any group of vendors.
Moderator: The next question comes from the line of Karthik from LFC Securities . As there is no response from the participant, we'll proceed with the next participant.
The next question comes from the line of Rajesh Vora from Jainmay Venture .
Rajesh Vora: Congrats on pretty good set of numbers. Your aspiration has been to reach INR1,500 revenue per square feet per month. Is that possible in the next 3 years given this aggressive ramp -up of new stores?
Akash Agarwal: Sorry, can you repeat that question?
Rajesh Vora: Your aspiration has been to reach INR1,500 of revenue per square feet per month for V2 Retail. Is that possible in the next 3 years given aggressive ramp up of new stores?
Akash Agarwal: I think that's being too optim istic. Even if we reach INR1,200 PSF at the national level old and new stores combined in the next 3 years, that would be amazing trajectory for the business.
Because even with the INR1,200 per square feet of sale, I think the ROE numbers are around

40%, w hich is phenomenal. So that would be our first target before we talk about any number higher than that.

Rajesh Vora: Okay. That's useful. And at that level of INR1,200 per square feet per month, pre -Ind AS EBITDA margin should be what, 8%, 9% higher?
Akash Agarwal: No, at INR1,200, it should be around 11%.
Rajesh Vora: 11%. Okay. And that you think is feasible in the next 3 years?
Akash Agarwal: If we continue doing the good work and if we are on this trajectory and we continue the momentum, then yes, that is the target.
Rajesh Vora: Interesting. That's useful. With CEO leaving recently, are you assuming that role or are you looking for a new gentleman? How are you thinking about that?
Akash Agarwal: So I have assumed that role currently, but we are on the lookout for a lot of positions also because with the growth trajectory, we need more people. But right now I'm handling it and I've assumed the role and yes.
Rajesh Vora: Okay. And last thing, what is the typical incentive structure for store staff who are doing a great job and helping the company grow pretty well consistently over the last few quarters and we have already reached 92% of MRP. So what's the typical structure? And given the aggressive growth we are planning, how can you maintain your best -in-class rigorous processes and SOPs with this kind of growth?
Akash Agarwal: So yes, lot of our key personnel at the store and head office, they've all been given retenti

on
bonuses. And in terms of variable salary, so each one of them have monthly, quart erly and annual targets. So they have different slabs. They can earn as much as 50% of their salary if they achieve certain targets. So last 2 years because we've performed so well, I think average everyone has been getting about 15%, 20% variable percenta ge of their salary and that seems to be working well for us and motivating our employees.
Rajesh Vora: Interesting. And does that mean that we are amongst the best paymaster on a total basis compared to our competitors where these folks can work or have been working before?
Akash Agarwal: Yes, definitely because we'll be able to achieve our targets. So of course with the incentives, we would definitely be paying them more than what their counterparts are earning at competitions or competitors. But we don't have the exact benchmarking. But looking at a lot of store managers and assistant store managers, the attrition has been lesser since we have announced this scheme. So it seems to be working well.
Moderator: The next question comes from the line of Aakash from AJ Wealth .
Aakash: Congratulations for a great set of numbers. So one question related to -- for last 2, 3 years we have rapidly expanded and this year again we are planning to open 100 -plus stores. So many consumer companies are reporting weak or muted demand. So don't you see any risk in expanding at such a high pace in the current environment?

Akash Agarwal: We are expanding not for the short term or just to get profits of 1 year or 2 years. It's a long -term expansion for the next few decades . So short -term macroeconomic factors can't affect decision - making in terms of growth trajectory of the business.
Aakash: Okay. And last one, sir, I mean our full price sales are at 92% and compared to other retailers, this is quite high. So how are we mai ntaining such high full price realization? Is it a function of brand positioning or supply chain efficiency or store level execution?
Akash Agarwal: So it's a mix of better forecast, better merchandising, better supply chain. So I think it's a mix of all those things. The teams being efficient and offering the right kind of fabrics, colors, fits that the customer likes and we don't have to put it at a discount.
Aakash: Okay. And just last one, sir, on your design team. Your in -house design and product devel opment team, they play a very superior role. So what is your competitive edge there?
Akash Agarwal: It's very hard to explain that on a call until and unless you go and visit our store and see our products versus our competitors because everybody on call c an say their products are better or their assortment is better. So you need to actually see the product, see the pricing, see the quality to understand why our per square feet sale is higher, why our footfalls are higher, why our conversions are higher and why is profitability higher.
Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to Mr. Akash Agarwal for closing comments.
Akash Agarwal: Thank you all for joining us on today's call. We hope we've been able to address your questions

and provide clarity on our performance and outlook. Should you require any further information or have any additional queries, please feel free to reach out to Marathon Capital, our Investor Relations Advisors . They'll be happy to assist you. We appreciate your continued interest and support.

Thank you and have a nice day.

Moderator: Thank you very much. On behalf of V2 Retail Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2025

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Sub: Transcript of Earnings Call Q2 H1 & FY 26 - Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosu re Requirements) Regulations, 2015

Dear Sr,

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), please find enclosed the transcript for the conference call with the Analysts/ Investors for the Q 2 H1 & FY 26 Financial Results of the Company conducted through digital means on Monday , November 17, 2025 .

The transcript shall also be uploaded on the website of the Company. You are requested to kindly take the above on record.

Thanking you,
YOURS FAITHFULLY,
FOR V2 RETAIL LIMITED

SHIVAM AGGARWAL
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

“V2 Retail Limited
Q2 and H1 FY '26 Conference Call ”
November 17 , 202 5

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company’s website will prevail

MANAGEMENT : MR. AKASH AGARWAL –DIRECTOR AND CHIEF EXECUTIVE OFFICER – V2 RETAIL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the V2 Retail Limited Q2 and H1 FY '26 Conference Call , hosted by Marathon Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please sig nal an operator by pressing star then zero on your touch -tone phone.

Before we begin, a brief disclaimer. The presentation which V2 Retail Limited has uploaded on the stock exchange and their website, including the discussion during this call , contains or may contain certain forward -looking statements concerning V2 Retail Limited's business prospects and profitability, which are subject to several risks and uncertainties, and the actual results could materially differ from those in such forward -looking sta tements.

I now hand the conference over to Mr. Akash Agarwal , Director and CEO of V2 Retail. Thank you, and over to you, sir.

Akash Agarwal: Good morning, everyone, and a very warm welcome to V2 Retail's quarter 2 and the first half of FY '26 earnings conference call . We trust you've had the opportunity to review our results. The earnings presentation and press release are available on the stock exchanges and also on our company's website.

We are very pleased to report a very robust performance for the second quarter of FY '26, reflecting the strong momentum across our business. With 86% year -on-year revenue growth, we continue to substantially outpace the broader market while demonstrating the scalability, resilience and execution strength of our opera ting model even on a high comparison base.

FY '25 laid a very solid foundation and our encouraging performance in the first half of FY '26 further reinforces our confidence in delivering sustained growth and long -term value creation. Innovation, flawless execution and unwavering customer trust continue to be the heart of our strategy, and we remain deeply committed to strengthening these pillars as we scale.

At the core of our success is our highly skilled and passionate team of desig ners, merchandisers and inventory specialists. Their ability to anticipate trends, curate targeted assortments and manage inventory with precision enables us to remain agile, customer -focused and operationally strong in a rapidly evolving retail environmen t.

We are encouraged by a strong customer response to our distinctive and competitively priced product portfolio. By consistently offering fresh, trend -aligned assortment s rooted in quality and value, we are driving broad -based and sustainable growth acro ss our expanding store network.

Our strategic expansion into underserved rural markets, combined with deeper penetration in Tier 1 and Tier 2 cities is helping us build a large and demographically diverse customer base.

Our deep understanding of regional preferences reflected through localized assortment s and personalized in -store experiences continues to strengthen our competitive edge.

Now moving on to some key updates. Let me take you through the key highlights of our performance. So revenue for the se cond quarter grew 86% year -on-year to INR708.6 crores. We opened 43 new stores during this quarter and achieved a net addition of 70 new stores in the first

half of the financial year, taking our total store count to 259 stores with 28 lakh square feet of retail space.

Additionally, we have added 16 net new stores so far in the current quarter, taking the total of 275 stores as of today. Reported SSSG for quarter 2 stood at 23.4% and normalized SSSG adjusted for the Durga Puja shift from quarter 3 to quart er 2 stood at 10.3%. The same -store sales growth for the first 6 months of the financial year stood at 13.3%. We recorded a

58%
volume growth in the second quarter of FY '26 with full price sales contributing 92%.

Our ROE continues to show consistent impr ovement, standing at 22.9% in the first half of this year, reflecting disciplined capital allocation and strong operational leverage. While we fully comply with the relevant accounting standards for statutory reporting, the economics of retail operations d iffer significantly. Therefore, it is important to understand how we track internal performance and decision -making metrics.

Store level profitability can only be measured when rent is included at the EBITDA level and not below EBITDA. Our annual business plans, budgets, cash flows and store operation metrics are all prepared on a pre -Ind AS basis. All team productivity metrics and incentive structures are aligned to pre -Ind AS numbers. Our revenue and profitability guidance is also communicated on a pre -Ind AS basis.

Given this, I will now share our pre -Ind AS performance for this quarter and the first 6 months of the year. Revenue grew 86% year -on-year to INR708.6 crores. Gross margin grew from 27.2% to 28% from the corresponding quarter last year. The E BITDA grew from INR7.9 crores to INR44.4 crores, which is a 465% year -on-year growth in the second quarter. The EBITDA margin grew from 2.1% to 6.3% and the PAT grew from INR70 lakh to INR25.3 crores, which is a growth of 3,561%.

Now talking about the per formance of the first 6 months on a pre -Ind AS basis. The revenue for the first 6 months grew 69% to INR1,340.9rores. Gross margin grew from 28.2% to 28.7%. The EBITDA grew from INR40.1 crores to INR96.9 crores, which is a growth of 142%. The EBITDA margin grew from 5% to 7.2%.

The profit after tax grew from INR19.6 crores to INR55.9 crores, which is a growth of 185%.
We have been consistently sharing pre -Ind AS numbers for improved transparency around operational performance, and we will continue to repor t these metrics going forward as well.
With this, I now leave the floor open for questions.
Moderator: The first question is from the line of Harsh Dubey from LFC Securities.
Harsh Dubey : Congratulations on good set of numbers. I just wanted to understand that we are expanding in various markets. So what is your plan for the South Indian markets? Like I see that we are present in Western markets, in Central India as well. But our South presence is somewhat like we can expand there as well. So wha t is your take on that, sir? First question.

Akash Agarwal: Yes. So we entered Karnataka a few years back. And now we have 18 stores in Karnataka, and it has become one of our core strong markets. Similarly, we had entered Goa, now we have 2 stores in Goa. And this year, we have entered Andhra Pradesh, and we are getting a very good response in that state also. So South is a very big focus market for us. And a good chunk of our future expansion will come from that region.
Harsh Dubey : Okay. So sir, so you a re planning to enter into South Indian markets like, for example, in Tamil Nadu as well, because it is also like a good market for retail and there are a lot of competitors that are already present.
Akash Agarwal: So our aspiration is to be a national leve l retailer. Our aspiration is to be in all the states of India in the next 2 to 3 years. So definitely, we will be present in Tamil Nadu as well.
Harsh Dubey : Okay. Okay. The second question is that -- so if I get it right, so we are mostly on a basis of brick-and-mortar, right? So what I wanted to understand, are we planning some omnichannels like quick commerce, e -commerce, just like DMart has for DMart Ready? Are we planning something in fashion and for our products later?
Akash Agarwal: Yes, we are expl oring different technologies where we can leverage the same store inventory and add another channel, which is online to sell to the customers in

that particular city so that it doesn't have any additional costs and we can leverage the existing inventory an d cater to more customers. But we haven't found a suitable technology partner yet. But hopefully, soon, we'll be able to do that.
Harsh Dubey : So sir, any time line on that, like approximately how much time do you expect that would be online?
Akash Agarwal : I think it would be in the next financial year.
Harsh Dubey : Okay. Okay. And sir, just one last question, if you may allow. When we talk about our stores, so how is our breakeven? So how much time does it take for our stores to be breakeven?
Akash Agarwa l: So our stores -- our new stores start from around INR750 to INR800 per square feet and the breakeven point is around INR500 per square feet. So our stores start from the first month itself, and it breaks even from the first month itself. And it takes ab out 2 to 3 years for a new store to mature. So it grows faster than your mature stores and then it comes back to company base.
Harsh Dubey : So just to clarify, so first of all, INR500 is of a breakeven point. So like within the first month itself, we break even and then the store becomes mature in like 2, 2.5 years. Is that right?
Akash Agarwal: Yes.
Moderator: The next question is from the line of Aditya Bansal from Motilal Oswal.
Aditya Bansal: Congratulations for a very strong set of numbers. My fir st question is around the demand environment. Like how has been the trends in Diwali and so far in 3Q? So can you share some light on that?

Akash Agarwal: I can just say that the momentum is continuing, and we are very, very happy with the kind of response we're getting both from our old stores and all the newer regions and the newer stores that we've opened. And we are beating our own expectations. So we are very bullish, and we have a very positive outlook for the future.
Aditya Bansal: Sure. And any chan ges to the store addition guidance after the QIP, like what are the current targets now?
Akash Agarwal: So our initial target was 100 stores, 100 new stores. And we've already added 86 this year. So we have actually increased that 100 number to 130 stores. So I think we'll add around 130 stores this year. And if our store operating and profitability metrics remains robust and as strong as it is, we will open 150 stores next year. Our objective is to achieve an ROE of more than 20%.
Aditya Bansal: Okay. And lastly, can you talk about the warehouse investments and any investment in the team

that you will require for meeting such an accelerated store expansion, like anything qualitatively as well as on the quantitative as well?

Akash Agarwal: So to open 150 sto res, we would need a capex plus inventory investment of around INR350-odd crores and additional warehousing cost would be around INR25 crores to INR30 crores.

Aditya Bansal: This will include the regional warehouses that you were trying to do hub -and-spoke model?

Akash Agarwal: Yes.

Moderator: The next question is from the line of Ankit from Subhkam Ventures.

Ankit: Congrats for excellent set of numbers. My first question is the usage of QIP money, which you have recently raised, how have -- how you have us ed it till date?

Akash Agarwal: Yes. So our aim is to be one of the best paymasters in the industry for our vendors. So we have raised QIP primarily to repay the debt of INR135 crores. We are using INR165 crores for our working capital and INR100 crores for general corporate purpose. So raising capital helps us achieve both in terms of supporting vendors ecosystem by providing enough liquidity and also reduce our product cost by availing bill discountin g and also because it is helping us increase our store opening targets.

Ankit: So can you throw some more light on by paying your creditors early, what kind of savings you would be making? And how profitabl

e would it be for you?

Akash Agarwal: Yes. So even today in India, access of capital for MSMEs is still a big challenge. So our vendors, as we are growing, they are growing with us. So they all need -- in need of working capital. So we get around 1.5% to 2% per month bill discount from them. So that is di rectly added to the bottom line if we pay them their bills earlier.

Ankit: So is it fair to assume that going forward, your working capital would look increased, but it is by choice?

Akash Agarwal: Yes. So you will see a drop in our creditors and increase in our working capital days.

Ankit: But it is because -- but it is as per your choice, this is not compulsory.

Akash Agarwal: Yes. Because we are paying our vendors earlier. So our average credit days would go down from about 50, 55 days to around 30 to 35 days.

Ankit: Okay. And any other benefit you get by paying your creditors early other than the discounts, any preference from them while they supply the material or any other soft aspect?

Akash Agarwal: Yes. So V2 becomes their priority. V2 becomes their retailer of choice. And we have already converted about 15 to 20 of our vendors as exclusive vendors to us. And hopefully, becoming even better paymasters helps us get more vendors under this umbrella who are only supplying to us and not supplying to our c ompetitors.

Ankit: Okay. And my second question is on the -- how is the traction from the new stores which you have opened, especially which you have opened outside your core markets of UP, Bihar, Assam and Odisha. I mean these are your core markets -- so core markets. So I mean, the new stores opened outside these states, how is the traction there? How is the PSF and everything there?

Akash Agarwal: So very encouraging numbers here. There are 2 things here. So first of all, our benchmark for new stores is it should be within a 70% range in terms of sales throughput of the old stores. So they are currently at around 72% to 73%. So they are well within the range. And in terms of new regions, so new stores in old regions versus new stores in new regions, the d ifference is only 2% in terms of per square feet sales. So even in the newer geographies where we have entered, whether it's Maharashtra, whether it's Gujarat, whether it's Rajasthan, whether it's Punjab, all the new stores are already performing at the le vel of our new stores in the core markets.

Ankit: Okay. And going forward, when you are targeting 130 stores this year and around 150 next year, I mean, would the focus be again on these 4, 5 states where you already have presence in so many years? Or it will be a mix? I mean, what will be the mix? I mean, outside these states, how many stores you'll open and how many would be in these core markets?

Akash Agarwal: So see, we are only committing to the next 5 months of the stores that we want to open becaus e from the day we finalize the store till the day the store opens, it's a period of about 3 to 4 months. So everything depends on the traction that we get. So for example, Karnataka was such a good market for us and the traction that we got for every new s tore and old store was very encouraging. That's why now we have 18 stores in Karnataka.

So similarly, now we have entered Punjab, Rajasthan, Andhra Pradesh, Chhattisgarh, Haryana. So if we feel any of those markets are showing exceptional numbers, then we will focus more on those markets. But if you want to talk about prima facie, I think 70 -- 60% to 70% of the stores will be in existing core markets and 30% to 40% will be in the newer geographies, which are performing well.

Ankit: Okay. Interesting. And lastly, how many stores currently would be under 500 PSF on a consistent basis -- set for consistent for 2, 3 months?

Akash Agarwal: So if you take out -- okay, a

t the company level, there's only one store that is below breakeven
point cur rently. And that is also a store that has opened in the last 3 to 4 months. So we don't
judge a store's performance before it has at least passed 1 year of sales. So if you talk about
stores that are at least 1 year old, all th ose stores are EBITDA positiv e.
Moderator: The next question is from the line of Palash from Nuvama Wealth.
Palash: Congratulations on very good set of numbers. Sir, my first question is on gross margin. So when
will we see gross margin expanding on account of bill discounting?
Akash Agarwal: So you should start seeing it from the third quarter.
Palash: Okay. Okay. And given the aggressive growth plans that you have for next, let's say, for FY '26
and FY '27, would it be possible that you will be able to achieve 10% kind of pre -Ind AS
EBITDA margins by FY '28?
Akash Agarwal: We always guide for the same EBITDA margin because we are promising a very healthy growth
number, which is more than 50%. So because new stores start at 70% of old stores and it takes
time to mature, and we are addi ng 60%, 70% new square feet area. So we always guide for the
same pre -Ind AS EBITDA margins moving forward. But definitely, when the stores mature,
when the new stores that you open becomes only 10%, 20% or 25% of your area, then the
expansion of EBITDA ma rgin should also happen.
Palash: Okay. And sir, for -- let's say, for next 18 months, is 10% kind of SSSG possible?
Akash Agarwal: That is what we target. So even for mature stores, I think 8% to 10% SSSG is our target. And if
we do our execution well, if we plan our assortment well, I think it is possible.
Palash: Okay. Okay. And sir, what kind of stores are you planning to add in states of Maharashtra and
Gujarat? And how are those 2 stores performing? Because last time you told us that those stores
are d oing very well. So any color on those 2 states? And what kind of plans you have on store
addition front for next, like, say, FY '27?
Akash Agarwal: So whenever we enter a new geography or a new state, we open 1 to 5 stores there because we
believe in colle cting a lot of data. And that data that we collect ensures that we build an optimized
store model that fits that particular region or that state. So both Gujarat and Maharashtra store -
- so Gujarat store is doing more than INR1,200 per square feet of sales .
But again, it is only 1 store each in both the regions. It's a very small sample size. So unless --
until we have 3 to 5 stores there to collect that data to see the performance, it's very hard to
comment what will be the future expansion strategy in th ose states.
Moderator: The next question is from the line of Yash Kothari from CRK EQ Research.
Yash Kothari : Firstly, congratulations on a set of results, sir. And just wanted to know the unit economics of
our stores per se, like what's the per store cost depending on the region, if there is a way to give
me that? And also the margin guidance after new stores open, like how -- what's the time line
for like certain margins, how they increase in certain areas?

Akash Agarwal: So I'll answer your second qu estion first. So for margin guidance, we guide for the same margin
going forward because we are growing fast. So I think we did pre -Ind AS EBITDA margin of
8% last year. So that is our future guidance for the next 2 to 3 years because we are adding so
much new area. And definitely, there are levers to expand that margin as well.
So one is operating leverage by getting the per square feet cost down. One is better sales mix
and better economies of scale in terms of costing that improves our gross margin. And the third
is obviously a good SSSG number that increases the per square feet sale at the company level.
But I think when we are adding almost 60%, 70% new area every year, we guide for the same
mar

gins going forward.
And now answering your first question , so our store economics, so capex required for the store
is around INR1,100 per square feet. And the inventory required at the company level for that
store is around INR2,500 per square feet, out of which -- so that's around 90 to 100 days of
inventory. S o half of it is paid for by us and half is the credit term that we get from our vendors.
So total investment per store is around INR2.4 crores, INR2.5 crores. And the total cost at the
company level is around INR190 per square feet. So this will be the cal culation.
Yash Kothari : Any sort of funding that we're looking for in the future? I mean, I know obviously, the QIP has
just happened, but like if at all, because obviously, we are expanding at such a good rate. So just

wanted to know if there is any sort of thought process in that area.
Akash Agarwal: So there are no plans currently. But again, our main objective is to get a good ROE, a healthy ROE. And if we make a business plan, we make our cash flows. So currently, there is no plan.
But in the future, i f we feel that we need to raise money to open more stores and all the business metrics are very healthy, then we will do it.
Yash Kothari : Okay. And just to fall back on the point of the unit economics. So how you said there are 3 levers that really affect how the cost for a store comes down. So since we have been expanding at such a good rate and beating our own estimates, is there any sort of economies of scale that we are already seeing when it comes to the cost per square foot and the things that you mentioned?
Akash Agarwal: Yes, definitely. So we've already seen our costs come down by INR6 to INR7 per square feet if we are comparing it year -on-year. And there is a lot of scope to -- for it to further come down as we increase store area.
Moderator : The next question is from the line of Palash from Nuvama Wealth.
Palash: My question was on rental. How is rental cost panning out? And what is the guidance for next year?
Akash Agarwal: So our average rental per square feet is around INR52 per square feet. And I think we have already signed 80 stores MOUs. So the average of those stores is around INR48 per square feet.
So our average rentals are actually coming down.
Palash: Okay. Okay. S o this rental cost would be a big leverage along with gross margin expansion, right? Even if you open new stores?

Akash Agarwal: I don't understand what you mean by rental cost will be leverage.
Palash: Your rental cost has been continuously going down. So that could mean that margin expansion could happen on account of this.
Akash Agarwal: But it's a very insignificant change. So our rental cost used to be INR53 and now it's INR52. So it's a very, very insignificant change.
Moderator: The next question is from the line of Bhaskar from DSC Finserv .
Bhaskar : Congratulations to the management on excellent Q2 results. There is an article that got published in APH and our research also confirms that many senior positions at the organization includes Head of Merc handising, Head of HR, retail, planning, production, sourcing and design, they're currently vacant. The attrition is also very high and the retail head, Amit Gupta left only after 15 days. The position is now vacant.
The HR head, Amit Bagga left after 2 m onths. The position is also now vacant now. The IT head Pankaj has exited recently. The inventory planning head, Pradeep , also left in August.
Production head left only after 2 months. The sourcing leads, Deepak and Pawan , they also left within a year. And the merchandising category head is serving as the current CFO.
Can the management confirm the accuracy of these details and explain why so many critical roles are remaining vacant as of now and clarify how day -to-day operation s are being managed, especially given the ongoing con

cerns about the govern ance and operational continuity?
Akash Agarwal: Yes. So except Head of HR, all the other positions are not vacant. So I think there's a discrepancy in your research. And second, whe never we hire someone new, there's always a probation of 6 months and we always communicate with them because a lot of times, what happens is the culture with the company doesn't align with the person.
So we always tell any new hirings that happen that th e first 6 months is a probation time because they are getting to know the company, the company is getting to know them. And a lot of times, those relationships don't work. But if you talk about buying and merchandising, all our core vertical heads, even in cluding the buying and merchandising head, they all have been with the company for more than 10 years, and they have experience in this industry for more than 20, 25 years.
So except the Head of HR, I think all the other positions are taken care of. And t hat is why we believe in building a very broad -based management where nothing is dependent on one person.
And there's always fallbacks, there are always backups. And because we knew we wanted to grow at such a high growth rate, we spent a lot of time build ing the foundation over the last 3 to 4 years. And it's a very normal part of business. If you look at attrition at the head office level, I think it is less than 15%, so which is a very, very healthy number. So I don't think it's a very -- any cause of co ncern.
Bhaskar : Sir, my second question is while the company has recorded 23% L -to-L growth in quarter 2, the SPSF figures have shown only 3% to 4% increase for the quarter 2. And there is an increase of

17% in ASP vis-à-vis 13% L -to-L growth in H1 and the SPSF has degrown. This indicates that the new stores are performing approximately 20% lower than the existing L -to-L stores, and we are getting benefit of price increase and not the quantity growth. Is that understanding correct?
Akash Agarwal: Your under standing is not correct there also because our contribution of apparel has been increasing over the last 2 years. So whenever you want to see whether it's an actual price increase, you should only compare ASP of apparel from last year to ASP of apparel now . So that ASP increase is only 3% because we have increased the contribution of apparel and apparel ASP is much, much higher than general merchandise. That is why you see this ASP increase.
Moderator: The next question is from the line of Ankush Agrawal fr om Surge Capital.
Ankush Agrawal: Just one question. Can you give a rough sense of what would be the sales per square feet per month for old stores and new stores for the quarter?
Akash Agarwal: I don't have that number for the quarter, but I can give you the number for last year. So last year, our old stores were at INR1,100 per square feet of sales. So the SSSG numbers for this year that you're seeing is around that INR1,100 base. And the new st ores last year was around INR770, INR780.
Ankush Agrawal: Okay. But roughly the new stores would be doing more than 70%, which is the sort of threshold that we look for. That is continuing, you're saying?
Akash Agarwal: Yes.
Ankush Agrawal: Okay. And secon d thing is, I think in last year, we were talking about, say, increasing the share of our own design substantially in this summer -- upcoming summer season. And the thought was that if we are able to achieve the targeted say, 90% sort of own design, then i t would be a game changer for the company. So I just wanted to know your thoughts on where we are in terms of progress in that.
Akash Agarwal: So we have decided to see the model is working so well that we don't want to make a significant change where we b reak the model because you shouldn't tweak something too much when it's working well. So what we are doing is we're trying to i

ncrease it 5% every season. So our year is broken down into 4 seasons because we want at least a 20% higher throughput in our own design compared to our vendor designs in order to increase that.
So until unless we see that competitive advantage, we won't make a significant increase. So we are only taking it a gradual increase and increasing it by 5% every season. So I think we moved up from 25% to 35%. And hopefully, next year, summer, it will be around 40%, 45%.
Moderator: The next question is from the line of Niraj Mansingka from White Pine Investment Management.
Niraj Mansingka: I just had one question. We have seen a quite e arly onset of monsoon. How will this impact your realization and margins for the quarter?
Akash Agarwal: So historically, we have seen monsoons don't have a very big impact. So what happens is there...

Niraj Mansingka: I'm very sorry, Akash. Instead of mon soon, I was talking winter. The winter onset is very sharp this year.
Akash Agarwal: Yes. So we have seen our winter contribution increase from about 40% on the last year same day to almost 55%. So that is very healthy for us because winter is, number one, you have extra margin, extra gross margin. Second, the ASP is higher. So it translates into much better sales numbers. So there's a delta of around 5%.
Niraj Mansingka: Delta 5% in what, like the EBITDA side?
Akash Agarwal: Sales.
Niraj Mansingka: Sales. But how much gross margin is the differential between the winter product versus non - winter?
Akash Agarwal: So our winter product would have a gross margin of about 34% and the normal product would have a gross margin of about 31%. So the delta is about 3% gross margin.
Niraj Mansingka: Okay. Got it. And you are witnessing across the sale -- higher sale across all the stores, right, the winter product?
Akash Agarwal: Yes. So winter has been -- yes, early onset of winter has been very good for us.
Moderator: The next question is from the line of Shivam , an Individual Investor .
Shivam : Sir, as we have done a QIP of INR400 crores and now our payables are coming down. So at least the gross margin would be going up. So why are we not increasing our EBIT DA margin guidance from 8% to say, like, okay, 9% to 11%. So last year, we did 8% of EBITDA margin.
Akash Agarwal: Yes. But if you look at the impact, so even if we pay -- prepay INR100 crores to our vendors, that is just INR2 crores per month. So if you l ook at the impact, it's not a very big impact, and we don't guide for an increased EBITDA margin only because we have already opened 84, 85 new stores this year, and we are opening 130 new stores this year, which will have a per square

feet sale, which is 70% of old stores. So that EBITDA margin offsets any benefit that we're getting from the SSSG of old stores.

Shivam : Okay. Understood. And my second question is, sir, like when I look at the LinkedIn and check for the titles of management positions, sir, I don't find them. So is it like, okay, all the management positions are hold by very, very new joinees or what's the situation?

Akash Agarwal: No. So most of the management position is, in fact, held by old people who have been promoted from within the org anization. So our retail head is a person who was a floor manager in one of our stores about 13 years back. Our business development head was a store manager. All our regional managers have also been promoted from within the organization. The buying and merchandising head used to be a subdivision head.

So all the positions have been filled by people from within the organization. And that is why other people in the organization see that if you work hard and you achieve the targets and you

follow the company culture, there is such a big room for growth, and that's a very good career path fo

r all the employees here.

Shivam : Sir, who is our CTO, by the way?

Akash Agarwal: So the CTO's name is Anupam and like there's a team, so our SAP -- so there's not a CTO. S o there's an SAP head, there's an applications head and there's a person who takes care of the POS. So that is how we have divided the IT department.

Shivam : Okay. That's why I was not able to find the CTO on LinkedIn.

Akash Agarwal: Yes. It's about the structure of the departure.

Shivam : Okay. It will be very good if you can just show the structure in your investor presentation because that is creating a lot of noise around.

Akash Agarwal: Sure.

Moderator: The next question is from the line of Samarth Na gpal from Suranu Family Office .

Samarth Nagpal : Congratulations, Akash, on a great set. So Akash, just wanted to know -- so most of the questions have been answered. Just wanted to know that as we are scaling very rapidly, how much of an issue is finding the right manpower in Tier 3, Tier 4 cities? And how much of an attrition is a problem? So just trying to understand from a point of view that in value retail, how much is front end specific to operationally driving the store and how much it is related to sales driving? So just wanted some color on that.

Akash Agarwal: Yes. So for every new store, the additional manpower required is, of course, the manpower that we keep at the store because the head office and warehousing, they can be leveraged -- the existing manpower can be leveraged for the additional stores. But because most of our store staff is at minimum wage, the attrition at store level is quite high. It's I think, around 40%, 50% because they jump ships even with INR500 or INR1,000 difference.

So what we have done is we have completely moved awa y from being manpower -oriented to being process oriented. So we've automated a lot of processes at our store where even a new guy within a day or 2, he can get trained and he can start giving an output. So we are not relying on any of our store manpower fo r using his intellect or using his brain to display a particular design, display a particular color.

So everything is handled through technology and the pick list that we're giving at the store. And for the core positions like store managers, flow manager s, so all of them have retention bonuses. And because our sales are good, so a big chunk of our manpower salary is variable salary. So if they are achieving their targets, they get anywhere between 10% of their salary to about 35%, 40% of their salary.

So that has also really improved attrition numbers because people are seeing that because in more than 90% of the locations, our sales are at least 40% to 50% higher than our closest competitors. So people are seeing that none of the other retailers are achi eving their targets and

V2 stores are achieving their targets. So they're getting a lot of incentives also. So that is really helping us.

Samarth Nagpal : Got it. So Akash, on the second thing, I think we are all set for the next 2 years as you have laid out the expansion plan. So just wanted to understand, are we also looking at the prospect of a FOCO store kind of a thing in Tier 3, Tier 4 so that we don't have any more liquidation going on in the future? Or are we sticking to our stance of carrying on the FOCO stores only as of now?

Akash Agarwal: So we don't have any franchising plans because we don't have a very good experience with franchisee, and it actually dilutes the store experience and the brand experience for the customers. It's very hard to standardize that when someone else is handling the store. So we are not exploring that.

Samarth Nagpal : Got it. Got it. And on the winterwear part, I think with the early onset of winter this time around, I think the demand, as you have also laid down i s pretty strong. So are we covered for the season? Or do w

e see that we haven't done enough of buying and there would be certain gaps coming up? So just wanted some color on that.

Akash Agarwal: So, I think it's a very good problem to have. So definitely, there have been some shortages, but I think it's a very good problem to have, and we look forward to always having this kind of problem where your sales are better than your estimates and there is a little bit of stock shortages. So our team has gone to di fferent cities in India to find out if their ready stock is available, and we're buying a lot of inventory from our vendors, so they -- in their brands to cover up for the shortage.

Samarth Nagpal : Got it. Got it. Understood. And one final question, if I m ay squeeze in. So Akash, I also saw that there was a hiring call out for a CEO as well on LinkedIn. So are we looking to beef up the organization and hire a CEO as well? And then what would be your role? So some color in that direction?

Akash Agarwal: Yes. So the kind of growth trajectory we are on, we are always on the lookout for good people. And me and my father both, we want to hire a CEO so that we can spend more time in the long -term strategy of the business because the plan is big, and we want to gro w multiple times and exponentially over the next 10 years. So of course, if we find a capable person to take care of the day -to-day operations and the running of the business, then we can move on to a more, I would say, a strategic role.

Moderator: The nex t question is from the line of Hitaindra Pradhan from Maximal Capital.

Hitaindra Pradhan: I hope I'm audible. My question is related to the SSSG and the normalized SSG that you mentioned. So can you just explain why there is a big difference because of the festive days, but the difference seems to be a little big.

Akash Agarwal: Yes. So see, it will be different because it's open to interpretation and different people use different number of days to calculate the impact. But what we have done is we have tak en the

30 days before Dussehra, and we have shifted those 30 days and compared it to the same period last year.

So I think the correct number to compare all retailers would be to see the weighted average SSSG for the 2 quarters combined. So that will give a standardized number to compare SSSGs between retailers. But if you want to just look at 1 quarter, I think it's very hard to compare because some people might have only taken 5 days before the festival. So that reduces the difference by quite a lot.

Hitaindra Pradhan: Correct, sir. So sir, is there a way that the disclosure can be made on a trailing 12 -month basis or that would be more complex because they are mature and the new store mix will also change when it comes to SSSG?

Akash Agarwal: That become s more complex because then you have to calculate the number of stores -- number of days that these stores were opened in the last quarter, then you compare only those days. So we don't want to change our SSSG calculation cohort. So it's always stores that were present at the end of the last financial year. We calculate SSSG on those stores.

Hitaindra Pradhan: Fair, sir. And my second question is related to your outlook. You mentioned that you are targeting like 20% plus ROE beyond when the expansion and th e growth plans are executed. So sir, on ROCE basis, like how do you see the mix evolving? And what are the challenges that you foresee achieving more than, say, 20% ROE, 25% ROCE because you are expanding into Tier 2, Tier 4 as well and also you have prese nce in metro pan -India. So -- and the competition coming in the value retail space. So sir, what are the key drivers that you think that will let you achieve the ROCE or ROE of more than 20%, beyond, say, FY '28?

Akash Agarwal: So I think it's all about th e correct execution again, like if we have built a strong model, our ROE

last year was around 27% on a pre -Ind AS basis. So that means we have established a very, very strong model. And if we continue to make -- strengthen it, continue working on the produ ct, continue using data to come out with the right assortment. I think there's a lot of potential in the country. We can easily have 2,000 to 2,500 V2 stores. So getting ROE is all about making your model strong and replicating it and giving the customer t he best experience.

Moderator: The next question is from the line of Ashish Soni from Family Office.

Ashish Soni : Sir, in terms of scaling the stores, the structure of the top management, so have we fulfilled everything or is something to be fulfilled because we are expanding almost double store count in the next 2 years, right?
Akash Agarwal: So last year, we were working with around 180 to 190 vendors. Now we have increased that to almost 250 vendors. And we have a list of almost 500 vendors who are willing to work with us, who want to work with us, but we are waiting for our volumes to increase to use the capacity. So in terms of manufacturing capacity, we have the outlook or the visibility for the next few years.
So in terms of availabilit y and sourcing. So we plan a season at least 4 to 5 months before that season. So for example, this winter -- current winter season that is going on, we had closed the

orders back in May and June. So we had already planned for all the stores that we wanted to open. So all the stores are very well fulfilled. The only stock shortages that are happening are happening because the sales are better than expected.
Ashish Soni : In terms of management structure, I'm asking like is all the positions for this scale -up is ready internally. Manufacturing, I understood, but internal management structure, I'm trying to understand.
Akash Agarwal: What do you want to understand about the internal management structure?
Ashish Soni : Yes. So when you're scaling, sometimes you require, right, more people to oversee certain regions or whatever, right? So in terms of scaling internal management structure -wise, are we in line with whatever growth targets we have or we are still fulfilling some positions?
Akash Agarwal : So again, see, there are 2 things. Because when you're expanding this fast, the most pressure that comes is on the new store opening department, the business development department. So for example, our business development department used to be just 4 pe ople. Now there are 18 people in that department. The new store opening team used to be just 3 people. Now there are 21 people in that department.
Retail operations, we used to just have 4 regional heads. Now there are 8 regional heads. So definitely, you need to keep adding more manpower because you are adding so many new stores. And again, for the next 3 to 5 years, because of the trajectory we are on and where we want to be, we are again looking for more people. And of course, every good organization ne eds good manpower in order to grow.
Ashish Soni : And with this QIP, are we set for the growth till '28 or do you think we'll require more fundraising?
Akash Agarwal: Again, it all depends on the execution and the performance. If our performance is as stron g as it has been and the growth is strong, then we will increase our store opening target. But right now, looking at the cash flows, we are covered till the end of FY '28.
Ashish Soni : Okay. And one last question. What are the risks and challenges you are seeing based on your growth as well as from the competition right now, which worries you most?
Akash Agarwal: So see, there are 2, 3 different types of risks in this business. So the biggest risk is inventory risk. So that is why we have a lot of checks an d balances around aging of inventory, inventory management. So I think no other retailer puts their slow movers on di

scount within 2 weeks of introduction. So we have been able to get our more than 1 -year old inventory from about 24% to less than 4% now.
So inventory management is the most important, I think, tool or the area of focus for any retailer. So that is one of the biggest risks where you get a complete season assortment wrong. So that is why we believe in using a lot of data. We use data to desig n almost 60% to 70% of our new season assortment. So if my data is telling me that cream color is the hottest selling color, then we will introduce more designs in cream color.

So similarly, this is done at all article attribute level. The third risk is y ou finalize the wrong location where there is no footfall and it's in a locality where the sales potential is not that much. So again, there, we have 4 to 5 layers of checks where the area manager goes and checks first, then the regional manager, then the retail head signs off on the project, the business development head signs on the project.
And then we have a core business committee that signs on each and every site that we finalize. So these are the main risks. But again, we've learned from our mistake s before, and that is why we built checks and balances around these risks so that we don't repeat them.

Moderator: The next question is from the line of Rajesh from Jainmay Venture.
Rajesh: Akash, congratulations on a very strong second quarter number, first profitable second quarter. The growth construct seems to be pretty much in place given the perfected business strategy that you have worked on over the last many years, 10% -- 8% to 10% SSG and close to 35% to 40% store square feet. Is that t he right way to look at the growth construct for the next few years?
Akash Agarwal: No. So if you want to grow revenue by 50%, so 8% to 10% will come from SSSG and 40% revenue will come from new stores. But to get 40% revenue from new stores, you need to a dd 60% to 70% new area because new stores do about 70% of old stores PSF.
Rajesh: Right. Yes. Okay. I got it. You are right, absolutely. And given this massive significant expansion in the growth, one part of the equation is that would you continue to keep gross margin at the level where you are as a strategic design. Given the benefits of the operating leverage and the growth, you will continue to invest in new stores and keep the margins intact? Or would you pass it on to the customers?
Akash Agarwal: So our target gross margin is always 28%, 29%. We want to pass on everything to the consumer because we feel it is the time to get the maximum market share and maximum per square feet sales. So we would always prefer having a higher per square feet sale to ge t more EBITDA margin rather than a higher gross margin. Because when you have a higher sales per square feet, then your inventory freshness is better, then you just have a lot more margin to play with.
Rajesh: Okay. Okay. And the point is what is the bigge st challenge to you and your dad in this journey of -- at the beginning of the opening remarks, you mentioned that design team is core and the other team is also core. So when you run at such a high speed, obviously, the software aspect, building culture, maintaining culture becomes the biggest challenge, and there are no set formulas for this. So how are you handling this maniacal pace of growth? And what are the changes you are looking to sort of -- if there are any, if you can give some color would be ve ry useful.
Akash Agarwal: So I would say the biggest challenge is keeping that motivation level up. We never want our employees or us to rest on our laurels because the most important thing is to keep innovating and to keep trying to improve ourselves ever y day. So to have that passion, to have that motivation and to make sure that the team has the motiv ation is the biggest challenge.

But we are doing that because you can see we worked on 50 different projects in the last 2 to 3 years to come from INR650 to INR1,000 per square feet of sale. And now we are working on the next 50 projects because it's about building an ecosystem where product is at the DNA of the organization. It's about churning out the best products every day.
And it's about understanding d ata. It's about using that data. It's about understanding what the customer wants. And at the end of the day, what matters the most is the 3,000 designs that is displayed to the consumers at the store. So it's all about building that ecosystem where whatev er you're churning out, the 300, 350 designs that we send to our stores every week, they have to be of the best quality. They have to be fashion forward. They have to be trendy. And of course, nobody can beat us in cost because our markup is only 55%. So i t's all about creating that ecosystem.
Rajesh: Great. I think you have got great engine of sharing cost and economics with customers. All the very best Akash for the next decade.
Moderator: The next question is from the line of Abhijeet from PI Asset.
Abhi jeet: Sir, I have one question. There is a change in GST rate in the value chain like in fabric and other raw materials. So do you think the company could retain that benefit?
Akash Agarwal: So we haven't seen any benefit till now because whatever GST benefit was there, the price has increased that much of the yarns. But people are saying we should start seeing the benefit from around March onwards. So it's all speculative, but we haven't seen that benefit yet. And whatever GST got reduced in our MRPs, we've already reduced the MRP. So there's no benefit there also.
Abhijeet : So any benefit if that incurred? So will the company -- can the company retain that benefit going forward from March onwards? Or will you be passing on that benefit to the customer?
Akash Agarwal: No. So I told you like we've already reduced all the prices. So we've already passed on all the benefit to consumers.
Abhijeet : Understood. And what percentage of revenue comes from apparels priced above INR1,000?
Akash Agarwal: About 6%.
Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Akash for the closing comments.
Akash Agarwal: Thank you all for joining us for today's call. We hope we have been able to address your questions and provide a clear view of our performance and outlook. Should you require any additional information, please feel free to reach out to Marathon Capital, our Investor Relations

advis or. They will be glad to assist you. We sincerely appreciate your continued interest and support. Thank you, and have a nice day.

Moderator: On behalf of V2 Retail Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

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09th February , 202 6

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Corporate Relation Department, Listing Department
Listing Department, Exchange Plaza, C -1, Block - G,
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Scrip Code: 532867 NSE Symbol: V2RETAIL

Sub: Transcript of Earnings Call Q 3 FY 26 - Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sr,

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), please find enclosed the transcript for the conference call with the Analysts/ Investors for the Q 3 FY 26 Financial Results of the Company conducted through digital means on Wednesday , February 04, 2026 .

The transcript shall also be uploaded on the website of the Company. You are requested to kindly take the above on record.

Thanking you,
YOURS FAITHFULLY,
FOR V2 RETAIL LIMITED

SHIVAM AGGARWAL
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

"V2 Retail Limited Q3 FY 2026 Earnings Conference Call"
February 04 , 202 6

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company's website will prevail

MANAGEMENT : MR. AKASH AGARWAL -- DIRECTOR AND CHIEF EXECUTIVE OFFICER , V2 RETAIL LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the V2 Retail Limited Q3 & Nine Month FY 2026 Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Before we begin, a brief disclaimer. The presentation which V2 Retail Limited has uploaded on the stock exchange and their website, including the discussion during this call, contains or may contain forward -looking statements , concerning V2 Retail Limited 's business prospects and profitability, which are subject to several risks and uncertainties, and the actual results could materially differ from those in such forward -looking statements.

Should you need assistance during thi s conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

I now hand the conference over to Mr. Akash Agarwal , Director and CEO , V2 Retail. Thank you and over to you, Mr. Akash .

Akash Agarwal : Thank you. Good afternoon, everyone. A very warm welcome to the V2 Retail Limited Quarter 3 and Nine Month FY 2026 Earnings Conference Call . Thank you for joining us today. We trust you have had the chance to review our results. The earnings presentation a nd the press releases are available on the stock exchanges and also on our website.

We are pleased to report a very strong quarter, reflecting continued momentum across our business. In Q3 FY 2026 , we delivered a 57% year -on-year revenue growth, significantly outpacing the broader market. This performance once again demonstrates the scalability, resilience and execution strength of our operating model, even on a high base.

Our ongoing investments in analytics -driven merchandising, supply chain re sponsiveness, and operational discipline have further strengthened our ability to scale efficiently in India 's value fashion segment. Customer traction across categories remain healthy. This reflects the continued relevance of our price value positioning a nd product refresh cycle. A steady flow of trend appropriate assortment, combined with strong quality standards and competitive pricing, has supported growth across our store network.

On the expansion front, our focus this year has been improving our geo graphic coverage through a balanced mix of rural market entry and deeper penetration in Tier-II, Tier-III cities. This approach has helped us broaden our customer reach , and improve regional alignment through localized assortments and stronger store level execution.

During the first nine months of FY 2026 , we added 105 new stores and our pipeline planned openings remain robust. Backed by a strong merchandising and inventory management team, we remain focused on disciplined expansion, efficient inventory d eployment, and sustainable

operating performance. Looking ahead, we continue to stay focused on profitable growth, capital efficiency, and disciplined execution, with a clear emphasis on enhancing shareholder value.

Now, moving on to some key updates for this quarter and the nine-month period of FY 2026 :

1. The company successfully raised approximately Rs. 400 crores through a QIP with marquee investors .
2. We completed a physical verification of property, plant, and equipment and reconciled this with the fixed assets register. As a result, we have written -off assets with a carrying value of Rs. 5.06 crores, and this has resolved the earlier audit qualification.
3. We have been consistently sharing pre -IndAS numbers to provide better transparency on our operat ional performance, and we will continue to do so going forward.

While we fully comply with accounting standards for statutory reporting, the economics of retail operations are best understood when rent is included at th

e EBITDA level rather than below EBITDA. Our annual business plan, budgets, cash flows, store -level metrics, and incentive structures are all aligned to pre-IndAS profit numbers.

Our revenue and profitability guidance is also communicated on this basis. In line with industry practices and to better reflect the true profitability of our business, both under pre-IndAS reporting and IndAS 116 reporting, we reassessed the lease terms for our store leases. This

reassessment reflects the evolving nature of our store portfolio and our strategic p lan.
As a result, we re -estimated lease tenures to better align with the period over which we expect to operate these stores. This led to a change in the measurement of our right -to-use assets and lease liabilities, resulting in an exceptional gain of Rs . 27.69 crores with a tax impact of Rs. 6.97 crores. As of October 1 st, 2025, ROU assets and lease liabilities were reduced by Rs. 484 crores and Rs. 499 crores , respectively.
Lastly, the impact of the New Labour Code is not material and has already been recognized in our financial results for the quarter and nine months ended December 31 st, 2025.
Now, moving on to the key highlights of our performance for the 3rd Quarter:
Revenue in Q3 grew 57% year -on-year to Rs. 929 crores. EBITDA in Q3 stood at Rs. 174 crores compared to Rs. 112 crores in the corresponding quarter last year, registering a growth of 56% year-on-year. EBITDA margin stood at Rs. 18.7%. PAT for the quarter stood at Rs. 102 crores compared to Rs. 51 crores in the corresponding quarter last year, representing a growth of 99% on a Y-o-Y basis ; and also , surpassing the record FY 2025 full year PAT.
We opened 35 new stores during the quarter and achieved a net addition of 105 stores in the nine months of FY 2026 . Taking our total store co unt to 294 stores with approximately 31.9 lakh square feet of retail space. Reported SSSG for Q3 stood at 2% and normalized SSSG adjusted

for the Durga Puja shift stood at 12.8%. We recorded a 48% volume growth in Q3, with full price sales contributing 92% , which reflects the strength of our proposition and reduced dependence on discounting.
Now, let me briefly cover our performance for the first nine months of FY 2026 :
Revenue for the nine months grew 64% to Rs. 2 ,270 crores. EBITDA for nine months stood at Rs. 346 crores compared to Rs. 200 crores in the corresponding nine months of last year, registering a growth of 73% year -on-year. EBITDA margin improved to 15.3% compared to 14.4% in the same period last year. PAT stood at a record Rs. 144 crores compared to Rs. 66 crores in the corresponding nine month period last year, registering a very strong 119% year -on-year growth.
Same store sales growth for nine months FY 2026 stood at approximately 8.6%. Our ROE continues to improve and now stands at 24.5% compared to 23.2% in FY 2025 and 10.7% in FY 2024, reflecting disciplined capital allocation and strong operating leverage.
Now, let me share our pre-IndAS performance for the quarter and the nine month FY 2026 :
For Quarter 3 FY 2026 , on a pre-IndAS basis, revenue was 57% , up year -on-year and moved to Rs. 929 crores. Gross ma rgin was at 32.4% compared to 32% last year. EBITDA was Rs. 126 crores up , 50% year -on-year with an EBITDA margin of 13.5%. PAT came in at Rs. 82 crores , up 47% year -on-year.
For the first nine months of FY 2026 , our pre-IndAS performance reflects these. Revenue was Rs. 2 ,270 crores , up 64% year -on-year. Gross margin improved to 30.2% from 29.7% last year. EBITDA was Rs. 223 crores , up 80% year -on-year with an EBITDA margin of 9.8%. PAT stood at Rs. 138 crores , up 83% year -on-year.
Lastly, in line with our disciplined expansion, we have already added 10 net new stores in the current quarter, taking our total store count to 304 as of today.

With that, I will now open the floor for questions.
Moderator : Thank you very much. We will now begi n the question -and-answer session. The first question is from the line of Ankit Babel from Subhkam Ventures . Please go ahead.
Ankit Babel : Good afternoon, Akash. Congratulations for a great set of numbers. I have a few questions. First question is if you can explain in simple language regarding what changes you have made in your lease accounting , and how is it compared to the industry practice?
Akash Agarwal : So, to answer your question, firstly, we always focus on pre-IndAS numbers , because the IndAS should not apply to retail businesses like us. But we obviously followed the accounting policy.

But it showed a very big difference , because our industry peers use this lease accounting policy that we just moved to , where our lock -in for every location is around one year, whereas the lease period on the lease is 9 years to 12 years. So, we have an option of reassessing whether we want to continue running the store or not.
So, now we have linked it to store sales performance. So, every year there will be a review of the store yearly performance and that is how their lease period will be reassessed and updated in the accounting system. So, everyone including Tren d, Vishal Mega Mart , Style Baazar , V-Mart , they all moved to this new accounting standard. So, we wanted to be at par with our peers and so, we took a decision along with our auditors to move to the same.

Ankit Babel : So, your pre-IndAS numbers would not change because of this?
Akash Agarwal : No, the pre-IndAS numbers remain the same. Only the post-IndAS numbers change.
Ankit Babel : So, is it fair to assume now that from now onwards the difference between your pre-Ind and post-IndAS numbers would reduce significantly?
Akash Agarwal : Yes, that is correct. Espec ially because we are expanding and opening so many newer stores, the impact of pre-IndAS versus post-IndAS was much higher on our books. That should be diminished now.
Ankit Babel : Okay, great. Second is on your working capital. What I observed was that your inventory days are stable, but there seems to be a sharp decrease in your payable days, which has resulted in a slight increase in your working capital. So, what was the reason for it ? And was it by choice or was there any compulsion?
Akash Agarwal : So, we raised around Rs. 400 crores from our QIP proceeds and the needs of those funds for capital allocation would have been over the period of the next 12 months. So, we always have a bill discounting feature available to our vendors. So, we pre paid our vendors about Rs. 300-odd crores because we want to be the best paymasters in the industry and we always want to be in their number one priority. So, we helped our vendors by giving them the bill discounting feature.
Ankit Babel : So, is it fair to assume that this line of credit from your payables will always be available to you whenever you require it?
Akash Agarwal : Yes, that is correct. So, as and when we start using the funds for capital allocation and opening newer stores, you will see the cr edit term back to 55 - 60 days.
Ankit Babel : Okay. Next question is on the difference in your numbers in your standalone and consolidated statement. So, why is the difference and as investors, we should focus on which numbers, basically, standalone or cons olidated?

Akash Agarwal : So, because now , we have shut down three manufacturing units. So, the numbers we should focus on for the future is standalone, but we are still liquidating the inventory left in our subsidiary and those inventory is being converted from fabric and accessories into finished goods. So, I was saying we are going to merge both the entities now. So, going forward, we should always f

ocus on the standalone numbers , because we have almost liquidated and converted all the inventory. There is some left which will be done in the next six months.
Ankit Babel : So, basically, there is no business in the subsidiary, the whole retail business into the standalone numbers and the subsidiary numbers, as you said, you will merge and then we should focus only on standalone numbers. Is it the conclusion?
Akash Agarwal : Yes, that is correct.
Ankit Babel : Okay. And sir, lastly, what is your outlook on the demand side, both in the near -term and medium -term? And how is the response from the stores you have opened in the last couple of quarters? Are the PSF of those stores in line with your expectations? Or you have any other thing to tell me?
Akash Agarwal : So, the benchmark that we use for newer stores is they should be within 30% sales PSF of older stores. So, our older stores this year have already touched Rs. 1,200 per sq uare feet of sales, which was the next ideal milestone for our business. And all the new stores that we opened last year, as well as all the new stores we have opened this year, both cohorts are performing better than Rs. 720 - Rs. 730 per square feet of s ales. So, they are contributing to EBITDA from the first month of operations itself.
And talking about demand, so there is a huge wedding season coming up. And hopefully, with the GST trickle down effect and government trying to ramp up consumption, beca use it has been a little damp for the last two years to three years, we always try to have a positive outlook. And hopefully, the decisions by the government also helps boost demand. So, we are taking an 8% to 10% SSSG target for next year also, and adding 150 more stores next year also.
Ankit Babel : Any view on the gross margin side because your margins are way below compared to your peers at the gross level. I understand that EBITDA levels, you might be better than them. But at the gross level, your margins are way below their industry peers. So, any thought on that? Is there a scope for improvement? Or you feel that these would be, these would remain at these levels next year also?
Akash Agarwal : So, our gross margin strategy is by design. We want to pass on most of the benefits to the consumer. So, we like having a metric that most matter to us is EBITDA margin. So, we would rather have more EBITDA margin by higher sales per square feet than higher gross margin. So, going forward also, we target a gr oss margin of 28 % - 29%. And all the margin expansion should happen from operating leverage and from higher sales per square feet.

Ankit Babel : Okay. That is it from my side. If I will have anything, I will get back into the queue. Thank you.
Moderator : Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth . Please go ahead.
Palash Kawale : Yes, thank you for the opportunity, sir. So, continuing from the question of the last participant, again, I would like to shed some more color on this metro setup. So, let us say when you started expanding, like in eight quarters, you have added around 190 stores. So, how are those older stores performing on margins and PSF? And how are new stores performing?
Akash Agarwal : So, there are three cohorts to talk about. So, one would be the stores that we had at the end of 31st March , 2024. Then there are about 72 -odd or 74 -odd stores that we opened in FY 2025 ; and then there are the 116 stores that we have opened in FY 2026 . So, like I alread y mentioned, the cohort of stores that are mature that we had at the end of 31st March , 2024 they are already at a level of Rs. 1,200 per square feet of sale per month. And both the other cohorts FY 2025 new and FY 2026 new, they are at a level of Rs. 730 per square feet - Rs. 740 per square feet of sale per month on average.
Palash Kawale : And on

margins, sir, how are the margins for the mature stores , who are at Rs. 1,200 PSF?
Akash Agarwal : So, the cost at company level is the same. The cost is around Rs. 190 per square feet and the gross margins are 28 % - 29%. So, you can calculate the margins because the costs remain constant for new or old stores.
Palash Kawale : Okay. Yes, that is helpful . And sir, good slide on states. So, going forward, expanding, where is your focus? Is it on emerging states or new states or states which are already mature? Like in percentage terms, how do you see it?
Akash Agarwal : Yes, we entered about seven new state s this year. So, the whole expansion strategy depends on the performance of each geography. So, to give you an example, Karnataka was a relatively new market for us, but it was performing so well , now, we have 14 - 15 stores in Karnataka. The same goes for West Bengal. So, 60 % - 70% of our new stores will come in existing strong clusters for us, where V2 is already performing well. And the rest, 30 % - 40% of the stores will come in new geographies that are performing very well for us.
Palash Kawale : And sir , any difference in the geograp hies where you are entering where players are already present or if you are a new player there? So, any difference in the performance of the stores there?
Akash Agarwal : I think out of 304 stores that we have now, there would be less than 20 stores where we do not have any organized competition. Because competition has become the new reality. So, it is not an external variable anymore. So, it is about surviving with multiple retailers around you. So, it is about focusing on your strengths and delivering that value proposition to the consumer.

Palash Kawale : Okay. And sir, last question. Your employee expenses, if I calculate on per square basis, have come down. So, any reason for that or is it just a seasonal ?
Akash Agarw al: So, if you look at consolidated numbers, whatever we used to make in our subsidiaries, a lot of the manufacturing cost used to be employee expenses. So, whenever you compare employee expenses, you should do it as a standalone level. And even at a stand alone level, it has come down because we are adding more area. So, we are getting operating leverage because the same head office is now servicing to 50 % - 60% new area. And we will continue to get this as we expand to more and more stores.
Palash Kawale : Okay, sir. Yes . Thank you. Thank you so much. That is it from my side. Thank you. And all the best for the upcoming quarters.
Moderator : Thank you. The next question is from the line of Rehan Saiyyed from Trinetra Asset Managers . Please go ahead.
Rehan Saiyyed : Yes, good afternoon to the team and thanks for giving me the opportunity. So sir, my most of the questions have been answered. So, I just want a clarification regarding your means wear . So, sir, you mens wear continue to contribute 41% of revenue while kids wear remains 28 % - 24%. So, are you seeing faster traction in any specific sub -segm ent like winter wear, vacation wear that could structurally alter the category mix for the next three years to three years?
Akash Agarwal : There would not be any significant change. But what we have seen over the last two years is definitely our women ’s wear category has been growing the fastest. And that is because of the kurti department and the kurti category growing the fastest. But if you talk about any significant differences, I do not see any significant differences coming in the future. It will be v ery similar to the product mix that we have right now.
Rehan Saiyyed : Okay. And second, on the Average Bill Value (ABV) increasing to Rs. 964 in Quarter 3 FY 2026, so is this being driven more by higher basket size or premiumization with the categories and/or either that management sees hope to push Average Bill Value (ABV)

further without
diluting the value proposition? Just want an understanding regarding this.
Akash Agarwal : No. So, if you see historically, Quarter 3 Average Bill Value (ABV) is always the highest. It is because of winter garments. So, the winter garments, ASP is much higher than summer garments. So, because we sell jackets, sweaters. So, that is why you see a bump in Average Bill Value (ABV) during th e 3rd Quarter .
Rehan Saiyyed : Yes. So, you are saying it is a seasonal effect or it is like a category which is attracting more Average Bill Value (ABV)?
Akash Agarwal : Yes, correct.

Rehan Saiyyed : And last one more housekeeping question for my understandi ng. So, like you have done Rs. 400 crore QIP. So, how does management prioritize capability location between faster store rollouts or either supply chain management or balance sheet strengthening, especially considering ROE dilution in the near -term?
Akash Agarwal : So, that is why most of the proceeds will be used for general corporate purposes. So, that is a mix of new capital allocation for the new stores. That is a mix of additional working capital required. That is also some investment in the regional w arehouses and hub -and-spoke model that we are doing. So, most of the capital is being used for expansion itself. And these are the three biggest areas where we need to make the investment.
Rehan Saiyyed : Okay. That is it. Good luck for the coming quarter.
Moderator : Thank you. The next question is from the line of Abhishek Sengupta from AB Capital. Please go ahead, sir.
Abhishek Sengupta : Hello. I just wanted to ask why has the sales per square feet reduced? Is it because of the new store rollout?
Akash Agarwal : Yes. So, new stores perform at about 70% of old stores throughput and it takes about two to three years to mature. And the share of new stores in our total portfolio has increased. That is why you see a slight dip.
Abhishek Sengupta : So, wh at will be, can you guide about the trajectory of it going forward in the sales per square feet, how it will be ?
Akash Agarwal : So, if you talk about company blended level, we are targeting it to maintain at a Rs. 1,000 per square feet, even when we are adding 50% more area every year. So, even if we achieve that, that will be a very good target.
Abhishek Sengupta : Okay. And why was that one store closed?
Akash Agarwal : The one store that we closed this quarter, it was below the EBITDA mark and we tri ed to revive it. And we found a better location about two kilometers away from it. So, with a bigger floor plate , so we moved there.
Abhishek Sengupta : And you stick to your earlier 8 % to 10% SSSG long -term guidance for next year?
Akash Agarwal : Yes.
Abhi shek Sengupta : And before I had asked, now also just wanted to ask, are you facing any significant competition from low -cost online players like Meesho and all , because they are also operating in your market.

Akash Agarwal : So, what you need to understand about pure online players is just logistic cost itself is around Rs. 65 to Rs. 70 in India , if you move goods from state to state . And then you add customer acquisition, you add tech costs, head office costs. So, the total cost, if you are selling a Rs. 250 t-shirt, it becomes almost 50 % - 60%. But cost of retailing for us is around 18 % to 19%. So, pure online cannot deliver the same value that we are delivering , just because of additional costs associated with online only players.
Whereas, if we ar e doing omnichannel, and which we are planning to do and we will launch in the future, where you are using your store inventory as a dark warehouse and delivering from the store itself within a very small radius, then your logistic costs come down signific antly. Only then, you can sustain low ASP items selling

online.
Abhishek Sengupta : Okay. And why was the proposal to do stock split done and when it will be done?
Akash Agarwal : I think , now we have passed the resolution. It should be done very soon. And it has been 25 years since the company was incorporated. We started in 2001 and it is been a 25 -year journey. So, we wanted to have a broad base of investors also , it should be accessible to the retail investors also. And that is why we took the decision.
Abhishek Sengupta : Okay. Thank you. Thank you for answering all my questions. And all the best. Thank you.
Moderator : Thank you. The next question is from the line of Ankush Agrawal from Surge Capital . Please go ahead.
Ankush Agrawal : Yes. Hi. Thank you for taking my question. So, just a clarification, you said older stores are at

Rs. 1,200 sales per square foot and the newer stores are Rs. 720 - Rs. 730. So, this number is for nine months or for Q3?

Akash Agarwal : This is for nine months.

Ankush Agrawal : Nine months , okay. And like, have you changed any classification for older stores? I think earlier we had like one year old stores or older stores. But this conversation today, you have so rt of mentioned older stores are those that have been opened on March 2024. So, have you done some reclassification even for SSG?

Akash Agarwal : No, we have always calculated SSG this way. So, for example, all the SSG that we calculated this year has been on stores that were operational throughout the last financial year. And we have used the same policy throughout our company history.

Ankush Agrawal : Okay. So, basically, for FY 2027 , you are saying that only stores that are open till March 2025 would be considered for SSG?

Akash Agarwal : Exactly. Exactly.

Ankush Agrawal : Okay. Then technically, if we take the one year threshold then actual SSG would be higher, right?

Akash Agarwal : Yes. Because then you have to find out the weighted average of every new store, how many days they were operational, and the calculations become very complex.

Ankush Agrawal : Okay. Thank you.

Moderator : Thank you. The next question is from the line of Shreyans Jain from Svan Investments . Please go ahead.

Shreyans Jain : Sir, my first question is, can you help us with the absolute inventory amount at the end of this quarter? And what was this last year?

Akash Agarwal : I do not have the exact numbers with me, but I think the inventory is around Rs. 900 crores. But if you look at the stock turnover days, it is at a very similar level that was there last year. So, there has not been any significant increase. Whereas, we ha ve increased the pace of expansion. So, the inventory for the stores that we are going to open in the next two months is already in the system.

Shreyans Jain : Okay. All right. And we have obviously done well on the employee cost per square feet. So, I am just trying to get some sense, where does this actually stop at Rs. 65 PSF is that the threshold that we should look at? Or you think there is some more room in this line item to go down? Because I am just looking at V-Mart and Vishal. So, V-Mart obviously is operating at Rs. 70 - Rs. 72 per square feet and Vishal is obviously at Rs. 45 to Rs. 50. So, I am just trying to understand with higher store addition and you are adding at what 45 % - 50%. So, is there room for this number to actually go even further down?

Akash Agarwal : Yes. So, our head office cost currently is around Rs. 26 - Rs. 27 and that is mostly employee expenses. So, I think it has the potential to come down to around Rs. 15 - Rs. 16. So, there is a scope of Rs. 10 per square feet reduction in the future.

Shreyans Jain : Okay. And blended cost of retailing, you are at about Rs. 195 for Q3, and you were at about Rs. 205 last year. So, overall, , including rent and O pEx, what should the cost of retailing be as we gain size and scale in terms of store addition? What is this number that ideally, we should look at?

Akash Agarwal : I think we can target Rs. 180 in the near future.

Shreyans Jain : Okay. And sorry, just the last participant had asked, can you just clarify again, SSSG, you are calculating. So, this is for a two year period, is it? Because when you are saying FY 2027 , you are looking at stores which were opened by the end of FY 2025 . So, that is actually two years, so you are looking at two years, which have been in operation, is it?

Akash Agarwal : No, it is not really two years. So, when you are in first quarter of FY 2027 , for example, you are in June. So, those stores have been operational for only 15 months that opened in March. Are you getting my point? So, it is basically all the stores that were there operational at the end of the last financial year. So, some stores will be two years, some stores will be 18 months, some stores will be 15 months, and it works like that.

Shreyans Jain : Okay. Got it. Thanks and all the best.

Moderator : Thank you. The next question is from the line of Anupama from RatnaTraya . Please go ahead.

Anupama : Yes. Hi. I think I missed the number on revenue per square feet , could you just repeat that for the next year , like what is your target?

Akash Agarwal : So, we target to maintain it at Rs. 1,000 , even after adding 150 more stores.

Anupama : Okay. That is overall number?

Akash Agarwal : Company blended level , yes, including new and old stores.

Anupama : And you are saying old stores will be at around 1 ,200 - 1,100?
Akash Agarwal : So, old stores are at 1 ,200 this year, and they will have an SSSG. So, they will move even higher. But the new store contribution in the total store 's portfolio will be much higher. That is why it will bring the per square feet sale at the company level down.
Anupama : Right. Okay. Yes. That is it. Thank you.
Moderator : Thank you. The next question is from the line of Videesha Sheth from Ambit Capital . Please go ahead.
Videesha Sheth : Yes. Hi. I am sorry if this question has been asked before, but what is the kind of demand momentum that you have observed now that we are in one month already into the quarter? And what would your outlook be for the entire fourth quarter of this year?
Akash Agarwal : So, the momentum has been the same. We are seeing the same kind of footfalls and demand in the fourth quarter. And that is why the next year guidance is also the same. We guide for 8 % to 10% SSSG for next year, and at least a 50% revenue growth , and adding at least 150 new stores.
Videesha Sheth : Noted. Thank you. That is also nice.
Moderator : Thank you. The next question is on the line of Aryan Singh from Hem Securities . Please go ahead. Sir, you may unmute and speak.

Aryan Singh : Good afternoo n, sir. Congratulations for great sets of numbers. So, most of my questions are already answered. I had questions related to like what will be mature stores, PSF into the future and how many mature stores we have ? So, great job for future quarter, sir.
Akash Agarwal : Yes. So, I think I have already answered that question.
Aryan Singh : Yes. Thank you, sir.
Akash Agarwal : Thank you.
Moderator : Thank you. The next question is on the line of Vignesh Iyer from Sequent Investments . Please go ahead.
Vignesh Iyer : Hello, sir. Yes, my first question is, sorry, I missed the point where you said 150 new store additions in FY 2027, w hat would be the size of each new store?
Akash Agarwal : Average size would be the same around 10 ,000 to 11,000 square feet.
Vignesh Iyer : Average would be 10 ,000 to 11,000 square feet. So, what are we expecting in terms of new store addition in quarter four?
Akash Agarwal : So, quarter four, I think the total addition wou

ld be around 30 -odd stores. 30 to 35.
Vignesh Iyer : 30 to 35. Yes, that is all from my side. Thank you.
Akash Agarwal : We have already opened 10 and we should open 20 more.
Moderator : Thank you. The next question is from the line of Arvind Arora from ASquare Capital . Please go ahead.
Arvind Arora : Hello. Congratulations, Akash and team. A very good number. So, my question is on more is like an advance that we have paid Rs. 15 crore to BCCL in April 29. So, could you please show some light like why we have paid? What is the nature of this advance and how we are planning to utilize it? Because it is like been six years when we have paid to them.
Akash Agarwal : Yes. So, it was an equity barter deal where they gave us this balance to use in their various publications and various channels of marketing and they took equity in the company. And we took it that time because we had a big focus. It was around COVID times where there was a huge focus on e -commerce. So, we thought we will do above the line marketing for e -commerce, but that did not work out. But n ow, because we are present in 25 states in India now, a lot of new states that we have entered have big Times of India prominence. So, we have started utilizing about Rs. 50 to Rs. 60 lakhs of this every quarter and the plan is to increase it to about 1 crore utilization per quarter. So, I think it should be finished in the next two years.

Arvind Arora : Okay. But it says we will be utilizing in next four months to five months. Like the agreement is still April 2026 only.
Akash Agarwal : So, we have a word with them. Like we have a verbal agreement with them. They have been extending our agreement for the last four years. And we have already had a word with them. And as long as we are utilizing Rs. 60 lakhs to Rs. 1 crore every quarter, they are willing to extend the agreement again.
Arvind Arora : Okay. And this is like an open to all other advertising. It is not only for e -commerce , correct?
Akash Agarwal : Yes, it is. It covers all the publication, all the company assets, everything.
Arvind Arora : Okay. And sir, any threat due to this quick commerce thing in the business?
Akash Agarwal : We have not felt any impact. And if you look at the data also, apparel is a very, very marginal or a very small contribution of quick commerce. Apparel purchase is still an ex perience for

customers, especially in Tier-II, Tier-III towns. So, I do not think there will be any impact or any significant impact.
Arvind Arora : Okay. Thank you so much. And congratulations once again.
Moderator : Thank you. The next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.
Videesha Sheth : Hi, just one more question from my end. At an industry level, in the light of competitive landscape having intensified, have you also seen discounting or inch up in this end of season sales season?
Akash Agarwal : There is not a big significant change. We also sold more than 92% of goods at full price in this quarter. So, in fact, our full price sales have been increasing. But we have not seen at the industry level also like other retailers, because see everyone has a lot of margin pressure. So, I think putting discounts would increase that pressure.
Videesha Sheth : So, right. So, discounting in industry is not inched up according to you?
Akash Agarwal : No.
Videesha Sheth : Got it. And just one more question is that when you are entering into newer markets where there is an existing value retailer, what is your observation as to how are they looking to gain back the lost market share which they l and up losing once you enter the new region?
Akash Agarwal : See, that is a very, I think, difficult question to answer because every retailer has a different strategy. There is no fixed template that everyone uses when we enter the market. Somebody

puts a special offer, somebody gives more incentives, somebody gives gifts items. But ultimately, we have seen no matter what marketing schemes you give, the retention of customer and the long -term performance of the store completely depends on the store 's assort ment. And that assortment is obviously a mix of quality, price, fabric, size, color. So, more than 95% of the locations, we are at least 30% higher in terms of SPSS than our peers, whether we entered that market first or whether we entered that market last .
Videesha Sheth : Sure. Got it. Thanks a lot for answering. Thank you.
Moderator : Thank you. The next question is from the line of Harshita Jain from Eterna Investments . Please go ahead.
Harshita Jain : Hi. My question is regarding the net working capital days. So, we have seen a steep increase from 37 to 69 and I understand this is from the creditor payment cycles that we are given better terms here. What is the sustainable level here? And do you see a c orresponding improvement in gross margins due to discounting? Or how should we look at this strategy?
Akash Agarwal : Yes. So, whenever we have extra cash on our books, we always give a discount to our vendors. And we get a 1.5% per month bill discount from those vendors. That becomes a part of the gross margin. And going forward, like I said, as we utilize this money for capital and CAPEX , then you would see the sustainable level, the working days will go up to around 60 days.
Harshita Jain : Got it. So, the improvement in gross margin from 29 % to 32% in Q3, is that because of the discounting? Or is this a sustainable level of gross profit you are expecting?
Akash Agarwal : No, that is also a part of this. But you will see a gross margin improvement in the fir st six months of the year also. And we have done this bill discounting for the last two years. So, of course, the quantum of it has changed in this quarter. And definitely , it also had an impact on the gross margin.
Harshita Jain : Okay, thank you. One more question is regarding the CAPEX per store. So, what is the maintaining CAPEX you need to incur on the already built out stores every year?
Akash Agarwal : That is already covered in Rs. 190 per square feet cost. It differs a lot. But yes, that is already covered in the per square feet cost expenses that we talk about.
Harshita Jain : Got it. Thanks a lot and all the best. Thank you.
Moderator : Thank you. The next question is from the line of Samarth Nagpal from Suranu Family Office . Please go ahead.

Samarth Nagpal : So Akash, congratulations on a great set. So just wanted to ask with the kind of store network we have right now, what is the update on the leadership hiring? I mean, are we moving in that direction?
Akash Agarwal : Yes. So we had about, I think, 360 people in our head office just last year. And now we have more than 600 people. So like I always mentioned, a big emphasis and focus is be ing given on hiring and getting good leaders. Because the growth that we are targeting, we need a very good foundation. So we have a leadership team already in place. But to reduce the workload on each one of them, and to make more broad based management, we are regularly hiring and every

month, good quality people are joining our organization.
Samarth Nagpal : So Akash, on the leadership front only, I just wanted to understand that do we have a CEO or something to handle the operations at the 350 -odd kind of stores and 500 we would be eventually having by the end of next year. So just wanted some color on that.
Akash Agarwal : So we have not hired a CEO, I am the CEO currently, I am handling that part. But we have a Marketing Head now, we have an HR Head now, we have an IT Head now. So all those positions are covered, and they are handling the department. B

ut definitely, we are on the lookout for a new CEO also, so that I can take a more strategic role. But of course, finding a good CEO is a long-term ch allenge. We have met of certain people, but it did not work out. But definitely, we are always on the lookout for good professionals.
Samarth Nagpal : And in this segment, I mean, the kind of customer assortment we have , the kind of demographics we have , so just wanted to understand what is the kind of repeat purchase we have in value retail? I mean, what is the kind of retention we have for customers? I mean, some color from the older stores only, I mean, new stores are very skewed towards getting new custo mers. So any color on that? What is the kind of retention rate we have or repeat percentage?
Akash Agarwal : Yes, so for stores more than two years old, our repeat customer percentage on the total revenue is almost 68% and this number used to be just 56%. S o the retention has improved significantly over the last three years. So the frequency, average frequency used to be every 5 months, every 5 months , 5.5 months and it has also increased , now it is every 4 months, 4.25 months.
Samarth Nagpal : Sure. That is very heartening to listen to. And is it also because we have any loyalty program for the customers? Or is it purely organic because of the assortment and the kind of service we have?
Akash Agarwal : Our gross margin, our assortment, our product, everythi ng is the loyalty program. Because we work on such thin margins. I think, it is not feasible for us to have a loyalty program. But because we believe in true pricing, so customers know that we give the best value proposition. So that is why they come back.
Samarth Nagpal : Got it. Akash, on the omnichannel piece, if I can squeeze in, I think we are really doing well offline. So is it that we are making a lot of investment into the omnichannel ? Or would it be a

pilot sort of a thing? Because understanding the customer only, we are doing fairly well from our stores only , so any color on that? What is the vision about omnichannel ? Is it going to be some percentage of the sale only? Or are we going to scale it very rapidly?
Akash Agarwal : So the best thing about it is there is no additional fixed cost. There will be only variable cost and there is no huge investment because now all softwares and technology companies give their services as a software as a service, basically. So the expenses are monthly. So there wi ll be no additional CAPEX , there will be no additional investment. And in terms of sale, we are not looking at a huge or a big chunk of sales coming from their channel. It is just to have a presence. And I think even when it matures, the sale from the channel should be around 5%.
Samarth Nagpal : Got it. And this time, I think Eid and Holi both are in Q4. So I hope that we are able to maintain the momentum going forward also because both the festivals are falling in Q4. So am I right in assuming that?
Akash Agarwal : Yes, so Q4 should be but I think Eid, most of the sales fell in Q4 of last year also. So yes, there would not be much difference. So yes, both the festivals were in --
Samarth Nagpal : Got it. And how has winterwear done for us? What is the per centage of sale from winterwear in Q3 compared to last year? Any color on that? How has been the winterwear response?
Akash Agarwal : I do not have that number ready, but winter was very good. There was an early onset of winter. That is why you are seeing t his SSG and Q3 numbers because bulk of the sales come from winterwear. It is a high ASP, high margin category for us. So winter was very good for us. I think much better than last year, but I do not have the exact number of winter contribution for this qua rter.
Samarth Nagpal : Sure, Akash. I think that is it from my end and wish you and the team the best, I mean the very

best. Thank you.
Moderator : Thank you. The next question is from the line of Vidhi Shah from C. R. Kothari & Sons . Please go ahead.
Vidhi Shah : Sir, can I know what is the CAPEX per store that you incurred?
Akash Agarwal : The CAPEX per store is around Rs. 1.1 crore and the investment in inventory for that store is around Rs. 1.3 crores. Total investment is Rs. 2.4 crores to Rs. 2.5 cro res.
Vidhi Shah : Okay. Can you repeat your outlook on the working capital cycle? Why it has increased quaterly ?
Akash Agarwal : We did early payments. We prepaid our vendors. We prepaid about Rs. 300 crores of our creditors because we had that extra cash on our books. So we get a 1.5% bill discount from them

and we wanted to help them with the working capital. So as and when we start using it for our CAPEX for new stores, the working capital will come back to normal.
Vidhi Shah : Okay. So we can expect it to go back to 60 days - 70 days?
Akash Agarwal : Yes.
Vidhi Shah : Thank you, sir.
Moderator : Thank you. The next question is from the line of Prabal Jain from SM Holdings . Please go ahead.
Prabal Jain : Yes. Hi, sir. So sir, as you have classified your store s into three cohorts, the mature stores, right and they are at Rs. 1,200 PSF. And the new stores that you are adding, they are starting at around Rs. 750 PSF. So sir, my question is over the next two years , three years, would your new stores, which are rig ht now at Rs. 750, would they scale up to Rs. 1,200 number? And what kind of factors do you see in contribution to this? And if not, what are the risks to this thing?
Akash Agarwal : So if you take out the data of FY 2023, in FY 2023, this old cohort of stores that are at Rs. 1,200, they were at Rs. 650 per square feet. So it is the same journey that the new stores will take and that is the plan. Of course, if we keep doing the things right, because more and more customers come, the re is word of mouth, you retain the old customers, and your catchment area of each store increases. It is about maintaining the offering and the customer service and the assortment at the store.
Every customer should feel that when they go to a V2 store, they would get the latest trends, latest fashion that they see their celebrities wearing or their fashion influencers wearing at the best price possible. Once they get that brand positioning in their head, then the growth happens. And two years to three y ears it takes historically. So all these stores should move towards that number.
Prabal Jain : So we are reasonably confident to take this number to Rs. 1,200 PSF, in the next two years - three years for new stores.
Akash Agarwal : Yes, so we have done that for these stores also. So looking at that, the new store should also move in the same trajectory.
Prabal Jain : Do you think geographical location of the stores or anything plays any role in this growth figure from Rs. 750 to Rs. 1,200?
Akash Agarwal : See, now we have moved away from trying to open a store in the middle of the market. We used to find market proximit y as the number one factor. But what we realized later is what matters more is parking space, frontage of the store, floor plate, because opening in the center of the market might get you customers on the first day. But long -term sustainability matters mor e

where customers get the best experience. So now we look for locations, even if they are one kilometers - two kilometers away from the market, it should have a big frontage, good parking space, and good floor plates. So that is good in terms of customer e xperience.
Prabal Jain : Okay, sir. Thank you.
Moderator : Thank you. The next question is on the line of Deepak Pruthy from Weath with Wisdom . Please go ahead.
Deepak Pruthy : Hi, Akash. Congratulations to you and

entire V2 Retail team for posting great set of numbers. A very elementary question, Akash. Can you help me understand, what is the store level economics that works? So let us say, you are setting up a new store , what are the costs involved? Like you said, you incur around Rs. 1 crore - Rs. 1.5 crores on setting up and then, Rs. 1 crore in putting inventory. And what are the costs involved in running a store?
Akash Agarwal : Yes, sure. So the CAPEX , like I mentioned, is Rs. 1.1 crores. The inv entory investment is Rs. 1.3 crores - Rs. 1.4 crores. Total investment for a store is Rs. 2.5 crores. And store level cost is around Rs. 140 square feet. And head office and warehousing cost together is around Rs. 40 per square feet to Rs. 50 per square fe et. That is how the costs are allocated.
Deepak Pruthy : I understand. So when you are, when you are saying Rs. 140 per square feet, what are the cost head?
Akash Agarwal : Just a basic overview in terms of employee cost, in terms of what are the cost heads involved? So rent is around Rs. 50; employee cost is around Rs. 40-odd; power and fuel is Rs. 20 - Rs. 25 and rest is marketing and other miscellaneous expenses. These are the three main heads.
Deepak Pruthy : Okay. And Akash, just tapping on the previous question, how much saving are we incurring on reducing payables, which we are taking less credit from our vendors. How much is the gain from that--
Akash Agarwal : So it dep ends on the, it depends on the number of days that we prepaid. But like I said, per month, it is around 1.5% that we gain from our vendors.
Deepak Pruthy : Perfect. One, one more last question, if I can weigh in, in terms of employee intrusion, are you

seeing a big challenge there? How is it vis-à-vis your competitors or peer groups? Is it a challenge to retain people in a retail setup?

Akash Agarwal : So see, there are two parts to this question. One would be the floor level staff. So their retention is a c hallenge for every retailer in the country, because most of the staff is at minimum wage, they jump ship, even for a Rs. 500 raise. But when you talk about the crucial manpower at the head office, then our attrition is well under control. Most of them have retention bonuses, and they have been with us for a long, long time.

Deepak Pruthy : Okay. And in terms of definition of new store, you said, any new store will become a old store, when you consider it for a full financial year, if it has been in operation, right? Is this definition the same for all retail players on your competition? Or is it something which varies from player to player?

Akash Agarwal : It is very hard for me to comment. I do not know how other people do this. But we have always done this historically. If a store is old, only if it has run for a whole financial year.

Deepak Pruthy : I understand. Thanks, Akash. Cheers for the coming year. Thank you.

Moderator : Thank you. The next question is on the line of Shreyans Jain from Svan Investments . Please go ahead.

Shreyans Jain : Yes, Akash, just one follow -up. So when you are talking about 8 % to 10% SSSG, typically matured stores and the newer stores, what is the SSSG that you kind of experience or you build in when you are talki ng about 8 % to 10%?

Akash Agarwal : So see, even mature stores need to be broken down into different cohorts then there is a cohort that is stores more than 10 years old, seven years to ten years old, five years to seven years old and so on. So of course, the newer stores, the newer cohorts perform at a higher SSSG. So you can say that the newer cohorts will be at a 12%. Older cohorts will be 5 % to 6, so the blended will be at 8 % to 10%. That is how it works.

Shreyans Jain : Got it. And in your exper ience, stores which are more than five years – seven years old, SSSG typically gets saturated 5 % - 6%. That is how we shou

ld look at it.

Akash Agarwal : If you look at last two years, even the stores that were more than five years old, they grew at more th an 20% SSSG for us. So there is no cap or there is no limit that I can tell you, okay, this is what happens. Again, if we are able to do, the things that we have done in the last two years to three years, we might get a double -digit SSSG on those mature st ores also.

Shreyans Jain : Got it. And can you just break that down? How have the older stores done 20%? Is it largely because of the value that you are offering at those price points? Or there is something more to it?

Akash Agarwal : So it is a combinatio n of everything and most of the growth was volume growth, there were more bill cuts. So more and more customers were coming. So I think it is a mix of better supply chain, a bit of assortment, bit of pricing strategy, fabric, color, and robust backend, lik e it is a combination of everything.

Shreyans Jain : Okay. And how big would our design team be?

Akash Agarwal : If you talk about complete buying and merchandising, including design, there are about 180 people. And just pure design is about 45 to 50 people.

Shreyans Jain : Okay, got it. Thank you and all the best. Thank you.

Moderator : Thank you. Ladies and gentlemen, due to time constraints, that will be the last question. And now I hand the conference over to Mr. Akash for closing comments.

Akash Aga rwal : Thank you all for joining us today. We hope we have been able to address your questions and give you a clear view of our performance and outlook. If you need any further information, please feel free to reach out to Marathon Capital, our Investor Rel ations Advisors . We sincerely appreciate your continued interest and support. Thank you and have a nice day.

Moderator : On behalf of V2 Retail Limited , that concludes this conference. Thank you for joining us and you may now disconnect your line.

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Sub: Transcript of Earnings Call Q4 & FY 202 5-26 - Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), please find enclosed the transcript for the conference call with the Analysts/ Investors for the Q4 & FY 202 5-26 Financial Results of the Company conducted through digital means on Friday , May 29 , 202 6.

The transcript shall also be uploaded on the website of the Company. You are requested to kindly take the above on record.

Thanking you,
YOURS FAITHFULLY,
FOR V2 RETAIL LIMITED

SHIVAM AGGARWAL
COMPANY SECRETARY & COMPLIANCE OFFICER

“V2 Retail Limited Q4 FY '26 Earning Conference Call ”

May 29, 2026

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the Company’s website will prevail

MANAGEMENT : MR. AKASH AGARWAL - DIRECTOR & CHIEF EXECUTIVE OFFICER , V2 RETAIL LIMITED

V2 Retail Limited
May 29, 2026

Moderator : Ladies and gentlemen, good day and welcome to the V2 Retail Limited Q4 FY '26 Earning Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference has been recorded.
Before we begin, a brief disclaimer :
The presentation which V2 Retail Limited has uploaded on the stock exchange and their website including the discussion during this call contains or may not contain certain forward -looking statements considering V2 Retail Limited business prospects and probabilities which are subject to several risks and uncertainties and the actual result could materially differ from those in such forward -looking statement.
I now hand the conference over to Mr. Akash Agarwal – Director and CEO of V2 Retail Limited. Thank you and over to you, sir.
Akash Agarwal: Good afternoon , everyone and a very warm welcome to the V2 Retail Limited Q4 & FY '26 Earnings Conference Call. Thank you for joining us today. We trust you have had a chance to review our results. The Earnings Presentation and the Press Release are available on the stock exchanges and also on our website.
Our Q4 Results reflect the continued momentum across our business and the ability of our teams to execute with discipline and agility. Even on a high base, we have demonstrated that our model can scale effectively while maintaining resilience in dynamic market conditions. The 60% ye ar-on-year revenue growth for the 4th Quarter significantly outpaces the broader market.
Importantly, we have consistently delivered growth in excess of 60% for two consecutive years, underscoring the strength and sustainability of our operating model.
In addition to our strong top -line performance, I want to highlight the strategic investments that are reinforcing our ability to scale efficiently in India's value fashion segment :
Our ongoing focus on analytics -driven merchandising, supply chain responsiven ess, and operational discipline has strengthened our operating leverage and positioned us to capture growth at scale. Customer traction across categories remains healthy, reflecting the continued relevance of our price -value positioning and product refresh cycle. A steady flow of trend - appropriate assortments combined with strong quality standards and competitive pricing has supported growth across our store network. This validates our approach of balancing affordability with fashion relevance, ensuring tha t we remain the preferred destination for value - conscious consumers.

As we look ahead, we will continue to deepen our investments in technology, expand our store footprint, and enhance our customer engagement. These initiatives, together with our disciplin ed execution, gives us confidence in sustaining momentum into the FY '27 and beyond.
On the expansion front :
Our focus this year has been on improving geographic coverage through a balanced mix of rural market entry and deeper penetration in Tier-2 and Tier-3 cities. This approach has helped us broaden our customer reach and improve regional alignment through localiz ed assortments and strong store -level execution. During FY '26, we added 136 stores and our pipeline of planned openings remains robust. Backed by a strong merchandising and inventory management team, we remain focused on disciplined expansion, efficient i nventory deployment, and sustainable operating performance. Importantly, our current store footprint has crossed 350 stores nationwide, marking a major milestone in our journey.
Moving on to some key updates for the quarter and for the whole financial year

:
1. We completed the physical verification of property, plant, and equipment and reconciled this with our fixed assets register. As a result, we have written off assets with a carrying value of Rs. 5.77 crores and this has resolved the earlier audit qualification.
2. We have been consistently sharing pre -IndAS numbers to provide better transparency on our operational performance and we will continue to do so going forward. Our annual business plans, budgets, cash flows, store -level metrics, and incentive structures are all aligned to pre -IndAS numbers. Our revenue and profitability guidance is also communicated on this basis.
3. We are now focusing on retail business only and have moved away from in -house manufacturing operations.
4. The impact of new Labor Cod e is not material and has already been recognized in our

financial results.
5. Lastly, due to geopolitical tension, we have increased our safety stock in the month of March for seamless availability of stock which has resulted into higher inventory levels in the month of March. Once the situation normalizes , we will reduce our safety stock. We are looking to maintain inventory at 90 -100 days and creditors at 45 days.
Now moving on to some performance highlights :
Revenue for the 4th Quarter grew at 60% year -on-year to Rs. 797 crores. The EBITDA for the quarter stood at Rs. 109 crores as compared to Rs. 57.5 crores in the corresponding quarter last year, registering a stellar growth of 89% and EBITDA margins stood at 13.7% as compared to 11.6% in the corresponding quarter last year. PAT for the quarter stood at a record Rs. 17.5 crores compared to Rs. 6.4 crores in the corresponding quarter last year. We opened 33 new stores and closed 2 during the quarter and achieved a net addition of 136 st ores in the whole

financial year, taking our total store count to 325 stores with approximately 3.5 million square feet of retail space. The SSSG for Quarter 4 stood at 7.74%. There was a robust volume growth of 53% in the quarter. The full price sales con tributed 89% in the 4th Quarter.
Now, consolidated performance highlights for the whole financial year :
Revenue for the year grew 63% to Rs. 3 ,067 crores. EBITDA for the year stood at Rs. 455 crores compared to Rs. 258 crores in the corresponding period la st year, registering a stellar growth of 77% year -on-year. EBITDA margins improved to 14.9% compared to 13.7% in the same period last year. Profit after tax for the financial year stood at a record Rs. 162 crores compared to Rs. 72 crores in FY '25, regist ering a strong growth of 125% year -on-year. Same -store sales growth for the financial year stood at approximately 8.6%. Robust volume growth of 47% in the whole financial year. The full price sales contribution was 90% in FY '26. Our ROE continues to impro ve and now stands at 26% compared to 23.2% in FY '25 and around 10.7% in FY '24, reflecting disciplined capital allocation and strong operating leverage.
Now moving on to Pre -IndAS reporting :
For Q4 FY '26, revenue remained the same at Rs. 797 crores, 60% up year -on-year. Gross margin was 30.3% compared to 27.6% in the corresponding quarter last year. EBITDA was Rs. 54 crores, up 98% year -on-year, with an EBITDA margin of 6.8% in 4th Quarter . PAT came in at Rs. 25 crores, up 118% year -on-year.
Now the full financial year highlights on the Pre -IndAS basis :
Gross margin improved to 30.2% from 29.2% last year. EBITDA was Rs. 277 crores, up 83% year-on-year, with an EBITDA margin of 9%. PAT stood at Rs. 162 crores, up 87% year -on-year. Further, it is important to note that the company has achieved a PA T of Rs. 173 crores on a standalone basis.
Looking forward, our priorities remain clear ; profitable growth, capital efficiency, and disciplined execution. With sustained revenue momentum and improved inventory operating lever

age, every initiative is directed towards one ultimate goal , enhancing long -term shareholder value.
With that, I will now open the floor for questions.
Moderator: Thank you, sir. We will now begin the question -and-answer session. The first question is from the line of Priyanshu Jain from Growth X Infinity. Please go ahead.
Priyanshu Jain: Hi, Akash. Congratulations on a good set of results. The last two years have been really great for us . You and the whole team have contributed a lot in this. Kudos to that. I have a few

questions. First, we will be on the store side. Last year, we opened around 136 stores. How much are we planning for this year? Around 170 -180, we guess?
Akash Agarwal: I think for this year, the target would be anywhere between 170 -200 stores, completely dependent on how we are performing and how the momentum continues.
Priyanshu Jain: Okay. We are able to manage store openings through our internal accruals only and the ca sh on the balance sheet, right?
Akash Agarwal: Yes. For at least this financial year, we are covered with internal accruals and the cash on the balance sheet.
Priyanshu Jain: For the next upcoming 2 -3 years, we have to do another QIP for that?
Akash Agarwa l: No, but our debt -to-equity ratio is very healthy. We have the option of getting more debt on the books. I think that will be our first preference, even if we need some cash for future expansion.
Priyanshu Jain: Okay. I have another question on the SSG side. Can you tell us, because we are maintaining around 8 %-10%, so going forward, this doesn't go below 8%. What kind of strategies are we

using on our existing stores so that we are able to achieve 8 %-10% SSG going forward?
Akash Agarwal: I think the strategies remain the same. We are focusing on the strengths and all the strategies that have previously worked over the last 3 years. It is strengthening the product. It is making the backend more robust that includes the supply chain. That includes the visual merchandising. That includes the customer experience at the store. So, I think if you are giving a good product at the best value and it is supported by a good supply chain and good retail operations, good virtual merchandising, that itself should l ead to at least 8 %-10% SSSG. So, we are just doubling down on all the strategies that have previously worked on us and now investing more in technology that can future support this better.
Priyanshu Jain: Are we running any kind of a loyalty program or som ething like that?
Akash Agarwal: We don't have a loyalty program per se, but we have a database of about 8 crore customers and we do reach them through WhatsApp, RCS, and SMS. We give them gift vouchers and other kinds of gifts, not loyalty points.
Priyans hu Jain: I just have 2 more questions. First, as we are seeing recent geopolitical tensions have increased the commodity prices. So, we are capable of around 3 %-4% will pass on the prices to the customers so that they won't impact our margins going forward .
Akash Agarwal: Yes, so we have seen some movement in yarn prices and that would have to be transferred to the customer. So, we will maintain our gross margins and prices might go up in the future by 3%-4%.

Priyanshu Jain: Okay, and just last on the CAPEX side, so as of today I think last quarter we have around Rs. 2.2 crores per store we require. So, it's maintained right now as well?
Akash Agarwal: It's about Rs. 2.6 crores and it will increase because of the price increas e. So, it will become around Rs. 2.7 crores -Rs. 2.8 crores now. That includes CAPEX and inventory. So, the CAPEX would be about Rs. 1.2 crores -Rs. 1.3 crores and the rest would be paid inventory.
Priyanshu Jain: Okay, thank you and all the best for the fut ure.
Moderator: Thank you. The next question is fr

om the line of Avinash Karumanchi from MOSL. Please go ahead.
Avinash Karumanchi: Hi sir, good afternoon. Congrats on a good set of numbers. So, my question is again regarding the gross margin. So, this year because of the higher cold prices too and all we have seen a good improvement in the gross margin. So, how should we see this number going forward, one in the near term and two mainly because of the yarn and the cotton wages that you have indicat ed?
Akash Agarwal: So, you know we started focusing a lot on inventory management and freshness of inventory and we started doing inter -store transfers of inventory also and better product mix at stores. So, that all led to a better gross margin this year. So, going forward you can look for us to maintain this gross margin anywhere between 28 %-30%. And like I mentioned earlier all the price increases in raw materials will be passed on to the customer. So, that's and there will be an increase in MRP while ma intaining the margins.
Avinash Karumanchi: Okay, because I am asking this the other competitors they have said that they don't want to pass on the full increase to the customers. They want to retain some part and take a hit on the margins. So, how do you s ee that?
Akash Agarwal: I don't want to comment on any competitors but our strategy is we won't absorb it in gross margins because 3 %-4% increase is not significant and if our average selling price is Rs. 300 that translates to about Rs. 10-Rs. 12 addition al MRP. So, I don't think it's a significant impact. So, we would look to maintain our gross margin at 28 %-30%.
Avinash Karumanchi: Okay, that clarifies. Thank you. I will join the queue.
Moderator: Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.
Palash Kawale: Hi sir, thank you for the opportunity. Sir, what gives you confidence that despite of all these uncertainties on a global front, you will be like demand will be good and you will be adding 170 to 200 stores which is higher than what you had guided earlier ?

Akash Agarwal: So, what we are building today is not for the near term. We are building for our 20 -year vision which is to be one of the top value fashion retailers in the country and hopefully what is happening around the world is temporary and India is poised to grow at 5 %-6% GDP in the next 20 years and if you look at organized retail, it is poised to grow at 9 %-10%. So, we want to capture most of that market. So, that's why these kind of short -term hindrances don't sway us from our long -term plan.
Palash Kawale: And sir, won't this put any pressure on your near -term margins?

Akash Agarwal: So, we have seen a little bit of sale impact in May because of the war but I think overall what we have seen in March , April, I think we can continue the positive momentum, and it will not have a huge impact, especially in Tier-2-3 towns.
Palash Kawale: And sir, two more questions. One is, what is the quantum of more than 6 months and 1 -year-old inventory and will you be able to grow at 50% despite of everything?
Akash Agarwal: So, more than 1 -year-old inventory is less than 5% and more than 6 months old inventory is less than 24%. So, about 76% of our inventory is less than 6 months old and out of that also about 50% of the inventory is less than 3 months old.
Pala sh Kawale: Okay. And sir, on growth, any comment?
Akash Agarwal: No, we are guiding for at least 50% revenue growth over the next 2 years.
Palash Kawale: Okay. That's it from my side, sir. Thank you.
Moderator: Thank you. The next question is from the line of Raj Shah from Fident AMC. Please go ahead.
Raj Shah: Thank you for the opportunity. I mean, are we going to go deep in these states, particularly Gujarat, Maharashtra, Rajasthan and in terms of new store exp ansion? So, I mean, which geographical are

a will they be largely concentrated into?
Akash Agarwal: So, our strategy remains the same. Whenever we enter a new state, we open about 4 to 5 stores there just to get a lot of data points in terms of what assortm ent, what sizes, what colors sell there. And then we make an optimum model. And for future expansion, it all depends on the performance of each state. So, we are tracking that every month. And for example, we had entered Karnataka, and now we have almost 1 5 to 16 stores there. So, the future expansion would completely depend on how each state stores are performing. And looking at the data now, Gujarat is performing very well for us. All the south states, Andhra, Karnataka, Goa, they have been performing wel l. Maharashtra also, we have opened three stores and two of them are performing phenomenal. So, we are looking to open 30 % to 40% new stores in the newer regions that we have entered. And of course, 50 % to 60% will come from our core strong regions.

Raj Sh ah: Understood. And secondly, on our SSG growth, SSG growth has been close to 7 %-8%. But the sales per square feet has declined by close to 7 %-8%. So, what explains this? Is it because we are opening larger stores? That is one of the reasons ?
Akash Agarwal : So, we opened 130 new stores and the new stores started about 70% of old stores per square feet sale. So, if you look at only old store PSF, those have increased 8.5% equal to the SSG. But because we have opened so much new area this year, it gets the overall company per square feet sale down. But as they mature, you will see the growth in company PSF also.
Raj Shah: Understood. So, I mean, if your sales per square feet improves from here on, because the expansion in terms of percentage of new stores op ened will slightly come down. So, do we see your EBITDA margins on a pre -IndAS basis to improve further from here on? So, on standalone basis, we closed at around 9.4%. So, can we cross close to around 11% in the next two years?
Akash Agarwal: Because we a re again guiding for opening more than 50% new area. So, it becomes a challenge to increase the company level PSF and expand EBITDA margin along with a 50% growth. So, you are right. The year when we add only 20% new area, then you can expect that. But nex t two years, we want to add 50% new area, have 50% revenue growth. So, we are guiding for the similar margins and the similar PSF.
Raj Shah: Understood. Okay. Thank you.
Moderator: Thank you. The next question is from the line of Kushal Go enka from Mangal Keshav Financial s LLP. Please go ahead.
Kushal Goenka: Hi, sir. Congratulations on a good set of numbers. My first question is, sir, how does the management look into tinkering into related verticals or opening format stores? Just trying to extrapolate from the likes of Trends, which created different brands under one umbrella. I know we would not need that because we have got a lot of scope to expand. But want your views that if there is any discussions in the board meeting, and have you thoug ht about it about the same ? And at what scale do we start thinking about it?
Akash Agarwal: I think we don't want to dilute our focus till we have at least 2 ,500 V2 stores. I think we have built a very strong model. And we want to get to every part of the country because still good fashion and affordable price is not available to most middle class consumers in India. So, we want to capture that blue ocean first. And then maybe we will think about the other strategies.
Kushal Goenka: Okay, that's helpful. My second question is, Akash, looking from a naked eye and from the likes of investors, you seem to be a one man show. However, it's the whole unseen team that is delivering such stellar results. My question is, if tomorrow, hypotheti cally, if you are not able to attend a concall, who in the organization would do so to answer

? Would really love to know the
people who know the in and out of the company and have a fair understanding and work closely

with you ? Yes, that's my second questi on.

Akash Agarwal: So, there would be at least six people who would be able to take the call if I am not available. And most of them have been with us for a journey of more than I think 10 years now. So, it's just that I have been the face of the investors and the community. But of course, all the business leaders and the senior management people we have, they have all the gist of the data because most of our reviews, most of our performance appraisals, everything is done on data. And most of the decisions that we take is also done on data. So, that is how we have built the culture around the company.
Kushal Goenka: Just a suggestion, if you could just include the management team and the people who will be working in the presentations also, so that we can ha ve a view on that.
Akash Agarwal: Sure, that is noted. We will.
Kushal Goenka: Yes, and just a last small clarification, there was a minuscule pledge creation of some subject 3.5 lakh shares, I guess. So, any reason behind that?
Akash Agarwal: No, that was only for working capital needs, because like we give a lot of prepayments, even the QIP proceeds we use for a prepayment, you will see that our creditor days have come down. We want to be the best paymasters in the industry. And we want to be the prior ity vendor for all our suppliers. And we want to work them, help them with their working capital.
Kushal Goenka: Thank you so much. That is helpful. Best of luck.
Moderator: Thank you. The next question is from the line of Aman Bansal from PES B. Please go ahead.
Aman Bansal: Congratulations on the amazing kind of results. I just have two questions. The first one will be, I think in the last concall, you had mentioned that you do not want to increase the prices of our clothes, basically, we want to remain in the same price. But this year, we saw a volume growth of 47% while our revenue for the entire year grew by 63%. So, like, what's the main driver for that? And how do we look at prices going forward?
Akash Agarwal: So, that's not a right insight. So, it's all because of product mix. So, what we have seen is products like kurtis, product like men's woven pajamas, product like men's casual shirts, these were the highest growing categories for us. So, we gave them more space in our stores. So, what that does is that reduces the quantity of maybe lower price point items like a kids Bermuda. So, it's all because of product mix, the price ASP increase within the category is only inflationary. I think that would be around 4% to 5%. But everything else is attributed to a different product mix.
Aman Bansal: Okay. So, just to understand, so like between men, ladies and kids, what would be the ideal ratio?
Akash Agarwal: Men's would be about 41 %-42%. Women's wear is about 27%. And kids is about 25%.

Aman Bansal: Okay, so we are basically add what you want to be in this segment.
Akash Agarwal: Yes.
Aman Bansal: Okay. So, you mentioned that every new store starts at about 70% of the PSF of mature stores. So, just how long does it take to become EBITDA positive for the new stores ?
Akash Agarwal: So, it is EBITDA positive from the first month itself, because the breakeven point is around Rs. 500 per square feet of sale. And they start at about 700 to 750. But to mature and reach old stores level, it takes about three t o four years.
Aman Bansal: Okay, that's amazing. Thank you so much.
Moderator: Thank you. The next question is from the line of Ankush Agr awal from Surge Capital . Please go ahead.
Ankush Agrawal: Hi, Akash. Akash, can you share sales per square feet for old stores and new stores separately for FY '26?
Akash

Agarwal: So, our old stores were at Rs. 1,124 per square feet for the whole year. And new stores were at Rs. 750 per square feet. And new stores is any stores that opened afte r FY '24?
Ankush Agrawal: And we are continuing to see that new stores are starting at more than 70% of the old stores throughput. And which is why I think they are continuing to sort of scale up aggressively beyond new stores, right?
Akash Agarwal: Yes, of course, it changes month to month. But it is at a very respectable level. And like I said, it's already at a Rs. 750 per square feet of sale level, which already starts contributing to company EBITDA from day one. So, I think we have a good amount of margin of error for the new s tores. That's why we continue expanding.
Ankush Agrawal: Okay. And secondly, you mentioned that the season inventory is partially because of huge stocking up because of geopolitical uncertainty. So, is there a number of what quantum of inventory will be because of that early sourcing?

Akash Agarwal: So, according to o ur closing area in March, if you look at like, we look to maintain about Rs. 2,500 to Rs. 2,600 square feet of inventory. So, that's around Rs. 900 crores of inventory that we need. And we have additional inventory of about 125 to 150 for the 60 stores tha t we have planned to open this quarter. And about 100 to 150 is the pre GRC that we did, because we saw a lot of supply chain disruptions. And because we were opening so many newer stores, and we had a good festival coming up in April and wedding season, w e did early GRC and we wanted to have extra safety stock rather than empty shells at our store. So, I think if you include new stores and this together, it'll be about 300 crores of inventory.

Ankush Agrawal: That is helpful. Thank you.

Moderator: Thank yo u. The next question is from the line of Smith Gala from RSPN Ventures . Please go ahead.

Smith Gala: Thank you for the opportunity. My first question will be , throughout the year , for the first three quarters, we have been outperforming the peers in terms of SS G growth. In this 4th Quarter , specifically, the SS G growth was a bit underpowered as compared to the peers. So, any color and on that and how we supposed to go back to normalcy we are outperforming our peers ?

Akash Agarwal: I think again, you h ave to look at look at it from a different lens. What the base that we are talking about , so the SSG that we are calculating is on a base of Rs. 1,000 per square feet of sale. So, growing at 8.5% on Rs. 1,040 per square feet of sale, we are all stores are now at 1 ,125, which is I think at least 40 % to 50% more than our peers. So, as the base increases, of course, the percentage growth, you cannot keep being number one. But I think if you look at the full year SSG growth, we are still right at the top, even with a higher base. And look at the profitability numbers, look at the EBITDA numbers that for us, the ultimate aim is highest per square feet GP, and highest per square feet EBITDA and highest return on equity. So, I think we beat our peers on all those metrics that matters the most.

Smith Gala: Okay, so we continue to guide to 8 % to 10% S SSG for the future ?

Akash Agarwal: Yes.

Smith Gala: And secondly, one bookkeeping question that depreciation has increased materially sequentially while stores inc reased sequentially by 11 %-12%. So, depreciation has taken a drastic increase. So, any is it a one-time somewhere or something like that?

Akash Agarwal: Yes, it is a one-time counting change. So, a lot of small items like nuts, hard tags, hangers, what we used to capitalize earlier, now we depreciated them because we want to expense it off.

Smith Gala: Okay, sir. W hat was the quantum of that one -time hit that we have taken this quarter?

Akash Agarwal: I think it would be about Rs. 6 crores -Rs. 7 crores.

S

mith Gala: Okay, that was helpful. I will join back the queue .

Moderator: Thank you. The next question is from the line of Deepak Pruthy , from Wealth with Wisdom. Please go ahead.

Deepak Pruthy: Hi Akash, great set of numbers. Just wanted to understand what was our marketing spend in financial year '26?

Akash Agarwal: It was about 0.3%.

Deepak Pruthy: Okay, and what is the marketing budget for the coming year financial year '27?

Akash Agarwal: It's similar numbers and most of that marketing happens for newer stores. For older stores, I think our product is the biggest marketing ambassador for us and a lot of word -of-mouth marketing has been working for us. So, in fact, we have been more targeted in terms of marketing and more efficient, but going forward will be less than 0.5%.

Deepak Pruthy: Okay. Then one last question. What do you do with the offseason inventory? Let's say, if you are left with some winter season inventory, how do you dispose it off? I mean, so what do you do with it?

Akash Agarwal: So, about 15% of every season inventory is left with us, we sell it the next season, we don't dispose of any inventory. Because winter season is so short, it's only three months, we get it back to our warehouse, we reprocess it, we repack it and we send it in the next season.

Deepak Pruthy: Okay, thank you. Those were the questions. Thanks, Akash. All the best.

Moderator: Thank you. The next question is from the line of Anupa ma from Ratna Traya Capi tal. Please go ahead.

Anupama: Yes, so I just had a question like, what is the kind of expectation on the SSG growth for next year considering the number of stores we are opening?

Akash Agarwal: So, SSG has no relation to the number of stores that we are o pening because SSG will only that we declare is for the older stores and we guide for 8 % to 10% SSG going forward.

Anupama: And you said that the new stores open at 750 revenue per square feet. How many months or years does it take to reach a matured reven ue per square feet of 1 ,100?
Akash Agarwal: Takes about 3 to 4 years.
Anupama: 3 to 4 years. Okay . Thank you.
Moderator: Thank you. The next question is from the line of Subhanu B angal from 3 Head Capital. Please go ahead.
Subhanu Bangal: Hello. Good afternoon, team . I have just one question on operating leverage. As you mentioned, our margin will be stable at your guided level and our PSF goes around 8 % to 10%. Then how can we get the operating leverage going forward?

Akash Agarwal: Becaus e we are opening so many newer stores, we are adding almost 50% to 60% new area. And they start at about 70% of all -store PSF. So, that's why we cannot get an operating leverage at the company level. Because old stores EBITDA is around 11 % to 12%. And new stores EBITDA is around 5 % to 6%. So, the blended EBITDA remains the same. But if you look at only old stores in isolation, then of course, there's an operating leverage because the per square feet costs come down. And with an SSSG of 8.5%, the store level EBITDA also increases. But it's only because we are adding so much new area at the company level, it will take a few years to see.
Subhanu Bangal: That means FY '27 will bring leverage in consol level?
Akash Agarwal: Yes. So, FY '27, you will see similar EBITDA margins and similar company PSF numbers.
Subhanu Bangal: Thank you.
Moderator: Thank you. The next question is from the line of Arvind Arora, A Square Capital. Please go ahead.
Arvind Arora: Hi, Akash. First of all, congratulations. So, Akash, is it like in the current quarter, our sales was good from new stores if I compare the previous year Quarter 4 sales number from new stores? Because if I see my SSSG growth in the current year is 7.7%, like in the current quarter. And if I compare previous year quarter,

then it was 24%. Then still we are able to like accelerate our GP margin by 270 bps. Is my understanding correct?
Akash Agarwal: No, but GP margin is not related to new or old stores. The gros s margin expansion was because you know, we did less discounting during the winter season and a better product mix and we did a lot of inter -store transfers.
Arvind Arora: So, Quarter 4 and Quarter 4 is comparable, correct? Previous year Quarter 4 and curr ent year Q4?
Akash Agarwal: Yes.
Arvind Arora: And then if my SSSG growth was not so great, like if I compare with the previous year Quarter 4, which was like 24%, still my margin is expanded.
Akash Agarwal: Because of again, a better product mix and more full price sale. So, the gross margin across old and new stores was higher. So, because the gross margin was higher, the EBITDA margin was higher.
Arvind Arora: Okay, understood. And Akash, is there any plan where we are venturing into another segment other than this retail space? Because I have seen some advertisements where we are asking for

vendors to publish the product or something like that in the media, social media or something like that.
Akash Agarwal : No, we don't have any other model or no plans for any other model. We are completely focused on this model and trying to make this better and better and reach our next target of Rs. 1,200 per square feet at company level.
Arvind Arora: Okay, thank you . All the best.
Moderator: Thank you. The next question is from the line of Kushal Kas liwal from In Ved Research. Please go ahead.
Kushal Kasliwal: Hi, thanks for taking my question. Akash , just wanted to understand our expansion for the next two years in terms of store additions. How many stores are we planning to add? And what is the strategy around store additions? Will these stores be within our existing locations? Or are we also enterin g into new locations? And just wanted to understand how do we evaluate when we kind of set up a store in a new place . what are some of the let's say top three, top five points which are most important for us to set up a store in a locality?
Akash Agarwal: Yes, so we want to open 50 % to 60% new area every year. So, this year, we want to open at least 170-180 new stores. And again, next year, the same if we end the year at around 500 stores. So, we would want to open 250 stores next year. But again, this is a ll conditional that we are not

compromising on any of our profitability or operating numbers and metrics. So, if the momentum continues, and if we keep performing well, and both old and new stores keep performing well, then we will go ahead with this expan sion. And to answer your second question, so we have, I would say a scorecard for every location, which has at least 70 to 80 different metrics. That includes how far is it from the metro station? How far is it from the train station, bus station, floor pl ate, parking, frontage, the access road width, how many cars are passing every 10 minutes during different times of the day. So, there are different metrics that we put for a location that gives us a confidence score as to how that store would perform. And of course, it includes population density, per capita income, and we do sales benchmarking from the unorganized and organized players in that particular city. And that's how we take a decision to enter a city.

Kushal Kasliwal: Is it possible to give a, yo u know, basis on whatever data we collect, what is the percentage of stores where we go wrong? I mean, there are obviously new store openings. And, you know, with new store openings, there's obviously growth, but there's obviously a risk if the store opens at a wrong location. So, do you have data around, if how many times do we go wrong in terms of our new store openings? And how quick are we to kind of reverse that decision or close that sto

re ?

Akash Agarwal: So, see, I think that that is a very subjective number, because four years back, that number used to be around 10%. Because the company base PSF used to be Rs. 650 per square feet. So, about

10% to 12% of the locations used to go wrong because some new stores started from Rs. 300 per square feet. But now because the company base level has increased to Rs. 950 per square feet or Rs. 1,000 per square feet, newer stores are starting at 750. So, that percentage from 10 % to 12% has come down to 2 % to 3%. So, what we have understood is it's not about usually not about location being wrong. But it's more about your product and you as a brand. Because I think it was just two years back that we had identified about 22 stores that we wanted to shut down. And all of those stores are profitable now. Like 21 of them are profitable now and we just had to shut down one. So, that that tells you that, more than location, it's about the product.

Kushal Kasliwal: Got it. Thank you. Thanks for answering my question.

Moderator: Thank you. The next question is from the line of Nikshith KV from KVN & Associates. Please go ahead.

Nikshith KV: Sir, is there any planning to open store in outside India? Why means your competitor also entering their segment?

Akash Agarwal: I think, sir, India is big enough for us to feed us for the next five years at least because we want to have 2,500 stores. So, we are not looking at any other geographies.

Nikshith KV: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Amish Kan ani from Knowise Investment Managers. Please go ahead.

Amish Kanani: Sir, you have given to the previous participant in terms of entering new area. But one, if you can a bit more elaborate, you did also mention that you enter firs t with some 4-5 store in a state and then you expand depending on your understanding of that area and geography. So, one, where I did have observed that in few of the states we have, 4-5-7 stores and few we have penetrated well in terms of, 35 to 50 stores each state. So, one, the question is, how have we expanded state by state in last two years and how do we see that in next two years if you can give us some flavor of how we are approaching state by state or cluster wise and how are we presenting ourselve s with some, say, the warehouses and stuff like that. That's question number one. And so second, I have observed that 90% of our sales you said is normal pricing. So, we are not resorting to discount sales and stuff like that. We have been a value format. The question there is, sir, how do we ensure that we keep our regular customers calling back. So, if you can give us some sense of what is working for us, even we have a very healthy same store sales growth. If you can give us some se nse, it will be able to appreciate the model better. Thanks.

Akash Agarwal: So, I will answer your first question. So, we already present in 25 states now. And here we used to have one central warehouse, we already opened one zonal warehouse in Calcutta. And now we are finalizing one in the south. So, we have three zonal warehouses. And we already have about 18 hubs, especially in all the states there where we are densely located in. So, that's about

supply chain. And going forward, I think I already answer ed this question that now it all completely depends on the performance of the stores in each state. Looking at, given example, we had entered West Bengal and Karnataka a few years back with a couple of stores and now we have 20 stores in Karnataka and we h ave 15 stores in West Bengal. And similarly, so we have entered I think 9 new states. So, we have entered Andhra Pradesh, Telangana, Maharashtra, Gujarat, Rajasthan, Punjab, Haryana. So, we will see the performance, we will judg

e the performance, we will make the optimum model. And we will expand wherever we see that we are getting the best traction. And going forward, we want to be present in every state in the country. And we have seen a good response and a good performance of new stores in all the new geographies. So, that gives us a tremendous amount of confidence to actually expand further in these states. And to answer your second question about why the customer keeps coming back, I think value fashion, anywhere around the world, it's about creating an ecosystem, where the designs that you are churning out, or the assortment that you are churning out and what the customer sees at the store is something that he thinks is fashion forward, affordable, and no good quality in terms of fabric, in terms of col ors, in terms of fits. So, it's about creating that brand identity in the minds of the consumers. So, once you have that trust in the minds of the consumer that okay, if you go to V2, you will find the latest fashion, you will find the most affordable price, and you will always find availability, and a good customer experience. So, I think a mix of all this gets them back to the store. And we do want to be a discount store. That's why we are selling more than 90% at full price.

Amish Kanani: Thanks. That helps us. And all the best.

Moderator: Thank you. The next question is from the line of Avinash from MOSL. Please go ahead.

Avinash: Hi, sir. Thank you for the opportunity again. So, my quest ion is regarding the right of use and lease liabilities on the balance sheet. If I look at them, the proportionate increase was not equivalent to what the area growth looked like. So, does this mean that we are signing a lease for the shorter term or how s hould we look at it?

Akash Agarwal: We have changed the policy last quarter. So, what we decided was we look at least two to three years of performance of a new store before deciding whether we want to continue operating it or not. Because our lock -ins and all the leases are about one year, and the vendor lock -in is 11 years. So, we changed that accounting policy last year, in line with all the retailers in the country because that also helps us reduce the gap between pre -IndAS and IndAS .

Avinash: Okay, sir. Understood. Thank you.

Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investment s. Please go ahead.

Onkar Ghurgardare: - Good afternoon. My question is regarding the cash flow. So, in the current year, we will be opening around 175 to 200 stores, as you just stated. So, is it possible to be cash flow positive even after opening around 175 to 200 stores? That is the first question.

Akash Agarwal: As I talked to you about operating cash flow, of course, that can be positive. But when we reinvest it, so the net cash from operating activities can be positive even after opening 175 stores , yes. And you saw that last year also, when we had opened 74 stores. This year, because we had prepaid a lot of vendors, so if you l ook at the creditors, it has come down by almost 10 days. So, that shows an increase in a little bit of working capital. But as and when we need the money for opening the newer stores, we can stop the prepayment program.

Onkar Ghurgardare: So, you are saying that wouldn't be the case this year. So, you will be cash flow operating positive this year?

Akash Agarwal: Yes.

Onkar Ghurgardare: Okay. So, another question is like, you mentioned that maybe in a couple of years, or maybe 5-7 years, you plan to o pen around like total store count should be 2 ,500. And your aim is to have a Rs. 1,200 square feet. So, like, how does this both align in your long -term vision?

Akash Agarwal: So, both periods are different again, like I already mentioned, till we keep add ing 50% new area, we won't be able to increas

e the company per square feet sale. But there will be a time when you know, when we reach 2 ,000 stores, then we will only happen to open 500 new stores. So, that year, we will be able to expand operating leverag e, EBITDA per square feet sale of the company as well. So, again, we are talking about two different timelines here.

Onkar Ghurgardare: Correct, but this 2 ,000, like store count of 2 ,000. Like, what is the timeline for that? And after that? So, this is like a five -year time period or what you are talking about?

Akash Agarwal: It is completely conditional to performance. And it's just about building a model we are looking to grow at at least 50% that we keep performing well. So, you can just build the model and see like what year we reach 2 ,500 if we keep growing at 50%.

Onkar Ghurgardare: Correct, because you are earlier said that you would want to grow at least 50% for the next 10 years. So, that's why this question arises.

Akash Agarwal: So, again, the capacity of number of stores of V2 in India, today, we think it's 2 ,500. So, we can

only grow at 50% till we reach that number. For beyond that to grow at 50%, we would need a different model or to enter a different country.
Onkar Ghurgardare: Okay, but till 2 ,500, you still feel confident that even after the base keeps increasing, you can still deliver a 50% growth ?

Akash Agarwal: That's the idea. And that's what we want to target conditional to good performance and continued momentum.
Onkar Ghurgardare: Correct. Another question is like on the EBITDA margin front, like for FY '27, you have said that will be maintaining the margins, but like what can be the margin level? Can it go t o like pre - IndAS or early double digit or low double -digit margins in next 2-3 years?
Akash Agarwal: So, there are three leve rs to this. One is of course, consolidating and purchasing fabrics, because still we are only nominating about 20% of our purchases , and vendors are buying those raw materials in silos. So, we have the potential to save at least 3% to 5% there by centralizing and nominating fabrics. The second operating leverage is of course, per square feet expenses. So, we have already been able to reduce it from around Rs. 200 per square feet of sale to around 190. And going forward, it should go down to I think 175. So, a percent or a percent and a half comes from there. And the third one is of course, SSSG that increases your per square feet sale. But because we are adding 50%, 60% new area, it offsets all these three levers. So, that is why you are able to maintain such a high EBITDA percentage even after adding so much new area.
Onkar Ghurgardare: Okay, so basically for near term like a similar growth on the topline as well as similar growth on the bottomline, correct? At least for the near term?
Akash Agarwal: Yes.
Onkar Ghurgardare: Okay, just a last thing . I just wanted to know , after all this long -term question, just wanted to know like, almost two months of this quarter current quarter is gone , you have said that may has been a little bit slow as compared to like, what you are guiding for or what you have delivered. So, what can we expect? Because like only a month is remaining for this current quarter. So, it should be.. .
Akash Agarwal: So, again, I think it's too early to say like I said, April was very good for us. And May has been a little slow and June is supposed to be one of the biggest months for us. So, that will define the quarter going forward. But it all looks good. And whatever is happening around the world, like I said, it's I think, hopefully short term. And we can we can end those animosities and have peace.
Onkar Ghurgardare: Yes, even if there is a little bit here and there for the quarter. So, for the year as well as for the next 2-3 years, you are guiding for 50%, right?
Akash Agarwal: Yes.
Onkar

Ghurgardare: Okay. All right. Thank you very much.
Moderator: Thank you. Due to ti me constraint, we take this as a last question. I now hand the conference over to Mr. Akash Agarwal for closing comments.

Akash Agarwal: Thank you for joining us today. We hope we have been able to address your questions and give you a clear view of our pe rformance and outlook. If you need any further information, please feel free to reach out to Marathon Capital, our investor relations advisors. We sincerely appreciate your continued interest and support. Thank you and have a nice day.
Moderator: Thank you . On behalf of V2 Retail Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.